

Court's ruling, the appellate court held that in spite of Mayfield's obvious guilt as an infringer, the Coca-Cola Company was ineligible for relief because of its own "deceptive, false, fraudulent, and unconscionable conduct. . . ." According to the Ninth Circuit judges, Coca-Cola had lost the right to protect its trademark because it had contained "the deadly drug cocaine" for many years, and because the caffeine in its syrup came from sources other than kola. This was the ruling that had frightened the directors of Trust Company so badly when Woodruff asked them to approve his plan to buy the Coca-Cola Company. Hirsch and the other lawyers were confident the company would prevail on appeal to the Supreme Court, but as both sides gathered in Washington for final arguments in the late fall of 1920 the outcome was far from certain.

The days before the Supreme Court ruled in the Koke case marked a low point for the Coca-Cola Company. Common stock fell to 17½¢ less than half its offering value the year before, as panicky investors dumped their holdings. The stock might have dropped even further except that it became hard to find buyers at any price, especially in Atlanta. Hundreds of Georgians were stuck with shares that couldn't be sold, whose dividends were suspended indefinitely. They had borrowed money from Trust Company and other banks to buy the stock, and now they were unable to repay the loans. Businessmen would encounter Asa Candler, take him aside and ask him to do something to save the company—to save *them*—and he would explain gently that he was retired and no longer involved with Coca-Cola. But they "do not seem to want to understand," he complained sadly, and he found that he could not sleep at night.

On December 6, 1920, in an opinion written by Justice Oliver Wendell Holmes, the Supreme Court rendered its decision. It was a triumph for the Coca-Cola Company. In an elegant phrase that captured the precise point of the company's argument, Holmes called Coca-Cola "a single thing coming from a single source, and well known to the community."

The trademark, Holmes explained, was widely recognized by American consumers as the name of a familiar soft drink—not as a chemical compound made up of coca leaves and kola nuts. Perhaps Coca-Cola had once contained a small amount of cocaine, Holmes conceded. Perhaps, as a government chemist once suggested, it was even enough to numb a man's tongue and create a habit. But those days were long gone. The company had inaugurated a "drastic process" that removed the cocaine from the coca leaves, and it had "advertised to the public that it must not expect and would not find cocaine" in Coca-Cola. The word "cola," he added, conveyed little if any meaning to most consumers.

The trademark "Coca-Cola" did not fool consumers into thinking they were buying something they were not, Holmes concluded. On the contrary, the trademark identified a soft drink millions of Americans knew and liked. "It hardly would be too much to say that the drink characterizes the name

as much as the name the drink,” Holmes wrote. Coca-Cola was fully entitled to protection against Koke, which Holmes called a “palpable fraud.”

The outcome of the case was an enormous relief to the members of the Coca-Cola family, naturally. The *Atlanta Journal* reported “a distinct feeling of optimism in local business and financial circles.” Today one can find the words “. . . a single thing coming from a single source, and well known to the community . . .” etched in marble in the foyers of hundreds of Coca-Cola bottling plants around the world. The phrase has become something like the motto on a coat of arms, an emblem of victory and honor won by an ancestor on a glorious field of battle.

Yet the decision did not by any means mark the end of the company’s troubles. Had the court ruled differently, the business would have failed in a matter of days. As it was, the company could look forward to surviving into 1921, but how far it could survive into the new year remained an open question. The price of stock rose a few points, then stabilized just above \$20 a share and refused to budge. Sixteen million pounds of sugar, most of it purchased at high prices, still clogged the inventory. Sales were flat and beginning to trend downward. Most ominous of all, the fortunes of the company were in the hands of Howard Candler and Ernest Woodruff, two men who didn’t understand or trust each other.

On the last day of January 1921, Howard Candler was in New York City, making calls on sugar suppliers and asking them to defer some of their deliveries. He hated the city—hated its weather and people and its ways of doing business. It was raw and wet outside his hotel room, snowing but not sticking, and he missed Atlanta.

“I still find it quite difficult to accomplish anything here,” he wrote his father, upset that a supplier was making him stay overnight before giving him an answer. “People here don’t seem to go straight to a conclusion. Endless delays are encountered.” The president of the Coca-Cola Company, forty-two years old, sounded more than a little like a homesick schoolboy.

Making Coca-Cola syrup had always given Howard Candler a feeling of satisfaction; running the company left him intensely frustrated and deeply unhappy. He agreed to resume the presidency because he felt a sense of familial duty in a time of trouble, but with Dobbs gone he found that he had too many duties, too many obligations in areas of the business that were alien to him. And making a difficult situation even worse, he had Ernest Woodruff looking over his shoulder criticizing his every move.

Woodruff called one of the company’s vice presidents to his office at Trust Company and complained that Candler was disrupting the wage scale of Atlanta by paying Coca-Cola’s factory laborers 5 cents an hour more than unskilled workers received elsewhere around the city. When word got back to Candler he was furious. He *knew* how to make syrup, and he was proud of the abilities of his work force. “We do not employ, and cannot use, so-called common labor,” he wrote in a private memo that he tucked away

in his files. "It is necessary that we employ semi-skilled labor, or labor with more intelligence than the riff-raff and drift-wood of the streets."

Candler complained that Woodruff's "continued picayunish interference" with the company's management was driving him to distraction. It bothered Woodruff that Coca-Cola cost more at restaurants and clubs and on the train than it did at the corner grocery store, and he badgered Candler to do something about it, though Candler couldn't imagine what. On a related front, Woodruff was pressing Candler to subsidize selected retailers in every market and compel them to sell Coke for a nickel, thereby putting pressure on other retailers to cut their prices as well. Candler thought the policy was "distasteful" and refused to implement it.

For his part, Woodruff found Candler impossibly naive. As winter turned to spring in 1921, investors in Atlanta and New York were putting Coca-Cola common stock into play, beginning a tense financial and psychological struggle for control of the company. Woodruff was the key player, and he wanted a president who would help him, not one who called things distasteful and balked at every move.

The price of Coca-Cola common began creeping back up, and the reason was simple: Speculators were gambling on the possibility that Coca-Cola might survive after all. Huge blocks of Coca-Cola shares were changing hands, and most of the buying was coming from New York. It appeared a battle might be shaping up between Wall Street and Atlanta—between North and South.

Woodruff's use of the Voting Trust to maintain control of the company's affairs was in jeopardy, partly because the legality of such trusts was under attack, and partly because many of the stock transfers were going unrecorded, with ownership passing into unknown hands. Woodruff tried to explain to Candler that if new owners came along and gained control, the old management probably would be shown the door. But Candler could not or would not recognize the threat. He told Woodruff he couldn't see why anyone would want to get rid of him.

At one board meeting, Candler wanted to talk about expanding the company's fledgling overseas business. He began urging the directors to think about establishing branches in other countries, until Woodruff rudely cut him off and signaled for an adjournment. Daydreaming about Coca-Cola's future was fine, Woodruff said, but it was a fool's luxury. What mattered was the present. There wasn't much point planning foreign operations if the company was about to fail, or if someone intended to sneak up and snatch it out from under them. If Candler had his heart set on pursuing the subject, if he *had* to waste the board members' time, Woodruff suggested, then he ought to write them a letter—which is just what Candler was reduced to doing.

In the meantime, Woodruff turned all of his considerable wiles to the challenge of trading against the New York investors. During the spring of 1921, he made a flurry of moves, many of them secret, most of them dif-

ficult to interpret, all of them designed to improve his position. There is no question he engaged in insider-trading practices that would be illegal today (as did the other side). At one point, Woodruff tried to bully Candler into releasing a patently false report exaggerating the company's progress in digesting its supply of high-priced sugar. At other times he leaked contradictory rumors, sending the stock price down, apparently so that he could buy shares at a reduced price.

On one occasion when Woodruff made a visit to New York, Candler took note of a "very rapid and unusual advance" in the price of the company's stock, even though "nothing has occurred in the status of the business to justify such advances." Candler was certain Woodruff was providing confidential information, some of it falsified, to the financial press in New York. He even summoned the gumption to challenge Woodruff about his activities during a face-to-face meeting, but Woodruff answered coolly that he had no idea what Candler was talking about and ended the conversation.

For a time, at least, it appeared Woodruff was willing to sell out. In a strange episode in April 1921, he told Candler that an unnamed investor in New York was offering to buy a block of 150,000 shares of stock. According to notes Candler made at the time, Woodruff said he wanted to make the sale and had put together a pool of 100,000 shares toward that end. He wanted Candler's help in assembling the other 50,000 shares. If true, it was a significant moment in Coca-Cola's history—the Trust Company crowd meant to cut their losses and surrender the controlling interest in the company, whose headquarters might well be moved out of Atlanta and up to New York. New management and directors would take over. Yet there is no certain way of knowing the truth of the matter, because Woodruff routinely hid his real motives behind a cloak of misdirection. In any case, Candler refused to participate unless the buy-out offer was extended to the holders of all 500,000 shares, and he believed his opposition had the effect of killing the deal.

Wall Street learned to treat Woodruff with suspicion. Once, at Woodruff's direction, Candler put out a formal statement denying that the expensive sugar had been exhausted and insisting that there were no plans to resume paying dividends, yet the market responded to this gloomy report by sending Coca-Cola up, as the stock reached its highest price of the year. A consensus was forming among investors that in spite of Woodruff's bluster and bluffing and broken-field running, the company's chances of pulling through were improving. And they were right.

In the midst of all the financial maneuvering, an act of startling good sense took place in the federal courthouse in Philadelphia.

The company had appealed the verdict in the bottlers' case, and in May 1921 a panel of judges on the Third Circuit Court of Appeals convened to hear oral arguments. Ignoring the legal niceties, the presiding judge called the lawyers for both sides up to the bench and urged them to reach a settlement. Performing the judicial equivalent of knocking their heads together,

he emphasized the great likelihood that both parties would suffer if either side “won,” and said that only a compromise would do. It was sound advice. Taking it to heart, each side put forward a senior man—Gene Stetson for the company and Jack Spalding for the bottlers—and they hastened off to Atlantic City to meet in private and work out the details.

A little more than a month later, a deal was struck and the parent companies agreed to a syrup royalty of 12½ cents per gallon. The war with the bottlers was over. One way of looking at it was that sheer willfulness on both sides had very nearly destroyed the whole business over a matter of pennies. As a practical matter, though, the settlement was good news, and when word got out the price of Coca-Cola stock zoomed even higher. There was no single magic moment when the survival of the Coca-Cola Company suddenly became a certainty, but the settlement of the bottlers’ suit, which was ratified by the board on July 25, 1921, came as close as anything.

Over the next several months, the company gradually reduced its stocks of overpriced sugar. Its debt dropped. Sales began to climb again, revenues picked up, and on December first the \$1 per share dividend was resumed. Ten days later, the price of Coca-Cola common completed its long recovery and closed at 41½, back to its starting point after two long years. When the books were closed on the tumultuous year of 1921, it turned out that sales were a relatively healthy \$28.5 million—off only a little from the year before despite the lingering postwar recession and all the company’s internal difficulties. In his annual report, Candler chided the company’s bottlers “who allowed themselves to become discouraged and get into a state of lethargy in so far as pushing the sales of Coca-Cola was concerned.” But that lethargy was now gone. The wounds of the fight were healing (though they would never be repaired completely), and the prospects for 1922 looked promising.

The one question that remained unresolved was control over the ownership. If he had briefly entertained the thought of selling out, Woodruff’s mind was now very much changed. The *Wall Street Journal* reported a “steady accumulation” of Coca-Cola stock by New York investors, and Woodruff bent himself to the task of taking it out of their hands. He said nothing publicly, but bank records and Woodruff family documents disclose that he spent the next few months buying up large blocks of Coca-Cola stock for himself, his family, and the bank. He got several associates from Trust Company to join him in the venture, and together they amassed a new stake of thousands of shares.

Meanwhile, with the power of the Voting Trust dwindling, Woodruff also began looking for a new way of exercising domination over the other owners. If he planned to maintain his ultimate authority over the management of the Coca-Cola Company’s affairs—and he most assuredly did—then he would have to devise a means of circumventing a board of directors that was growing increasingly responsive to the interests of the Wall Street investors. In the spring of 1922, Howard Candler tried to send an official

from the company's New York office to Central America on a ninety-day assignment, only to be blocked by a pair of major shareholders who wanted to keep the official in town and threatened to make trouble if he left. Woodruff cared nothing about the particulars of the incident, but the display of strength by the Wall Street men annoyed him. He decided to show them who was boss. During the summer and fall of 1922, Woodruff quietly organized a holding company, the Coca-Cola International Corporation, and traveled around the state of Georgia asking hundreds of Coca-Cola stockholders in Atlanta and Columbus and other cities to convert their Voting Trust certificates into shares in Coca-Cola International.

The holding company proved to be a brilliant device. In spite of the heavy buying in New York, Georgians still owned more than half of the 500,000 outstanding shares of Coca-Cola common stock, and as far as they were concerned, Woodruff's proposal seemed perfectly reasonable. It was strictly a paper transaction: A share of Coca-Cola International represented ownership of an underlying share of stock in the Coca-Cola Company, with the same dividend and market value. Most shareholders were happy to make the switch. But the new company had its own set of directors, ready to take control as soon as a majority of the shares of Coca-Cola were in hand—and that moment arrived in the late fall of 1922.

When the Coca-Cola Company's board of directors gathered in Atlanta for their regular meeting on November 27, 1922, the members were surprised to see a pair of new faces in the room. One of the visitors was Frank Dick, representing the E. F. Hutton organization of New York. The other was Ernest Woodruff's eldest son, Robert. According to the *Atlanta Journal's* description, when the two men took seats at the table alongside the directors, "there was speculation among observers as to their mission." But the puzzlement did not last long.

Ernest Woodruff disclosed that he had formed Coca-Cola International, and that the new holding company now controlled a majority of Coca-Cola common stock. Then he named the directors of the new company: Tom Glenn, Jim Nunnally, W. C. Bradley, E. F. Hutton, and Robert Woodruff. There was an awed silence. Woodruff had staged a coup. His son, three of his closest associates, and a new partner from New York would now be running the Coca-Cola Company. The board had no choice but to authorize the necessary paperwork to complete the transfer of stock.

The New Yorkers were stunned. The Southern group had gained what amounted to a proxy, with the ability to vote a majority of Coca-Cola stock in any showdown over policy. Woodruff's old ally, Gene Stetson, registered his opposition to the new arrangement, but was utterly powerless to prevent it. The Wall Street investors complained bitterly, and even went so far as to block trading in Coca-Cola International stock on the New York Stock Exchange, yet there was nothing they could do to change the outcome.

Woodruff had beaten them. And he had an even bigger surprise in store next.

Five

“GET YOUR READINESS”

When he was a very old man—when he had been running the affairs of the Coca-Cola Company for more than sixty years and had turned its trademark into the most familiar symbol in the world, when he was heralded as one of the most successful businessmen of his generation, and after he’d made and given away hundreds of millions of dollars—even then Robert Woodruff maintained the myth.

He could not bear to have anyone think his father gave him the job. And so he created an elaborate fable to explain how he rose to the presidency of Coca-Cola: Ernest Woodruff was such a terror, and so monumentally inept at operating the company, that the other members of the board went behind his back and arranged to hire his son—his strong-willed, defiant son—to be the new president. That was the story. When no one else would stand up to Ernest Woodruff, the board brought in the one man who could tame the lion and bring order to chaos.

The way Bob Woodruff told it, the way he genuinely seemed to remember it after all the retelling over the years, was that three of his father’s closest friends, including W. C. Bradley, came to visit him in New York City during the winter of 1923. The Coca-Cola Company was about to go broke, they told him. He had to come back to Atlanta and take charge of the management and save their investments. He held a stake in the company, too, they reminded him. He had borrowed heavily and gone into debt to buy Coca-Cola stock, and now the value of that stock was in dire jeopardy.

Responding to the urgent persuasion of his visitors, the younger Woodruff reluctantly agreed to return home. According to a statement he later placed in the company’s archives, the board elected him president at a special meeting in April 1923, even though his father objected strongly and then stalked out of the room and abstained from voting. “The only reason I took that job,” Woodruff liked to tell people, “was to get back the money I had invested in Coca-Cola stock. I figured that if I ever brought the price of stock back to what I had paid for it, I’d sell and get even.”

It made a fetching tale, tidy and plausible, and eventually every account of the company’s history repeated it in one version or another. Only it wasn’t true.

In 1923, the Coca-Cola Company was like a patient recovering with surprising swiftness after a terrible accident. In spite of the bruised feelings

and distrust between the company and its bottlers, there was a grudging realization on everyone's part that the smart course would be to return to business as usual, because business as usual meant profits.

When hundreds of bottlers and fountain salesmen assembled in Atlanta on the evening of Tuesday, March 6, 1923, for a convention aimed at hastening the healing process, one of the first things they saw was a huge, life-size mock-up of a village in the warehouse section of the Coca-Cola factory. It looked like something from a movie set. The display of shop fronts along "Main Street" showed a "Right Side" and a "Wrong Side," and while it was designed to illustrate the right and wrong ways of merchandising Coca-Cola—window signs should be big but uncluttered, painted with a pattern or blueprint, and never drawn freehand—it also served as a perfect metaphor: The company intended to do things the right way from now on.

Over the course of two full days of meetings, the bottlers heard pep talks from every official in the Coca-Cola hierarchy. In every case the message was the same. The business was back on track. The national economy was emerging at last from its lingering postwar doldrums, and the company intended to follow suit. Ernest Woodruff made his first (and last) public appearance before the bottlers, as Veazey Rainwater introduced him and signaled that it was time to let bygones be bygones because the principal owner was now completely committed to the grand crusade of selling Coca-Cola. Woodruff's top lieutenant, Tom Glenn, urged the bottlers to buy Coca-Cola stock—Trust Company would be happy to lend them the money to do so, he said—and the plain if unspoken point was that whatever manipulations might have taken place before, a share of Coca-Cola stock was now a long-term investment in a company that was going back to work.

The star of the convention was the company's new vice president for sales, Harrison Jones. Standing six foot two, with a wild crown of unruly silver-brown hair that made him seem even taller (and with bulging eyes that often made him look as if he were about to burst), Jones was a remarkable physical specimen. He was a natural arm-pumper and back-slapper, a robust and captivating man with an evangelical public speaking style that left his listeners absolutely riveted.

After starting with the company in 1910 as a lawyer helping gather evidence in the Chattanooga case, Jones switched to the management side as an assistant to Howard Candler and then rose to the top sales position on the strength of his ability to dazzle and inspire the company's salesmen and especially its bottlers. Jones once bragged to a younger associate that he could pick up a copy of the *Saturday Evening Post*, open the magazine to any page at random, glance at a sentence, and instantly give an hour-long declamation on the subject "And he was damn near right," the associate said.

Jones's speeches were legendary, a blend of flowery oratory and towering profanity delivered with the stagecraft of an actor. Jones never sat on the dais but always at the back of the hall, and when he was introduced he made a point of sauntering toward the front with exquisite, theatrical state-

liness. “Sometimes it would take him fifteen minutes to get to the podium,” a colleague said with admiration, “just strolling down there big and handsome as he was, breathing hellfire and damnation, and the bottlers loved it.”

On the morning the convention opened, Jones was at the very top of his form. His voice filled the warehouse and billowed out over the men in their seats next to the Main Street exhibit. Yes, Jones said, there were rumors and fears and bad feelings. But that no longer mattered. The company was back together, and everyone must begin pulling as one. He knew the fountain salesmen and the bottlers often clashed, often saw each other as competitors, but they had to remember that they were actually Siamese twins, forever joined in the larger glory of selling Coca-Cola. Jones had a special message for the bottlers. They were the wave of the future. They were not delivery men, not mere truck drivers, he told them—they were *Coca-Cola salesmen*, a special breed. And their employees had to be special, too.

“We want men of energy,” Jones said, beginning the climb to his first crescendo. “We want men whose record proves that they will put out! We want men with guts, who will stand the gaff and won’t holler—who will stand up and not lay down, who will take orders and carry them out *whole-souled . . . red-blooded . . . HE-MEN!*”

Jones had the bottlers back in the fold before the first day’s session broke for lunch. It was more than just his gift for delivering a sermon. He had news for the bottlers, too. He told them the company intended to match their efforts and mount a new advertising campaign that would surpass anything they’d ever seen before. Instead of pocketing their renewed flow of dividends, Jones announced, the board of directors planned to spend an extra \$1 million on advertising in 1923, and it was going to be a record year for profits.

With Jones adopting the role of master of ceremonies, the company’s top men trooped one after another to the lectern to spin a picture of the challenges and opportunities that lay ahead. Bill D’Arcy came in from St. Louis to report on his plans for placing ads—hundreds of pages of ads, the highest number ever—in newspapers, farm publications, women’s magazines, railroad bulletins, and most important of all in the general circulation magazines that now served as the leading medium of national influence.

Already the company had unveiled its new slogan, “Thirst Knows No Season,” in the *Saturday Evening Post* (accompanied by an illustration of an exceptionally pretty girl in a very short skirt skiing smartly past a bank of snowdrifts). The new advertising budget was intended to put muscle behind the strategy of selling Coca-Cola year-round. There were 110 million people in the United States, D’Arcy said, and when he looked at them he saw 110 million parched throats that were thirsty in autumn, winter, and spring as well as summer.

Charles J. Carmody, whose company designed most of Coca-Cola’s outdoor advertising, reminded the bottlers that one American in five now owned a car. To reach the driving public, he said, the bottlers needed to

make use of a new art form that was beginning to spring up along the roadside of the country's thousands of miles of new highways. It was the 24-sheet poster (so named for the 24 individual sheets of reinforced paper, each 28 by 42 inches, that were glued together to form a mosaic 25 feet long and 11 feet high)—better known as the billboard. Billboards were the way to sell Coca-Cola to the nation's twenty million motorists.

The bottlers should be prepared, Carmody warned, to join the fight to fend off critics—usually irksome society dowagers with nothing better to occupy their time—who were complaining that billboards were an eyesore and campaigning to make them illegal. In his home state of Pennsylvania, Carmody confided, the outdoor sign lobby was already spending \$15,000 to \$20,000 every year, “just to ride back and forth to Harrisburg,” the capital, to kill off restrictive legislation.

Carmody closed his remarks with a description of the giant sign he was building for the company in Times Square in New York City. It was going to be sixty-five feet tall—six and a half stories!—with four thousand electric light bulbs that would illuminate the famous script of the Coca-Cola logo in brilliant white against a deep red background. Coca-Cola was going to see its name in lights on Broadway, Carmody said. He left the stage to a standing ovation.

The company men were willing to admit they still had some problems. There was no denying it. Jones and his engineers had designed a carry-home carton, a rudimentary six-pack made of heavy, buff-colored paper board, in the hope of creating a household market for Coca-Cola. The company was testing the new package in Miami, Tampa, Mobile, New Orleans, Shreveport, Oklahoma City, Birmingham, and Asheville. But sales were dismal. There simply wasn't enough home refrigeration to inspire housewives to lug the bottles home from the grocery store. It might be years before people got used to the idea of drinking Coca-Cola at home.

On another front, the long fight with Dr. Wiley and the government had raised doubts about the healthfulness of Coca-Cola, and those doubts had yet to be entirely dispelled. “There is hardly a day goes by,” complained Walter Bellingrath, the president of the Bottlers' Association, “but what some man asks me something about Coca-Cola, and if it is not dangerous and whether it will kill you, and if it is not wrong for your children to drink it.”

Ross Treseder, who handled sales and advertising in the company's Chicago office, had just been to a Pure Food and Health Show in Louisville. It was a good thing he went, he said, because he found a couple of ladies running a Women's Christian Temperance Union booth and passing out flyers that said, “Do Not Drink Coca-Cola.” Their pamphlet, he said, made Coke sound worse than Alabama Shinnys! Luckily he was able to talk some sense into them and get them to stop.

Despite the few notes of defensiveness, though, the overall tone of the convention was vigorously positive. The speakers were delivering a sort of collective state of the company address, and they wanted it known that the state of the company was sound.

As the bottlers wrapped up the second day of the convention and prepared to head back to their plants, their mood was upbeat. The bleakest days, the days of overpriced sugar, collapsing stock prices, looming court decisions, and combat with management, seemed to be receding into the past.

"If there are no other questions," Harrison Jones said, bringing the final session to an end, "I will tell you a little story." Then he interrupted himself. "First let me ask—if you are asked to come again, will you?" He was rewarded with cries of "Yes! Yes!" and an ovation, and after a suitably dramatic pause he returned to his farewell story:

"Down in a little town in Alabama they don't have a train caller, but an old Negro woman that works in the station constitutes herself train caller and everything, and this is what she says. 'Dat air train from Bumminham am showin' himself. Get your readiness.'

"This year 1923 is showing herself, and trees are in bloom in Atlanta! Get your houses in order! Get your readiness! *Good-bye and good luck!*"

Severe, chronic hearing loss ran as a physical trait through the Woodruff family. Ernest Woodruff's father, George Waldo Woodruff, used an old-fashioned ear trumpet, and it was so much a part of his appearance and daily routine that once when he sat for a formal portrait he held it in his hands and had the photographer include it in the picture. Most of his children and grandchildren inherited the problem, just as they did his stout physique and strong jaw line.

Not so obvious, but just as prevalent, was another family characteristic: stubborn persistence.

The Woodruffs traced their lineage to an Englishman named Matthew Woodruff who crossed the Atlantic in 1636 and became a Connecticut Yankee, settling as a pioneer in the area around Farmington. Six generations of flinty New Englanders later, George Waldo Woodruff moved to the South and started a corn, wheat, and flour milling operation on the Chattahoochee River in Columbus, Georgia. In the years before the Civil War, George Waldo made a considerable fortune, and his faith in his adopted region of the country proved to be so strong that he insisted on investing everything he had (with the exception of a lone ten-dollar gold piece) in Confederate currency.

The war ruined George Waldo, leaving him broke and reducing his mill, which he had used to help feed the Confederate Army, to a charred patch of ground. Yet during Reconstruction he managed to scrape together enough borrowed money to start anew, and before long Empire Mills was making

a steady stream of handsome profits again, using the modern “Complete Gradual Reduction Roller System” to produce a line of flours that included Snow Flake, Silver Leaf, and Pearl Dust.

George Waldo was demanding of his son. Ernest turned eighteen in 1881, and soon afterward his father put him to work as a salesman for the mill riding a circuit that covered southwestern Georgia, northern Florida, and parts of Alabama. Ernest spent weeks on end on the road, making trips he came to dread, especially in the summer when the heat was almost unbearable (though the drenching rains of February were scarcely any better). Journeying through the countryside of the American South before the turn of the century was an arduous, bone-wearying task. Most nights Ernest stayed in boarding houses, since hotels were rare in the small towns and crossroads settlements that dotted the region. He drove his own buggy and usually traveled with a shotgun and hunting dog and brought home food for the dinner table.

Life in Columbus was not much easier. When he was home, Ernest worked at the mill, and his father often sent him down to supervise operations at night. All in all, the prospect of a career in the flour business struck Ernest as unappealing, and he seized every opportunity he could to slip away from Columbus and stay with his older sister, Annie Bright, and her husband, Joel Hurt, up in Atlanta.

During one of his visits to see the Hurts, in 1883, Ernest met the girl next door, Emily Winship. “Miss Ernie,” the daughter of Robert and Mary Frances Winship, had just celebrated her sixteenth birthday. She was slender and petite, shy and physically frail, given to occasional bouts of dark moods, and Ernest found himself hopelessly smitten. He sent her flowers, along with a note asking if he could take her out for an afternoon stroll along Atlanta’s fashionable Ponce de Leon Avenue. Her parents need not worry, he wrote, because “I will take the best care of you.”

Rather than worry, the Winships forbade the date. Ernie was entirely too young for a romance, her parents felt, and they tried to discourage her from taking an interest in her new suitor. They returned one of Ernest’s letters unopened, making it clear to him that his pursuit of their daughter was unwelcome. But Ernest was unfazed. He kept seeing Emie on his trips to Atlanta, kept writing her, kept wooing his “precious little girl” in the stiff, Victorian fustian of the day:

I admit that a lady should always be on her guard least she over-steps the bounds of propriety, but on the other hand, don’t think she should be so reserved as to permit her lover to believe that she had not the utmost confidence in him. If your father objects to our union it is very unfortunate, but why should you be cool to the man who *adores* you at the *very* time he would most appreciate your love?

Other than their daughter's age, and the lack of enthusiasm they might have felt over the idea of her moving to another town, there is nothing in the record to explain the Winships' disapproval of Ernest Woodruff as a prospective groom for Emie. The Winship family was in several respects a carbon copy of the Woodruffs. Emie Winship could trace her roots back to England and a seventeenth-century ancestor who emigrated to Massachusetts just a few years after the landing of the *Mayflower*. Her father's father, Joseph Winship, moved to Georgia in the early 1800s and started several businesses, among them a successful operation manufacturing cotton gins, before settling in Atlanta in 1853 and opening an iron foundry.

During the Civil War, the Winship Machine Company made munitions for the Confederacy. As Sherman neared Atlanta in 1864, Ernie's parents fled the city—her mother to the safety of Madison, Georgia, which was spared in the march to the sea, and her father to a railroad camp where the men hid from the Union armies and relied on catching squirrels for their food. When the Winships returned, they found their home had been looted and their factory razed during the burning of Atlanta. (Their dining room sideboard, a magnificent, hand-carved piece topped by a staghead with a perfect set of antlers, was stolen; they later found it at a public auction and bought it back for \$5.) Like the Woodruffs, the Winships rebuilt their business after the war, making agricultural equipment that included cotton gins and presses, self-feeders and condensers, and saw and grist mill machinery.

If there was a difference between the clans that caused friction, it might have been the greater gentility of the Winships. They were a quiet, soft-spoken crowd who displayed little of the eccentricity and fierce ambition associated with the Woodruffs. Whatever their misgivings, however, Ernie's parents were no match for the perseverance and ardor of Ernest Woodruff. He proposed marriage and sent Ernie a ring, guessing correctly that since it fit his little finger it would be the right size for her ring finger. “Now my dear little girl,” he wrote her at one point, bearing down literally and figuratively with a firm hand, “you ought not to trifle with me on this subject.”

Eventually he prevailed. Ernie agreed to marry him, and her parents, forced to be satisfied with having postponed the event for two years until she turned eighteen, finally relented and gave their blessing. Ernie and Ernest were married on April 22, 1885, and went to the Grand Central Hotel in New York on their honeymoon.

The new couple settled in Columbus. Ernest assumed a vice presidency in his father's business and curtailed his grueling life as a traveling salesman. Ernie and Ernest's first child, a son, was born on December 6, 1889, and they called him Robert Winship Woodruff, after Ernie's father.

The fact that the boy carried both family names began to seem more and more appropriate as he grew up. It was plain even in his early years that he had inherited all of his father's willfulness and determination, but he also

showed signs of shyness and brooding, tenderness and melancholy—traits that ran in his mother's family. He was a complicated child.

In 1893, just before Robert Woodruff turned four, his parents moved to Atlanta. Ernest accepted Joel Hurt's invitation to join him and help run his burgeoning empire in banking, real estate, streetcars, and electric power.

As Ernest's career advanced in the new city, his manner turned more brusque and domineering. He encouraged his employees and associates to call him "the Chief," and he gained the reputation, as one newspaperman put it, of being an "exacting master." Growing a close-cropped moustache, he altered his physical appearance and managed to make himself look more imposing. At five foot eight he was stocky and powerfully built.

At Trust Company, Woodruff showed little patience for office comradery or small talk. He liked to eat a huge breakfast at home and then skip lunch at the bank so he could work. If visitors called on him when he was busy, he had the habit of handing them a small leather pouch full of collections of jokes and stories, so they could occupy themselves until he had time for them.

(One palm-sized booklet Ernest gave out was called "Wisdom of the Sages." It contained peppy aphorisms—"The man who watches the clock will always be one of the hands"—and corny two-liners: "Teacher: 'Why don't you like our school, Willie?' Willie: 'Oh, it's not the school so much as it is the principal of the thing.'" Reading a copy decades later, it is hard to escape the conclusion that Woodruff felt contempt for other men and expected them to amuse themselves while he made money.)

Woodruff's frugality was the stuff of legend. He collected hotel soap. He refused to pay more than \$2 for a white shirt. At the bank, he tried to block Christmas bonuses for the employees. Once, while he was off on a trip, a junior officer ordered modern telephones and had them installed in the bank's offices; when Woodruff returned, he had them torn out and the old upright phones restored.

On one celebrated occasion, Woodruff and Tom Glenn took the train to Baltimore to pick up several hundred thousand dollars' worth of streetcar bonds. Refusing to spend \$200 on insurance and express shipping, Woodruff led Glenn back up to their hotel room, where the two men stripped down to their underwear, wrapped the bonds around their bodies, and concealed them under their clothes. They sat up rigidly all night riding the train home, and later—many years later—they laughed at how they'd crackled like diplomas every time they budged. Glenn was one of Woodruff's few unabashed admirers, but even he had a cautionary explanation of why they got along: "Because I always let him have his own way, and it is usually the right way."

More and more, though, Woodruff's way had a mean edge. He had his first falling-out with Joel Hurt over plans for the basement of Hurt's skyscraper, the Equitable Building. Hurt wanted to open a cafe where busi-

nessmen could get a quick bite at lunch instead of going home and having a heavy midday meal followed by a nap. It would be more productive if the men could stay downtown, Hurt thought, and better for the city. But Woodruff didn't care. He argued for a saloon and pool hall that would make more money.

On his thirty-fourth birthday, Ernest's mother wrote him a stark, disturbing letter that chided him for failing to keep the Sabbath. He was far too involved, she warned him, in “the strife for Earthy [*sic*] treasures.”

At home, Woodruff remained devoted to Miss Ernie, the “main spring” of his life. After Robert, she and Ernest had a second son, Ernest Jr., who died of spinal meningitis in 1896. They then had two more sons who survived, George and Henry, and Ernest spent \$20,000 building a fine, rustic-style English house for them in Inman Park, Hurt's suburb east of Atlanta. A newspaper account of the time remarked on the modern facilities in the house and marveled that “Mrs. Woodruff has only to touch certain buttons, turn little handles and knobs and . . . the electric globes, bulbs, and blossoms burst into golden bloom, window shutters stand at attention, doors come open and servants come forward to receive commands.”

The house had all the amenities of the era, including a hot water heater, an anthracite-burning furnace, and a specially designed icebox that could hold an oversized, two-hundred-pound block of ice. With its tiled porches, marble bathrooms, and wainscoting finished in Antwerp oak, it was certainly a handsome place.

By all outward appearances, the three Woodruff boys grew up in idyllic circumstances, surrounded by the considerable luxuries that were available to well-to-do families around the turn of the century. Ernest was one of the first men in Atlanta to buy a car, a big black Oldsmobile that arrived by rail from Detroit and created quite a stir. On Sundays, the family typically climbed in it and rode out to the exclusive Piedmont Driving Club, where they could swim and bowl and play tennis. The Woodruffs had servants, including a formidable-looking black woman named Mammy Lou who favored severe white turbans and looked after the boys.

Ernest was determined not to spoil his sons. Even as he provided them with the rewards of his wealth, he tried to teach them the importance of thrift and honesty, self-discipline and hard work in school. But with his eldest son, Robert, it seemed the lessons were failing to take hold. Robert—or “Buddie,” as his younger brothers nicknamed him—was a spirited boy, growing up lanky and good-looking, with an ability to attract the attention and affection of his teachers and other children. He was not, however, a good student. When he was ten and his parents were on a trip, he wrote them, “Our class had an arithmetic examination today. I think I got four on it.”

Not that Robert was dull-witted. Far from it. Lively and sociable, he enjoyed having other children around him so much that when he had

exhausted his mother's patience for throwing parties he would invite his friends over to an aunt's house and entertain them there. He had a definite touch of Tom Sawyer about him. When his father gave him a small allowance to pay for boarding the pony he rode to school, he pocketed the money and talked the chief hostler at Asa Candler's stables into keeping the animal for no charge. It was Robert's favorite childhood story—the first time he outfoxed his father.

In the classroom, though, Robert was miserable and self-conscious. In hindsight, it seems highly likely that he was suffering from undiagnosed dyslexia. As an adult he had an aversion to reading, and his associates noticed that on those rare occasions when he was forced to decipher a letter or memo, he had to stop and look at each word individually and allow it to register before he moved on haltingly to the next. As a schoolboy, he complained that his homework gave him trouble with his eyes and often made him feel ill. His grades were poor and he required tutoring and summer school. His parents had no idea what might be wrong, except the strong suspicion that he was not applying himself.

Robert had a wretched physical problem, too, a severe underbite his parents sought to remedy by sending him to a dentist who experimented on him with the newest type of fixed braces. The wires and bands caused him a great deal of discomfort, especially when they were tightened twice a week, and prevented him from participating in athletics. Photographs from the period show a handsome young man, but one who was never caught smiling.

As he grew into adolescence, Robert was made well aware that his father was disappointed in him and concerned over his inadequacies. During Robert's teenage years, his first cousin from Columbus, George C. Woodruff—"Kid" Woodruff, a year older and soon to become the star quarterback and captain of the University of Georgia football team—was in boarding school in Stone Mountain, just outside Atlanta. Ernest regularly invited Kid Woodruff to spend weekends and vacations with the family, and made it no secret that he felt a greater admiration for his brother's son than his own.

In 1906, when he was sixteen, Robert flunked out of Boys High School. His father responded by sending him where many families sent sons who frustrated them, to a military boarding school, in this case the Georgia Military Academy just south of Atlanta in College Park. Like most proprietary military academies of the time, GMA placed a higher premium on teaching discipline than scholastics.

Robert remained an indifferent student, yet in every other respect he blossomed in cadet gray. He discovered that he was a natural leader. Kept from playing sports by his dental woes, he joined every other activity he could find and rose to take charge of many of them. He was manager of the football team, manager of the basketball team, manager of the Dramatic Club, manager of the school paper, the *Gamilicad*, and manager of

the school annual, *Parade Rest*. He was even manager of a board of other managers.

Robert joined the Alpha Theta Literary Society, the Painter's Club, and the bugle corps, and was initiated into a fraternity, Sigma Chi, at 3:13 one Saturday morning under the school's grandstand. He became first lieutenant in the Corps of Cadets. When someone proposed raising money to buy instruments and start a school band, Robert took on the project. "As long as I was out trying to raise money for the band, I didn't have to go to classes," he joked years later. But there was more to it than that. He enjoyed taking on challenges and working out deals and testing his budding skills as a salesman.

Perhaps the most remarkable thing about Robert Woodruff's career at GMA was the profound, lasting impression he made on so many of the people who came in contact with him. His roommate, Dick Gresham, was utterly devoted to him. Gresham grew up to be a preacher, and for the rest of his life he wrote long, thoughtful letters to Woodruff in the form of private sermons. The Sunday school teacher at GMA, Mrs. Alonzo Richardson (known to one and all as "Sweetheart") wrote him an amazing letter years later describing a dream she'd had in which he saved her life during a terrible storm, carrying her through swirling, muddy water—"confident, so strong and sure"—reaching dry ground without getting a smudge on his fine, white suit.

When Robert graduated from GMA in 1908, the school's headmaster, Colonel John C. Woodward, had a private talk with Ernest. "Don't send Robert to school anymore," he warned. "You'll ruin him."

Woodward was right, but understandably Ernest Woodruff disagreed. The plan was for Robert to go to college and earn a degree and become a banker, and Ernest was not about to give up so easily on the course he had set for his son.

In the fall of 1908, under his father's prodding, Robert set off for Emory College, then a small Methodist institution with about three hundred students in Oxford, Georgia, a little village about thirty-five miles east of Atlanta. For a time, at least, Robert went through the motions of applying himself to his studies, which pleased his parents. He was, he wrote his father, "nearly studying my head off." As a reward, Robert regularly beseeched his parents for permission to visit home, and whenever they agreed he was elated. On one occasion, writing in the dreadful doggerel he had begun to affect, Robert tried to articulate his gratitude:

This afternoon when I received your letter,
It made me feel a great deal better
To see, how kind and considerate
You are to a son who is so illiterate.

My great appreciation is most unbounded
 And when I here a good footing have founded
 You will be proud you sent me to Emory
 Because I will try and do credit to the family.

But it soon became clear that he was not doing credit to anyone. As summer stretched into autumn in his freshman year, Robert's parents discovered that his awkward, touching expressions of diligence were nothing but a con job. Robert was not studying his head off; he was barely studying at all. The feeble scholarship of GMA had left him completely unprepared for the rigors of Emory's modest curriculum, and rather than batter himself against a hopeless challenge he was devoting his time to the pursuit of pleasure. Instead of attending classes, he was spending his time hanging around the Kappa Alpha fraternity headquarters upstairs at Stone's Store in Oxford. And downstairs at Stone's, he was racking up the bills, charging his account for more than he could ever hope to cover with his \$40 a month allowance.

Robert's fervor about visiting home turned out to have less to do with his devotion to his parents than it did his love of girls and parties and his desire to escape the dullness of Oxford for the bubbling social scene in Atlanta. Young women, it turned out, found Robert very attractive. He had grown tall—six feet—and was lean as a stalk. He had the dark eyes and good looks of the male line of Winships. A pretty debutante named Helen Payne told Ernie Woodruff at a reception one afternoon that she was crazy about Robert and wished he would call on her more often. A lot of girls felt that way.

Ernie could understand her son's appetite for fun. "I trust I shall always be a comfort to you," Robert once wrote her, and for the most part he was. Mother and son were extremely close, and she sympathized with his struggles at learning. The two shared a predilection for illness brought on by nervous fatigue. During Robert's years at GMA, when he suffered headaches and pain from his braces and other occasional disorders including severe indigestion, she monitored his condition closely by telephone and oversaw his treatment and medication. She wanted him to be happy, and she tried to protect him from his father's wrath.

Ernest thought it was all nonsense. He believed his wife spoiled their son. Once when she came down with one of her sick headaches, he told Robert it was probably because she had overworked herself planning a party for him. In Ernest's view, finishing college was a simple question of will. If Robert tried, he would succeed.

In October 1908, during Robert's first term at Emory, Ernest and Ernie made a trip to Denver for a banking convention. Stopping off in Colorado Springs, Ernest picked out a postcard that neatly expressed his view of his son's travails. It showed a cowboy riding a bucking bronco. "Hope you have held on until it comes easy," he wrote Robert at school. "That's how this fellow did."

When the postcard arrived at Emory, Robert was gone. Taking advantage of his parents’ absence, he had sneaked back to Atlanta and was spending a long weekend at home enjoying himself, openly defying his parents’ emphatic instructions not to leave the campus again before Thanksgiving. In light of his father’s strict discipline, it was a reckless act. Yet Robert made no attempt at all to cover up his tracks. On the contrary, he went to Trust Company and borrowed money from one of his father’s clerks, used his father’s charge account to buy clothes at a store, and raided his father’s closet before returning to college Tuesday evening. His behavior seemed calculated to provoke an explosion, and it did.

Arriving home and learning of Robert’s mischief, his father hastened to his desk, drew out a sheet of stationery, and began writing swiftly with a quill pen. “It was a source of mortification and regret that you disobeyed me and came to Atlanta again,” Ernest wrote, underlining the occasional word for emphasis.

I had hoped that I had made it clear to you that you must apply yourself and not leave Emory without permission; such willful disobedience and extravagance as you are guilty of is inexcusable and will not [*sic*] longer be tolerated; the sooner you change your habits the better it will be for you, your conduct is wholly [*sic*] inexcusable and will not be tolerated.

After finishing the letter, venting his anger to the extent of repeating himself, Ernest discovered the evidence of Robert’s rummaging in his clothes closet. He returned to his desk, jerked the letter back out of its envelope, and resumed writing in a cold fury. In a postscript set down with a pencil in blunt, heavy slashes, Ernest continued:

I note that you have carted off my cane and two of my valices [*sic*] and I know not what else now. You will do me the kindness to return all of my property you have carried off to College the first passing. If you have not worn the new suit of clothes you ordered charged to me at \$35.00 I would advise you to return them as I positively decline to pay for them. When I am ready to tender to you the use of my credit and bank account I will let you know. If you think the object in going to College is to spend money and play “big Ike” you had better quit and learn to earn your own living. I am doing all I can for you and to make a man of you but my patience is nearly exhausted; and I beg that you will not force me to harsh measures to save you from yourself.

It scarcely seemed possible that the relationship between Robert and his father could go downhill from that point, but it did. The Christmas holi-

days, in Ernest's view, were a long, unproductive waste of time that allowed Robert to slack off and lose the last traces of his meager momentum as a student.

Returning to Emory, Robert complained of toothaches and eye troubles and sought to postpone taking his written examinations. Deeply exasperated but unsure what else to do, his father wrote the president of Emory, Dr. James E. Dickey, and suggested that perhaps Robert might benefit from resting his eyes for a week or ten days before deciding whether to try to continue with his second term at the college. Dr. Dickey wrote back to say that Robert's problem was not one likely to be cured by a period of rest.

"I do not think it advisable," Dr. Dickey wrote, "for him to return to college this term as he has not done satisfactory work and cannot therefore make up what he would lose before returning again. He has never learned to apply himself, which together with very frequent absences makes it impossible for him to succeed as a student." In other words, Robert was being dismissed. He returned home to the house on Edgewood Avenue and found his father at wit's end. He always remembered what Ernest said to him: "Damn it, boy, it's only three generations from shirtsleeves to shirtsleeves. Learn something." And Robert remembered what he answered back. "I'll take the shirtsleeves now."

In February 1909, Robert Woodruff put on a pair of overalls and started work shoveling sand at the General Pipe and Foundry Company for 60 cents a day. He had to walk the six blocks to and from work because his father sold his horse to help pay off his debts.

Before long, Robert graduated from the shop floor and began an apprenticeship as a machinist, learning to handle molten metal and run a lathe. Though he was earning less than his college allowance, he seemed to enjoy the hard labor. "Good old muscle jobs," he said later, "aren't so bad." A photograph taken at the time shows him wearing a denim cap at a jaunty angle, standing with his hands cocked on his hips.

In the summer, perhaps in a final bid to remind his son of the good things of life that would be lost to a member of the working class, Ernest included Robert on a trip out west. Borrowing the private Pullman car of his friend Charles A. Wickersham, the president of the Atlanta & West Point Railway, Ernest packed up Ernie and his three sons and an assortment of nephews, cousins, aunts, and uncles, and set off on a deluxe, two-month trip across the country to California and down into Mexico. The party visited Chicago, Salt Lake City, Seattle, San Francisco, Los Angeles, and Mexico City, and took a tour by stagecoach through Yellowstone National Park.

If a lesson was intended, however, it did not take. Robert returned home, shrugged off the memories of his vacation and resumed his job with General Pipe and Foundry. He showed no interest at all in changing his mind and furthering his education. He would never have a college degree. But

he did prove to be a willing worker. He pleased and impressed his employers, and after a year he gained a promotion to assistant stock clerk in the foundry's parent company, the General Fire Extinguisher Company. Not long after that, in 1911, he was made a salesman, peddling fire extinguishers to the scores of textile mills in and around Atlanta. He did well and his territory was enlarged.

The next year, Ernest called a truce. His son was twenty-two years old, and it was time to bring him back into the fold, forgive his rejection of higher education and help him with his career. Robert was beginning to show signs of settling down. After years of playing the field, he was finally serious about a girl and it looked as if he might be getting married. Nell Hodgson was a plump, pretty brunette from a large, prominent family in Athens, Georgia, the eighth of nine children born to Edward R. “Prince” Hodgson, a well-to-do businessman who ran a wholesale grocery and manufactured fertilizer and cottonseed oil. Ernie and Ernest considered Nell Hodgson a fine catch and were anxious for Robert to get engaged. Ernest arranged to have Robert hired as a purchasing agent for one of his companies, Atlantic Ice & Coal, at a salary of \$150 a month, with the prospect of a generous raise to \$250 a month if he took Nell as his wife.

But maintaining an agreeable relationship between father and son proved impossible. Ernest couldn't help demanding absolute control over Robert, any more than Robert could help fighting for independence. Years later, Robert described a Saturday morning when he and Nell and some friends were setting off from Atlanta in a convertible to drive up to Asheville, North Carolina, to play golf. With the sky darkening and thunder rumbling menacingly in the distance, his father warned him not to attempt the trip. Robert insisted on going anyway, and his father exploded. “You try to buck everything that gets in your way,” he admonished his son, “but boy, you can't buck the elements!” Robert smiled and patted him on the arm and answered, “Good-bye!”

The serious trouble began when Robert went off to the national automobile show in New York. Wandering the aisles, indulging his fascination with the newest and best the automotive industry had to offer, he soon came to the White Motor Company's display area, where he met Walter White, the scion of the family. White Motor was known for making high-quality trucks, and Walter White quickly persuaded young Woodruff that Atlantic Ice & Coal would be smart to put its mule teams out to pasture and switch to a fleet of modern, motorized White delivery trucks. As purchasing agent for his father's company, Robert agreed to buy fifteen White trucks. And he made a good bargain. In exchange for a low price, he suggested that White keep the trucks on display for the rest of the show and exhibit them as the largest fleet ever sold to a Southern company. Perhaps, Robert said, other Southerners would be inspired to buy White trucks, too.

What Robert failed to do was consult his father about the deal. Predict-

ably, Ernest was furious, believing that the old way of delivering ice and coal was perfectly adequate and that the acquisition of a fleet of trucks was a wild, irresponsible extravagance.

On October 17, 1912, Robert married Nell Hodgson in a fancy ceremony—the “most brilliant social event of the season,” according to the *Atlanta Journal*—at her parents’ house in Athens. Ernest gave the bride and groom a gift of a check for \$1,000, but he did not come through with the \$100-a-month raise Robert thought he’d been promised. Robert went to his immediate boss, a man named Baker, and asked if it was true that Ernest had blocked his raise. Yes, Baker said, it was. “Then you can tell him,” Robert announced, “that I will always love him, but I’ll never do another lick of business with him as long as I live.”

Robert quit Atlantic Ice & Coal and went to work for Walter White. His father was surprised and disturbed by his decision and tried to talk him out of it. “He thought I was making a mistake [and] told me that I had no sales ability and was sure to fail,” Robert reported later. His father also reminded him of the low social esteem and reputation for shaky ethics associated with car and truck salesmen and urged him to reconsider and go into banking. Bitter and angry, Robert snapped at his father that as far as he knew, the Atlanta Federal Penitentiary had no automobile executives behind its bars, though it held quite a few bankers.

Walter White had a practical reason for hiring Bob Woodruff. The young fellow knew everyone in Atlanta—knew how to open doors and gain access in a town that was still a bit provincial and distrustful of outsiders. The way White had it figured, Woodruff could do the Cleveland-based trucking company a great deal of good just by arranging introductions, even if he eventually made up with his father and went into banking.

But Woodruff surprised White. He turned out to be a good salesman. Woodruff sold trucks to several companies in Atlanta and then traveled across Georgia calling on county commissioners, convincing them to buy sturdy, reliable White trucks that could survive the ruts and bumps of the state’s mostly unpaved roads. He learned that the counties run by lone commissioners were his best bet, because the decision to buy was in the hands of one man. “I don’t waste any time with the wrong fellows,” he once told an associate, explaining that it paid to get to know the top people in an organization—the decision-makers—rather than spend time with their underlings.

And he showed initiative. One of the things that had struck Robert on his trip out west with his father was the lazy pace and discomfort of the horse-drawn stagecoaches that carried groups in and out of Yellowstone Park. Thinking that White buses would be an improvement, he called on the company that ran the tours and tried to get them to switch. It turned out the tour operators liked the slow, old-fashioned method because they

also ran the lodge near Old Faithful where tourists had to pay to spend the night. When they declined to buy buses from him, however, Woodruff refused to accept their answer. He took his case all the way to the federal parks commission in Washington, and won.

Woodruff was promoted quickly from salesman in White's Atlanta office to manager of sales and service for the state of Georgia and then to manager of sales in the Southeast, overseeing North and South Carolina, Georgia, Alabama, and Florida. In 1916, at the age of twenty-six, he was making \$300 a month plus expenses and a 25 percent commission on his sales. He lived well. He hired his first valet, James Roseberry, and joined several clubs around town. He played golf with his friend Bobby Jones (soon to be America's premier amateur golfer) and went hunting occasionally with Ty Cobb. At Christmas, as a peace offering, his parents gave him the deed to a house and lot behind the family home on Edgewood Avenue. Whatever their differences, they wanted him nearby.

The most striking aspect of Woodruff's early career at White was his natural ability to command the respect of the men who worked for him. Just as he had at the military academy, he drew people to him and elicited surprisingly powerful feelings. In January 1917, he organized a trip for his salesmen, first to Cleveland to see a demonstration of the company's new 16-valve engine and then to New York for the auto show. When they got home, his men sent him an extraordinary letter:

It remains only for us to express now our hearty thanks for our own Chief and renew our pledges of loyalty in thought and action, to the man who matches every ounce of loyalty with a pound of appreciation; every foot of initiative with a yard of cooperation; every pint of “Pep” with a gallon of Tabasco and every man-power of push with one-hundred horse-power of pull—that's Bob Woodruff, the good pal of our play, and the leader of our work, to whom we are bound by a chain that may lengthen but can never break.

He answered his employees' tribute by giving a supper and presenting each of them a gold medal stamped with the legend, “Woodruff gives credit to his men.” A newspaper photograph taken on the day they departed shows Woodruff standing in the midst of the group on the back platform of the train. The others are waving but he is not. With a cigar stuck firmly in his mouth, he looks serenely confident and completely in charge.

When World War I came along, Woodruff discovered a new way of applying his energies for the company's benefit. He lobbied for assignment to the army's ordnance department, where he helped design a special truck body meant for transporting troops by road instead of rail. The specifications he drew for the 18-man carrier just happened to require the use of

a White Motor Company chassis—a bit of capitalist chicanery worthy of Ernest Woodruff himself. By war's end, Major Robert Woodruff had participated in the design of several military vehicles, all of them dependent on parts and assemblies manufactured by the White Motor Company. His standing with Walter White, already high, rose higher.

After the war, Woodruff stretched to enlarge his circle of friends and especially to cultivate older men who knew their way around the board rooms of New York. Thanks to Walter White, Woodruff was invited to join Norias, a hunting club near Thomasville, Georgia, whose members included some of the most prominent businessmen in the country. He found that his personal magnetism was just as potent with men above him as below. Bill Potter, the chairman of New York's Guaranty Trust, arranged for his bank to lend Woodruff money so he could begin accumulating an investment portfolio. Walter C. Teagle, the powerful president of Standard Oil of New Jersey, made a point of befriending Woodruff and treating him as a protégé.

In a sense, Woodruff chose to bypass his own father. He found there were other men who could help him just as much as Ernest could—perhaps more—and they did so without stirring up all the old frictions and resentments of years gone by. Robert kept a portrait of his father over his bed and ached for his respect and approval, but at the same time he had no intention of relying on him for advancement. Living nearby, Robert tried to maintain cordial relations with his father, but he found they couldn't help testing each other, trying for the upper hand. Many years later, when he was on his deathbed, Ernest confided to a nurse that he loved his son but was jealous of him. Robert, he believed, was doing all the things he wished he had done, and he felt envy.

Ernest continued to chide Robert for his extravagant standard of living, so much so that even as an adult Robert felt the need to conceal some of his activities. Occasionally the results were amusing. Robert and a friend named Abie Cowan once slipped off to Havana for a few days to visit the nightclubs and play the casinos, and when they returned they brought back a supply of fine, 50-cent Cuban cigars. Ernest encountered Cowan on the street in Atlanta a few days later, admired the cigar he was smoking, and asked suspiciously where he got it. Afraid to admit where he and Robert had been, Cowan waved toward an Atlanta tobacco shop and mumbled something about a shipment of nickel cigars. "At that price it's a damn fine cigar," Ernest said, pulling a \$50 bill out of his wallet. "Go back and buy me a thousand."

More often than not, however, the give and take between father and son had an ugly side. "Ernest Woodruff used to treat [Robert's wife, Nell] like dirt," one of her nephews recalled. "He'd borrow her new Chevrolet which they'd just bought, and. . .he'd put pigs in the back seat and take 'em out to his farm and get [the car] dirty and muddy. And also he would use their

servants unmercifully and never pay ’em anything.”* Once, when they were traveling together on a train, Ernest tried to awaken Robert in the lower berth by flicking him with a razor strop, only to find he’d slapped and badly startled a woman Robert had volunteered to give his place. Ernest had to apologize profusely, and Robert thought it served him right.

At the height of their tug of war, Ernest and Robert even fought over the allegiance of Robert’s younger brother, George. A plodding, dependable sort who bore a close physical resemblance to Ernest, George dutifully studied engineering in college and was rewarded afterward with a job as a draftsman at Atlantic Steel, one of his father’s companies. Robert promptly snatched him away, giving him a more glamorous position with White Motor.

In August 1921, Robert was promoted to a vice presidency of White. His success stirred a good deal of attention around Atlanta because it was unusual, at a time when sectional prejudices still ran strong, for a Southerner to rise to the top of a major national corporation headquartered in the North. One of Robert’s childhood friends, his Sunday school classmate Harrison Jones, wrote him a friendly note of congratulations and said the Coca-Cola Company would make it a policy to buy all of their trucks from White, giving Robert the commissions. Good to his word, Jones had Coca-Cola order thirty White trucks for \$100,000 later in the year.

Robert and Nell left Atlanta and began shuttling back and forth between apartments in Cleveland and New York. Robert opened an office in Manhattan and continued to expand his set of acquaintances and business contacts. Within a year, he moved up a final notch to the number two spot at White Motor, securing his position as Walter White’s alter ego and heir apparent. With his career soaring, Robert told a friend he felt as if he had the world by the tail on a downhill string. He had no intention of coming home.

For the first time, his father seemed to realize that he was in danger of losing his son.

Robert was not aware of the first step his father took in the tricky, complicated process that drew him back to Atlanta.

In the spring of 1922, Ernest was traveling around Georgia buying up

* Robert told the story of sending his chauffeur, Lawrence Calhoun, down to the station to pick up Ernest and his luggage. After getting home, Ernest stalled and patted his pockets, saying, “I know I have a quarter here someplace,” and Calhoun supposedly shot back, “Mr. Ernest, if you ever had a quarter I know you’ve still got it.” Actually, no black employee of that period would have dared speak so insolently to a man of Ernest Woodruff’s standing; Calhoun’s remark was probably what he later told Robert he *wanted* to say. What makes the story revealing is that Robert recounted it—frequently—to portray his father as a skinflint.

all the Coca-Cola stock he could find, preparing for the showdown with his Wall Street partners over control of the company. At one point, when he laid hands on a block of three thousand shares, Ernest signed the securities over to his three sons without bothering to tell them, Robert became the owner of a thousand shares of Coca-Cola and didn't even know it.

In fact, for all his claims to the contrary later in his life, the truth was that Robert had no idea how much Coca-Cola stock he owned and little interest in finding out. Unlike his father, Robert was not born with the instincts of a financier. His aptitude was for sales and promotions and managing men, not for the hard-eyed work of playing the stock market. He borrowed money and bought securities and then tended to leave them in a desk drawer, dusty and forgotten.

During the first three years of his father's involvement with the Coca-Cola Company, Robert played no role at all in the business. He picked up a few blocks of Coca-Cola stock here and there, some of it in the form of the special \$5 shares available to the shareholders and directors of his father's bank, Trust Company, but he was not a very big investor. It was not until the fall of 1922, when Ernest formed his holding company, Coca-Cola International, that Robert bought additional shares and took a hand in the enterprise, and even then he merely volunteered his name as one of the five directors loyal to his father.

There is no way of pinning down the precise moment it occurred to Ernest that he wanted to make Robert the president of Coca-Cola. Yet there is no doubt it was Ernest who made the decision. The pretense that he was a passive bystander, or that he somehow objected to Robert getting the job, is simply absurd. After defeating his Wall Street rivals, Ernest Woodruff enjoyed immense, virtually unfettered power over the affairs of the Coca-Cola Company, and nothing was done—nothing *could* be done—without his knowledge and approval. According to a letter discovered in Robert Woodruff's private papers, written to him by one of his father's closest associates, the issue of giving him Coca-Cola's presidency was a matter of intense discussion for several weeks—but only because Ernest worried that people would think Robert was elected “just because you were his son.” The concern was over the appearance of nepotism, that is, not the wisdom of placing Robert in the job.

Certainly Ernest was ready to replace Howard Candler, who was just as eager to go. Relations between the two men were as strained as ever. Candler continued to detest the pressures and disagreements of the executive suite. He hated traveling on company business, and he counted the trips he had to make to New York—nine in 1920, five in 1921, six in 1922—as if they were part of a prisoner's sentence to be served and crossed off the calendar. His official duties, he admitted years later, were a “burden” he was hoping to lay down.

Then, too, the Candler name was losing some of its magic. In the autumn of his life, Asa Candler stumbled into a lurid personal scandal that

threatened to destroy the reputation he'd spent so many years building up. Just a few days after his children agreed to sell the Coca-Cola Company in 1919, Asa attended a huge Confederate reunion in Atlanta's Piedmont Park. ("Welcome, Gallant Wearers of the Gray!" announced a full-page newspaper ad taken out by a local department store, as an estimated ten thousand visitors arrived and set up a tent city.) On the night before the reunion opened, a group of society matrons from New Orleans honored the "Lost Cause" with a Grand Ball of the Sons of Confederate Veterans at the City Auditorium, and it was there that the recently widowed Candler met one of the chaperones, Onezima de Bouchel, and fell in love.

Mrs. de Bouchel was a dark-haired, dark-eyed beauty, and while she was not quite as exotic as her name and her French and Spanish heritage might have suggested to some, nonetheless she was a Roman Catholic, a divorcee and a suffragette, which was more than enough to set tongues wagging in Atlanta's straitlaced social circles. Asa's children and other family members were appalled, especially when they learned that he planned to marry her, and they set out to break things off. They hired a private detective who investigated Mrs. de Bouchel and claimed to have found a pair of unidentified men willing to say they had "visited her at her room in a hotel in Atlanta, at night, on her solicitation." Asa reluctantly called off the engagement.

Mrs. de Bouchel, who appears to have been entirely falsely accused, vowed to fight to protect her reputation as a "pure, chaste, and virtuous woman." In February 1923, right in the midst of the period of change that was buffeting the Coca-Cola Company, she filed a sensational breach of promise suit against Asa Candler asking for \$500,000. Atlanta's greatest citizen became the source of mockery. When Mrs. de Bouchel released a cache of thirteen of his love letters, a rapt newspaper audience learned that he called her "My Very Precious Sweetum." Schoolboys ran in the streets chanting, "O-nah-zee-mah dee Boo-shell! C'mon, Asa, give 'em hell!"*

Under the circumstances, there was little call for retaining Howard Candler as the president of Coca-Cola or for naming any of his relatives as successor. During the past two years, the company had been purging many of the men who were loyal to Sam Dobbs. "Every one that was very close to me in the Coca-Cola Company is being penalized," Dobbs wrote plaintively to a friend who was let go as a salesman. The "accumulated jeal-

* A year later, after a trial that made frontpage news in Atlanta for a week, a jury found in favor of Asa Candler; it was discovered that Mrs. de Bouchel had neglected to complete her divorce from a previous husband and thus was ineligible to marry anyone else. By then Asa had furthered his family's humiliation by giving the slip to his guardians and marrying a young widow, May Little Ragan, a stenographer who worked in his building. She provoked a new round of headlines when she was arrested in a police raid in the company of two male acquaintances, drinking liquor and having what she described as "a little party."

ousies” of years were at work, he said, and there was nothing he could do to help. Dobbs still owned a large block of stock and served on the board of directors, but he rarely went near the office and freely admitted he knew “little of what is going on there.” Some of Asa Candler’s other nephews continued in middle management, but no thought was given to promoting any of them.

Nor did anyone else in the current management seem right for the top job. The logical choice was Harrison Jones, who made no secret of his desire for the promotion or his confidence that he could handle it. The problem with Jones was his flamboyance. Who could forget his performance in front of the bottlers in New York a few years earlier? Arguing the vital importance of sterilizing bottles, he had thundered in his grand style:

The bottles before returning to the owner are frequently used for every purpose where a liquid-holding receptacle is necessary, from obtaining gasoline to clean mother’s skirt, to the collection of a specimen of pathological urine for examination by the local doctor. And there are bottles which have been emptied directly by the lips of tubercular persons or by lips sore with some loathsome infectious disease, and bottles salvaged from garbage cans and from the city dump—of such does the flotsam returned to the bottler consist.

If it was possible for a man to be just a little too eloquent for his own good, that was Harrison Jones. There would always be a place for him in the Coca-Cola Company, but it would never be the presidency.

With no obvious choice in sight, Ernest Woodruff decided to give the job to Robert. He sounded out his closest allies on Coca-Cola’s board of directors and they encouraged him. W. C. Bradley in particular had a high regard for Robert and urged Ernest to go forward. The one part of the myth of Robert’s return that was more or less true was that several of his father’s friends thought he would make a good pick, not so much because they believed he could stand up to his father—no one expected that—but because they thought he might bring peace to the organization. Bradley did make a trip to New York, along with Tom Glenn and Charles Wickersham, to urge Robert to accept.

Robert’s friends thought he should take the job, too. Hoping to give his confidence a boost, Walter Teagle, the Standard Oil baron, took Robert out for a round of golf and promised to hire him in any job he wanted, and at any salary he cared to name, if things didn’t work out in Atlanta. The important thing was to try. Robert had a chance, Teagle argued, to unite the factions at the Coca-Cola Company and bring stability to the organization.

Yet Robert was reluctant. As he often said later, “I didn’t know any more about the soft drink business than a pig knows about Sunday.” He was not at all sure his skill at selling trucks would translate to the very different

challenge of selling Coca-Cola. Nor was he confident that he knew how to be a good executive. He liked to hire men who appealed to him and put them to work without worrying about titles and chains of command. "Hang the chart," he once explained to Walter White, "these men are here to sell trucks!" What he really liked, it seemed, was having everyone report directly to him, a management style that might not work at the Coca-Cola Company.

Then there was the question of compensation. Thanks to a surge in commissions, Robert calculated that he had earned about \$85,000 in 1922, far more than he had ever made before, and far more than the \$36,000 his father and the board of Coca-Cola were offering him to return to Atlanta. Robert tried making a counteroffer—a straight, 5 percent commission on any increase in Coca-Cola sales over current levels—but his father vetoed the idea. If he came home, he would have to accept a reduction in income of nearly \$50,000 a year.

In later years, Robert claimed he accepted the job to recover losses he had suffered investing in Coca-Cola stock. Yet that was plainly not so. As he contemplated taking the presidency of Coca-Cola, the company's stock was hitting an all-time high of \$75, nearly double the original offering price of \$40, and he could easily have sold out for a handsome profit. Robert's personal portfolio was in fine shape—not that he was following the ticker tape very closely: "I am . . . having a very difficult time figuring out how much Coca-Cola stock I have and how much Coca-Cola International stock I have and where it is," Robert wrote his secretary early in 1923, asking for help in tracking down his stock certificates. Looking over his dividend deposits, Robert figured out he must own 3,537 shares, and later he learned to his surprise from Ernest's secretary that his father had given him gifts totaling another 1,500 shares. Had he wished, Robert could have sold out then and there for more than a quarter of a million dollars.

Further contradicting Robert's memory, the company was not in the dire financial straits he recalled. The crisis was over. The loans securing the high-priced sugar were nearly paid off, the dividends on common stock had been restored (and had been hiked from \$1 to \$1.50 a share per quarter), and the company had \$4 million in cash sitting in the treasury. The simple truth was that much as he wanted to believe so, Robert was not being called to the rescue. He was being called home by his father. And the reason he accepted the job was to prove to his father that he could do it.

The first problem Robert faced was an angry insurrection in Howard Candler's family.

Howard was content to step aside, but Flora, his wife, was beside herself. This was the second time Ernest Woodruff had plotted to shove her husband out of his rightful place as president of the Coca-Cola Company, and she had no intention of going along. The fact that her brother, Tom Glenn, was a party to the scheme just made it that much worse. At her urging,

Howard told the Woodruffs that if they wanted him out as president, he would gladly go, but he also planned to resign from the board of directors and withdraw completely from the company's affairs.

Returning to Atlanta, Robert hastened out to Callanwolde, Howard Candler's mansion on Briarcliff Road, to confront the angry couple. The last thing Woodruff wanted was a flood of publicity suggesting that the Candlers were being purged from the Coca-Cola Company. The transition needed to be smooth. Woodruff urged Howard to remain on the board and to take the chairmanship of a new advisory committee that would help set policy for the company and determine its long-range strategy.

That Howard and his wife bought the idea is perhaps a measure of the mastery Woodruff had achieved in the art of persuasion. There was little in his proposal to mask the fact that Howard was being shunted aside to a powerless sinecure. Yet Woodruff argued forcefully that he needed Howard at his side if he hoped to run the company successfully. In fact, Woodruff swore—and there is no indication he was bluffing—that he would refuse to take the presidency unless Howard agreed to stay on and lend him his personal support. "I need help," Woodruff remembered telling Howard Candler, "I need your help and support." Genuinely convinced, Howard agreed.

Others in the family had a hard time believing Howard could be so easily mollified. His brother William, in particular, was anxious to protest the change of command. William had served as corporate secretary of the Coca-Cola Company until the previous fall, when he resigned in the wake of Ernest Woodruff's victorious showdown with the New York interests. Now William was threatening to create a scandal on Howard's behalf, and Howard worked quickly to dissuade him. "As frequently happens," Howard wrote a mutual friend, "William did not get a right reflection of the situation and was inclined and, in fact, declared it to be his purpose to adopt a policy which would be, if I am unable to control him, very embarrassing to me."

Howard was able to calm his brother by assuring him that "it is entirely wrong for anybody to think for one minute that I am going to be put out of the Coca-Cola Company. . . . Mr. Robert Woodruff has made it a condition upon his coming into the company that I stay with it."

With Howard on board, the path was nearly clear for Robert's election as president. As a preliminary step, at a Coca-Cola stockholders' meeting in February 1923, Ernest put through a slate of new directors that included Robert and Walter White. He also put Robert on the company's powerful executive committee.

One hurdle remained. Howard and his immediate kin might be satisfied, but the same could not be said for others in the top ranks. While no one was careless enough to leave proof of an insurrection, company records strongly suggest that Ernest Woodruff had to accept a final deal with several other board members before gaining their acceptance of Robert as president. Sam Dobbs, Bill D'Arcy and Harold Hirsch all viewed Robert's

accession with a measure of skepticism, and it appears they insisted on a trade-off: Hirsch was to be made a vice president of the company, and his firm, Candler, Thomson & Hirsch, was to be named general counsel. In that way the smart and seasoned Hirsch could keep an eye on the new president, who after all had never sold a glass of Coca-Cola in his life.

At eleven o'clock on the morning of Saturday, April 28, 1923, the board met in special session at the Coca-Cola Company's headquarters in Atlanta. Twelve of the fifteen directors showed up. Ernest and Robert Woodruff were there, along with their staunch allies Tom Glenn and Walter White, and loyal Atlanta investors Jim Nunnally, Bulow Campbell, and W. A. Winburn. W. C. Bradley came up from Columbus with his son-in-law, D. Abbott Turner, who went on the board the same time Robert Woodruff did. Elsewhere around the table were Dobbs, D'Arcy, and Howard Candler. The only members who failed to attend were the New Yorkers, E. F. Hutton, Gene Stetson, and Charles Hayden, who no longer had much say in running the company.

Howard Candler tendered his resignation as president and nominated Robert Woodruff as his successor. The vote in favor was unanimous. According to the minutes, Ernest Woodruff did not object or abstain or leave the room.

In his first days as president of the Coca-Cola Company, Bob Woodruff did what many new chief executives do. He redecorated his office and started hiring his friends.

Coca-Cola's home base in Atlanta was a boxy, three-story brick building at the corner of North Avenue and Plum Street, completed in 1920 and meant to house the corporate offices on top of the syrup factory. Yet until Woodruff arrived, there was little sense of the place as a headquarters. Ernest operated as always from his rolltop in the Equitable Building halfway across town, while Harold Hirsch and most of the Candler clan retained their handsome suites atop the Candler Building. The two top floors of the Plum Street building, partially unfinished and occupied mostly by shipping clerks and junior men who worked in advertising and promotion, seemed dreary and far removed from the real center of power.

Woodruff was determined to make Plum Street his base of operation. He had workmen install oak paneling and glass partitions in each office along the main corridor of the second floor, lending an atmosphere of privacy to what had been little more than an open space full of desks and chairs. Choosing a corner office for himself, Woodruff settled in behind a sturdy leather-top desk, stuck a spittoon on the floor to catch his cigar ashes (some of them, anyway), and gave the signal that from now on, Coca-Cola's business would be conducted from the Coca-Cola building.

For years afterward, Woodruff liked to tell the story that his first official act as president of the company was to give a lifetime job to Jim Key, the hostler who ran Asa Candler's stables. Key was about to be fired, now

that the company had switched from horse-drawn drays to trucks, when Woodruff intervened. Remembering Key's kindness in boarding his pony years before, Woodruff arranged to keep him on the payroll, explaining vaguely to those who asked that he was making the old black man a "staff vice president."

It was a nice tale, one that illustrated how different Robert Woodruff's way of doing business would be from his father's. Part of the mythology surrounding Woodruff was the notion that he raced into the Coca-Cola Company at a gallop, cracking his whip and bringing the fusty old enterprise out of a long snooze. Actually, he moved with deliberation, and it was not so much a case of his reawakening the company as it was his starting to rethink some of the assumptions that guided it.

Woodruff had tremendous curiosity about his new enterprise. As he set about the task of discovering Coca-Cola's secrets, one of his first revelations came in the unlikely setting of Moose Jaw, Canada. Making a cross-continental train ride in early winter, Woodruff passed through Moose Jaw, a small city in Saskatchewan Province, on a day when the temperature plunged unexpectedly to 35 degrees below zero. He saw people in the station drinking Coca-Cola, and he was struck by the thought that the soft drink had no natural boundaries of culture or climate. Someone sitting in woolens beside a hot stove in winter was just as likely to get overheated and thirsty as a sunbather at the beach in July. Reading reports from the company's branch offices, Woodruff noted with interest that the consumption of Coke was nearly as high in Montreal as it was in New Orleans.

Coca-Cola's potential seemed limitless. A couple of years earlier, some of the directors of the D'Arcy agency had calculated that for all the millions of gallons of syrup the company was selling, it had barely begun seeping toward its saturation point. Across the United States, the average per capita consumption of Coca-Cola was a relatively meager three servings a month. "We got to talking about it," one of the D'Arcy men reported. "Some of us used our pencils, and we were amazed to discover that if we could enlarge the monthly per capita consumption of Coca-Cola by just a fourth of a drink, it would mean. . . 3.3 million additional gallons of syrup [annually]." Even the most modest increases in consumption would translate into great leaps forward in production and profits.

Woodruff recognized, as Asa Candler never had, the importance of Coca-Cola in bottles. The company was quickly approaching the day when sales of syrup to the bottling companies would exceed sales to fountain outlets. More and more, customers were insisting on the convenience of having Coca-Cola come to them instead of vice versa. The number of soda fountains serving glasses of Coca-Cola had peaked at about 115,000; nearly four times that many retail outlets offered bottled Coke, and more were being added every day. "An arm's length from desire" was the florid phrase Harrison Jones coined to describe the ubiquity offered by bottled Coca-Cola, and Woodruff liked the ring of it. He wanted Jones to continue his

efforts at mending fences with the bottlers, and he wanted the bottlers to work harder.

He also seemed determined to discover and preserve the aspects of the business that had made it successful in the past, beginning with a new emphasis on the importance of quality. At the age of thirty-three, Woodruff was three years younger than Coca-Cola itself. He had a keen appreciation of just how unusual it was for a soft drink to have lasted so long. The White Motor Company was known for the reliability of its trucks, and Woodruff thought the Coca-Cola Company should exploit its own reputation for making a consistently superior beverage.

Before he could begin making changes or setting new policies or thinking up new ways of selling an old product, though, Woodruff first had to establish his authority over the people around him. Before he could lead, he had to prove he was a leader.

He began by asserting his presence at the company's Plum Street headquarters. Sanders Rowland, who was working nights at Coca-Cola and supervising the cleaning staff while he put himself through Georgia Tech, remembered how startled he was one evening to discover Woodruff staying late. Rowland had instructed one of the janitors, Tom Freeman, to replace a leaking Icy-0 cooler outside Woodruff's office; seeing later that the job hadn't been done and that melted ice was pooling under the box, Rowland gave Freeman a sharp dressing down.

Rowland recounted, “Someone tapped me on the shoulder and said, ‘That's right, Sanders, give 'em hell if they don't do what you tell them to.’ It was Woodruff. He was with someone else, passing through his quarters and overheard what I said. I was flabbergasted that he caught me fussing at Tom—and even more amazed that he knew my name.”

Woodruff had learned certain basic tricks of command. He did not make the mistake of trying to befriend his employees. He maintained his distance, cultivating a stern expression and demeanor—a “mean squint,” in the words of a nephew—that were meant to intimidate underlings and usually did. The cigar with the red-hot tip that he kept clamped in his teeth made him seem a little unsafe to approach physically. When he gave orders, he never asked if they had been carried out; that way no one could give him an excuse.

As he'd shown before, Woodruff enjoyed the intangible quality of making men want to please him. Joseph Jones, who served him for fifty arduous years as a traveling companion, personal aide, and later as chief of staff, and who was on call twenty-four hours a day, every day of every year during the entire time (and who endured two divorces as a result), tried to explain Woodruff's appeal: “People asked me over the years, why do you do what you do? Why do you put up with it? Hell, I *wanted* to. . . . It never occurred to me that I was being imposed upon. Whatever was necessary, whatever was required, to the extent I could do something I thought he would like or maybe was thinking about, I just went on and did it.” Others felt the same way.

Woodruff assembled an inner circle of close associates who gathered most mornings in his office at Plum Street to receive their daily marching orders. They styled themselves the “Eight O’Clock Club” in honor of their regular meeting time and soon developed the same sort of esprit de corps that had characterized the men who worked under Woodruff at White Motor. (Woodruff’s formal name for the group, reflecting the purpose for which he intended to use them, was the Board of Control.)

The new president’s strong suit was selling, and he moved quickly to put his own team in the company’s sales department. He chopped the United States into four zones and picked the men he wanted to run them. An old Atlanta friend named Carl Thompson, a former star athlete at Georgia Tech who had pitched two seasons for the New York Yankees, took the Western region headquartered in San Francisco. Eugene Kelly moved over from White Motor to run the Central region out of Chicago, while Hamilton Horsey, an insurance executive, took up a post in New Orleans to supervise the South and Southwest. The Eastern region went to one of Asa Candler’s ablest nephews, Sam Willard, in Baltimore. Another old hand, Neal Harris, was appointed to oversee the whole sales effort.

Next, Woodruff bent to the difficult task of establishing dominion over the company’s senior men. There was friction between Woodruff and Harold Hirsch right from the start. Hirsch had no role in marketing or sales or the other commercial activities of the business, but he expected to have a free hand in guiding the company’s legal affairs. Woodruff thought otherwise.

When Woodruff arrived on the scene, Hirsch was preparing a final settlement of Coca-Cola’s long-running feud with the proprietors of Chero-Cola, a look-alike, sound-alike soft drink made in Columbus, Georgia. Seeing the terms of the settlement, Woodruff was surprised and disappointed. Instead of fighting the issue in court and putting Chero-Cola out of business, Hirsch was proposing a compromise that would allow the other beverage to call itself “Cherokola.”

It seemed to Woodruff that Hirsch, once the staunchest defender of the trademark in the company, was giving in too easily. Woodruff held up the settlement, demanding terms more favorable to the Coca-Cola Company and forcing a reluctant Hirsch to reopen the negotiations. At Woodruff’s insistence, the makers of Chero-Cola agreed to drop the word “Cola” from their name and market their product simply as “Chero,” a decision that eventually drove them out of business.*

* The proprietor of Chero-Cola, a dour-faced pharmacist named Claud A. Hatcher, attended his company’s bottlers’ convention in 1923 wearing a cape and a plumed hat, and later published a little booklet, the *Chero-Cola Booster*, whose cover showed an orange Chero-Cola truck bouncing up the road toward “Prosperity.” Actually sales fell off sharply after the settlement and the soft drink, once very popular in the South, disappeared entirely during the Depression.

Woodruff won a different kind of showdown with Harrison Jones. The two were almost the same age; they had been neighbors and Sunday school classmates for years and were related by marriage. (One of Jones's brothers was married to Nell Woodruff's little sister, Dorothy.) Jones found it hard to accept the fact that an old friend—one who had never worked a day in his life in the soda pop business—was now his boss. A quarrelsome man at the best of times, Jones began complaining loudly and frequently to almost anyone who would listen that Woodruff was in over his head, until finally his father, Sam Jones, who knew and liked Woodruff, stepped in and advised him to cool off.

“What is your title?” Sam Jones asked his son.

“Vice president.”

“And what is Bob's title?”

“President.”

“I'd suggest,” Sam Jones replied pointedly, “that you remember it.”

Bit by bit, Woodruff took charge. He operated quietly, behind the scenes, but there was no mistaking his intention of putting his own stamp on Coca-Cola. His first goal was to restore one of the company's greatest assets, its secret formula, to the position he believed it deserved.

Over the years, the Candler's had made several changes in Coca-Cola syrup, from eliminating the cocaine to adjusting the levels and kinds of sweeteners, to experimenting with different sources for the acids and caffeine. During World War I and its aftermath, the company tinkered with the formula to compensate for shortages in various ingredients, notably sugar, and tried a variety of substitutes. On the eve of Woodruff's arrival, the amount of caffeine, which had been halved to six-tenths of a grain per serving in the settlement of the Chattanooga case, was reduced again, to four-tenths of a grain.

Company officials had not publicized the alterations, naturally. Yet neither had they focused on the importance of protecting Coca-Cola's reputation for quality and consistency. Consumers appreciated quality, Woodruff believed, but just as important they responded to the *idea* of quality. They wanted to buy products from companies that were known to be committed to high standards. In Woodruff's view, changing the syrup was dangerous, not so much because consumers were likely to notice a difference in the taste, but because they might think the Coca-Cola Company was cutting corners and lowering its standards if they found out.

Woodruff decided to adopt a policy that there would never again be a change in the formula, no matter what. He got in his car, he later said, and drove down to Columbus to see W C. Bradley, the chairman of the board. Woodruff asked Bradley point blank to agree that from now on adjusting the formula was “not acceptable.” Bradley went along.

The new president inaugurated a Quality Control division to perfect the syrup, sent inspectors out to improve conditions at the bottling plants,

and staked the company to a public promise that it would make every single serving of Coca-Cola taste exactly alike. The idea, as Woodruff explained it, was “to sell the company as an institution as a guarantee of the product itself.” He approved a new slogan, “The Charm of Purity,” and commissioned an ad pointing out proudly that Coca-Cola had been sold during the terms of eight presidents.

Woodruff then turned his attention to retrieving the lone copy of the formula.

The sheet of paper was still sitting in a bank vault in New York, its home since serving as collateral for the company’s sugar loans. As a practical matter, of course, having the written recipe was unnecessary for the conduct of business. At least four people in the company, and probably several more, knew how to make Coca-Cola syrup. Howard Candler, Sam Dobbs, and Sam Willard all had been in charge of production at one time or another, and Ernest Woodruff had hired a chemist, W. P. Heath, specifically for the purpose of learning the formula from the Candlers. Any one of them could have jotted down a fresh version. Yet there was huge symbolic importance in regaining custody of the original. Woodruff planned to begin a campaign to give an air of sanctity to the secret formula, and that would hardly be possible if the company casually abandoned the document. With the board’s permission, he arranged to have it returned.

During a trip to New York, Woodruff sent a representative over to Guaranty Trust, where a group of vice presidents came forth and ceremoniously turned over a blue envelope closed with sealing wax. Woodruff carried the envelope home to Atlanta on the train, had the contents examined and certified as genuine by Dr. Heath, and then placed the formula in a safe deposit box, marked with a red flag for careful handling, at Trust Company. The formula was back in a bank vault, only this time it was in the Trust Company of Georgia—the Woodruff bank.

Woodruff’s attitude toward the formula was more than just a matter of careful stewardship of one of the most valuable trade secrets in American business. He gloried in the process of secrecy itself, setting up elaborate procedures that seemed to be designed to call attention to the formula as much as they were to protect it. At Woodruff’s direction, the company established a rule that no one could see the formula without the formal permission of the board, and then only in the presence of the chairman, president, or corporate secretary. Furthermore, the rule said, only two company officials would be allowed to know the formula at any given time, and their identities were never to be disclosed for any reason. The company then publicized the policy.

Over time, Woodruff’s dramatic, cloak-and-dagger treatment of the formula had the effect of elevating it to the status of a cult object. During the era of air travel, the company’s policy was amended to forbid the two officials who knew the formula from flying on the same plane; that rule, too, was widely broadcast. The existence of the most mysterious of

the ingredients, the blend of flavoring oils called Merchandise No. 7X, was teasingly admitted—even while its composition was guarded as carefully as a state secret.

The strategy seemed to spring directly from Woodruff’s personality. He had become an intensely secretive man. Even by the standards of caution and reticence that marked the way many businessmen presented themselves to the public, Woodruff stood out. In direct contrast to the warmth and magnetism he exuded dealing in private with friends and colleagues, his public demeanor was stiff and guarded.

His return to Atlanta to run the Coca-Cola Company triggered a wave of news stories, yet he ducked every opportunity for personal publicity. In the single in-depth article that appeared, a profile in a Sunday edition of the *Atlanta Journal*, he protested to the reporter, “I’ve just been lucky. I’m not at all the kind of person to write about. I never knew my lessons at school. I’ve never done any of the things the books say you should.” Woodruff disliked being interviewed, disliked making speeches, disliked exposing himself in any manner to the scrutiny or judgment of others. He had a terrible fear, apparently rooted in the misery of his school years, that he would not be able to express himself properly. He worried about being misunderstood.

If Woodruff could think of a way to escape a public obligation, he did so. Once, at a formal dinner in Cleveland for the executives of the White Motor Company, Walter White leaned over and asked him to get up and make a few remarks. What subject? Woodruff asked. Anything you like, White answered. “Well,” Woodruff whispered after a moment, with a deadpan expression, “I guess if I *must* talk, maybe the subject I’m most qualified to discuss is the one these boys are the most interested in—you. I bet I can tell ’em some interesting things that maybe they don’t know.” White never called on him.

When a public encounter was inescapable, Woodruff escaped anyway, taking refuge behind a wall of banalities that concealed his true thinking. The early statements he made after taking the presidency of Coca-Cola are models of empty, sanitized bromides that could have been found (and possibly were) in a book of sayings. “You don’t have to blow your own horn,” he told a nationally syndicated business writer. “Ability shows.” Reporters complained that he interviewed *them*, sending them off feeling flattered but carrying notebooks full of blank pages.

In any communication likely to become part of the record, Woodruff retreated to the safety of cardboard sentiment. In an early issue of the *Friendly Hand*, one of the Coca-Cola Company’s in-house publications, the editors offered an article entitled, “Thoughts from President Woodruff.” It began with Polonius’s advice—“To thine own self be true”—and concluded, “To change the thought of Shakespeare a little, with each and all of us honest with ourselves, it follows that the Coca-Cola organization will be beyond question the kind of organization that makes us proud of it. . . .”

Digging out the real man was extremely difficult. Woodruff’s desire

for privacy—or, more accurately, his desire to protect himself from being observed and judged by people who were beyond his control—bordered on an obsession. He was cryptic by nature. He made up a code so that he and other Coca-Cola officials could communicate by telegram without divulging the company's secrets. His private papers contain a manual setting out five-letter designations for a variety of different messages. If the combination "YAIGZ" appeared, for instance, it meant sales were off. "BLERZ" indicated that the conditions were right for setting up a Coca-Cola factory. All businesses have confidential information to guard, of course, but Woodruff seemed to like secrecy for its own sake: When he traveled, he would routinely wire back "DEGIG." It meant he'd arrived safely.

The same flair for the clandestine marked Woodruff's private business dealings as well. When he set up a personal holding company, Acmaro Securities, he meant its name to be a puzzle. Only a few insiders figured it out: The "Ac" stood for Woodruff's accountant, Arthur Acklin, the "ma" was borrowed from his secretary, Mattie Lott, and the "ro" represented the first two letters of his own name, Robert.

A psychology buff might find fertile ground speculating about the origins of Woodruff's enigmatic temperament. Certainly it would not be unusual for a boy who continually displeased his father to develop a variety of defenses, including emotional camouflage. Several of Woodruff's friends and associates guessed in hindsight that he found it necessary to conceal a tender side he inherited from his mother. He was not as tough as his father, they thought, but he was fully capable of acting as if he were, which was the next best thing.

Whatever the reasons for it, Woodruff placed a complicated and occasionally deceptive persona into the service of a company whose very purpose was to lead a dual existence—to make its name familiar while keeping its formula obscure.

It might be true that any halfway competent chemist could manufacture an imitation of Coca-Cola syrup good enough to fool the palate of an expert, but as long as people *thought* Coca-Cola was special they would continue demanding it. In Asa Candler's day, his insinuations of black magic about Coca-Cola—the fanciful health claims, the flirtation with cocaine—eventually came very close to destroying the company. Woodruff was from a different generation with a vastly different perspective, and he was extremely cautious about Coca-Cola's reputation. He placed the greatest emphasis on the virtues of quality and consistency.

But in his own way, Woodruff, too, meant to give Coca-Cola an aura of mystique. He wanted to tantalize the American consumer with the idea that Coca-Cola had unique, slightly exotic properties, and thanks to the attention he directed toward the secret formula, he succeeded.

There was one other area of the company's business that Drew Woodruff's keen interest: advertising.

Woodruff did not get along well with Bill D'Arcy. Older by sixteen years, and with nearly two decades of experience creating highly successful ads for Coca-Cola, D'Arcy thought he knew what was best for the company and had a habit of telling Woodruff so.

Years later, Woodruff told a nephew that he often had to stand up to D'Arcy and say, "No, Mr. D'Arcy, we're going to do it *this* way." Actually, Woodruff preferred to avoid confrontations and found it easier to sidestep D'Arcy. He soon discovered that he could work more smoothly with one of the agency's junior men, Archie Lee, who was handling the Coca-Cola account on a day-to-day basis.

Archie Laney Lee did not fit anyone's stereotype of an advertising man. Born in Monroe, North Carolina, and educated at Duke University, Lee was thoughtful and quiet, full of spiritual and philosophical musings, but also ambitious. An eager student of human nature, he wanted to write great books one day. "I want my life to be complete in itself," he wrote his mother when he was a young man. "I feel that to work just for money's sake would be a desecration. I want to do something really worthwhile. I would die happy if it should be just one recognized and lasting thing." He hungered for success. "A man who can see life in its colors and describe it in words," he added in the same letter, "can gain fortune and fame. Fortune and fame! They make a lot of difference. I can never be happy as a commonplace man."

Lee moved to Atlanta in 1908, fresh out of college, and started work on the *Atlanta Georgian*, the newspaper whose editor caused Asa Candler such grief during the Chattanooga trial. Lee covered the celebrated Leo Frank murder trial in 1912, when a wave of anti-Semitism convulsed the state of Georgia, and proved himself to be a graceful writer. During the war, he joined the infantry and served as a captain in France. He displayed an unusual knack for being able to dismantle and reassemble rifles and pistols, even in complete darkness, and was sent home to the United States to become an instructor.

Mustered out after the Armistice, Lee returned to his job at the newspaper. Not long afterward, he did a flattering profile of Sam Dobbs, the new president of Coca-Cola, and as such things often transpire Dobbs offered him a job at a higher salary writing ads. Lee took it. He joined the D'Arcy agency in St. Louis and quickly became one of the top men churning out Coca-Cola copy.

The quality of Lee's work was apparent to D'Arcy and everyone else in the agency. Even after his mentor, Dobbs, was ousted from power, Lee continued to take on more and more responsibility for the Coca-Cola account until finally, doing "the best work I have ever done in my life," as he proudly put it, he single-handedly wrote an entire Coca-Cola campaign.

On a gray Saturday late in October 1921, Lee sat alone in his seventh floor office and wrote his father a long letter. The sky was wintry, he said, and it was so dark the lights were on at three o'clock in the afternoon. He

and D'Arcy had just returned from a business trip to Atlanta, where they had met with Howard Candler and the other top brass of the Coca-Cola Company. The agency had prepared more than fifty pieces, most in full color. "Mr. Candler said it was the best material that had ever been presented to them," Lee wrote. "That made me feel proud because I had had a big part in preparing it."

As he continued writing his letter, Lee began daydreaming, sharing his innermost feelings with his father. His job, he believed, was to furnish ideas—to think. And it was hard work. Thomas Edison kept a quotation from the English portraitist Sir Joshua Reynolds hanging on a wall in his private office, Lee told his father. It said, "There is no expedient to which a man will not resort to avoid the real labor of thinking." Lee expanded the thought and added his own view: "Being too lazy to think is the cause of religious prejudice—the cause of Republican administrations, threatened railroad strikes, prohibition, bad roads and divorces. People have plenty of ability to act intelligently if they would only think."

The man who pitched Coca-Cola to the world was a complicated fellow indeed, and that gave him something in common with Robert Woodruff. The two men had met and formed a casual friendship in Atlanta during Lee's newspaper days. They renewed their acquaintance in the summer of 1922 when Woodruff gave White Motor Company's advertising to the agency. A year later, after taking the reins at Coca-Cola, Woodruff turned to Lee and put him in charge of the account.

The work Archie Lee did for Coca-Cola was remarkable. It was not just the technical excellence of the advertising, although that was certainly a factor. Lee hired the best illustrators of the day and got them to paint attractive, original canvases. More important, though, he put his fertile mind to work on a philosophy that would give the company's ads a purpose.

Lee and Woodruff spent hours together talking about the challenge that confronted them. "We wanted to promote Coca-Cola not just as a soft drink or even as 'the leading' soft drink," Woodruff recalled. "We wanted to promote it as something bigger than just the answer to thirst. We wanted to make it a thing apart. . . to sell it to all segments of the social structure as one of the pleasant things of life."

The ad campaigns that eventually stitched Coca-Cola into the fabric of American society had their origins in the long conversations Woodruff and Lee held during the early days of Woodruff's presidency. They talked in Woodruff's office and on the golf course, went hunting together, took long walks, and sometimes rode horses far out into the countryside. They grew close, so much so that Lee asked Woodruff to be the best man at his wedding. They enjoyed pondering the grand imponderables, wondering with each other about the meaning of life and the existence of God when they weren't actively calculating how to sell more syrup. Lee once told Dick

Gresham, the preacher who had been Woodruff’s roommate, that the discussions he had with Woodruff “bridged the gap” and helped him find faith.

Haddon Sundblom, the gifted illustrator who later created Coca-Cola’s Santa Claus ads (and who was already famous for inventing Aunt Jemima and the Quaker Oats Man), did his first canvas for Lee in 1924. “At the time I hadn’t the slightest idea of the philosophy of Coca-Cola advertising,” Sundblom said later, but he soon learned that in addition to painting pictures he was expected to undergo what he called an “indoctrination” into Lee’s thinking. Coca-Cola’s primary color was red, of course, dating back to the bright paint Asa Candler chose for sprucing up the old beer kegs and barrels he used to ship his syrup. The familiar script of the company’s logo was almost invariably rendered in white on a red background. As Lee saw it, though, there was a problem with red: It was a hot color, when the whole point of Coca-Cola was refreshment—cool, icy, thirst-quenching refreshment. (Sam Dobbs had grappled with the same dilemma years earlier. He couldn’t use the red background in bathing beauty ads, he said, because “red is not a very cool-appearing color on a hot day.”) There was no way to eliminate the venerable red, but Lee decided to soften the effect by adding green and white to the mix.

“I learned,” Sundblom reported, “that the red, white and green combination was much more than a temporary device of harmonious color. It had been planned carefully and thoughtfully—much as a nation might plan its flag . . . RED for energy, WHITE for pure wholesomeness, GREEN for refreshing coolness.” Sundblom’s first illustration was a girl in a creamy white “garb” at a soda fountain against a green background. The colors were envisioned as a sort of emblem for Coca-Cola, he said. In time, a simple poster showing a bottle of Coke in a snowdrift against a green background would be sufficient to convey everything the company wanted to say about its product without a single word of text.

Like most advertising men, Lee believed in repetition. Certainly there was no lack of familiarity with the name Coca-Cola. In one recent year alone, the company had passed out a million calendars, 17 million paper napkins, 75,000 “Ice Cold” signs, 6,000 gross of pencils, 50,000 oval serving trays, 15,000 oilcloth signs, 100,000 streetcar signs, and three million blotters, all with the trademark prominently displayed. But Lee wanted a greater sense of uniformity, an overriding theme to the ads and promotions that would have, as one D’Arcy executive put it, a “family resemblance.” Lee came up with the idea of putting the trademark in a rectangle and later devised the round red sign with the white logo that eventually became the best-known commercial symbol in the world.

Along with simplicity and familiarity, Lee wanted Coca-Cola’s advertising to convey meaning. He believed a product could come alive and take on a sort of animate personality if it had the right advertising. He once described how he was struck by his five-year-old daughter’s capacity for

believing that her Winnie the Pooh doll was a living creature. “‘Pooh’ is as much alive in her life and in the sphere around her as any god on Olympus ever was to the Greeks,” Lee observed with wonderment “And ‘Pooh’ has come to influence the conduct of the whole family.”

Lee had nothing less in mind for Coca-Cola. Early in 1925, he pulled together all of his new ideas and created the “Ritz Boy” ad. It showed a handsome bellboy in a crisp, white uniform carrying a tray with a bottle of Coca-Cola and a glass. The background was dark green and the trademark appeared in a rectangle at the upper right; the text said, “6,000,000 drinks a day.” Appearing on more than five thousand billboards in towns and cities across the country, the ad imparted a subtle but clear message. The bellboy, who got his nickname because his outfit resembled the fancy costumes worn by pages at the Ritz hotels, conveyed a sense of elegance and social distinction. Yet he seemed to be stepping forward and serving the Coca-Cola directly to the consumer standing in front of the scene, as if to say the drink (and all the elegance associated with it) was readily available to everyone. For the initiation fee of a nickel, the ad suggested, a customer could enjoy a Coca-Cola—and along with it the reassurance that he or she was worthy of sitting in the lobby of a Ritz Hotel being waited on by a servant in livery.

In selling Coca-Cola, Lee once told Woodruff, “you are dealing with something almost as broad and subtle as promoting an idea like free enterprise or democracy.” It was not enough to describe Coca-Cola as a quality product, not enough to say it tasted good or quenched thirst or even that it restored energy to the tired and downtrodden. For years, the company’s advertising had described Coca-Cola as a pleasing, helpful product associated with activities and events that caused thirst, excitement or fatigue. Lee now moved a step beyond. He unabashedly linked Coca-Cola with “American youth and romance,” writing copy that appealed to the human craving for popularity and sociability. For the first time, ads not only showed boy-meeting-girl, but suggested pointedly that boy and girl somehow were meeting *because* of Coca-Cola.

Lee was masterminding one of advertising’s first great “brand image” campaigns, investing Coca-Cola with an appeal that went far beyond its function as a product. Tremendously pleased, Woodruff had him promoted to account executive and waited to see what he would think of next.

Six

SHORT SALES

In October 1924, Robert Woodruff summoned one of the Coca-Cola Company's top men and dispatched him on a secret mission overseas.

Since taking the presidency of the company a year and a half earlier, Woodruff had grown increasingly eager to sell Coca-Cola in foreign markets. The soft drink's popularity in Canada was a proven fact, and Woodruff thought similar results ought to be attainable elsewhere. He was especially eager to introduce Coca-Cola in Europe, with its crowded urban centers and convenient distribution systems.

The company had been taking small, tentative steps onto foreign turf for more than two decades, beginning with Asa Candler's decision to send a salesman into Cuba and Puerto Rico in 1899 after the Spanish-American War. Coca-Cola "followed the flag" to Hawaii, the Philippines, and Panama, and pioneering sales efforts were undertaken in a variety of ports of call from Bermuda to Shanghai. Howard Candler, ordinarily so timid in his guidance of the company's affairs, had nagged the board until it granted him permission to look for bottlers and start awarding franchises in Central America and Western Europe.

The problem was that except in Canada, the vast majority of people who ordered and drank Coca-Cola in foreign lands were Americans—soldiers, tourists, diplomats, businessmen, and expatriates who'd learned to look for Coca-Cola's logo as a familiar reminder of home. The millions upon millions of people who *lived* in other countries were almost entirely oblivious to Coca-Cola. Sales were confined for the most part to military canteens and the bars and restaurants of luxury hotels. Local markets were barely being scratched. The "invasion" of the world Asa Candler once grandly promised had never happened.

One grim episode typified the company's hapless performance on the international stage. Just after the end of the war, with the blessing of the home office, an American entrepreneur named R. A. Linton launched a promotional campaign in France, supplying dozens of dubious cafe and restaurant owners with bottled Coca-Cola to offer their customers. Unfortunately, Linton and his French partner, George Delcroix, knew little about sanitation and production. In a terrible comedy of errors, they used stale ingredients, unrefined sugar, and unsterilized tap water to make their syrup, mixed it with carbonating gas full of beer esters from a brewery, and capped

the product with untreated cork crowns that quickly sprouted cultures of virulent bacteria. Everyone who tried a sip got violently ill. For years afterward Coca-Cola salesmen reported being chased out of various Parisian establishments by infuriated proprietors, in one instance by a shouting, red-faced man wielding a butcher's knife.

Woodruff wanted to expand the company's efforts beyond the American colony and tap into the native populations of the rest of the world. And he wanted to do it right, using the refined technology and sales techniques the company had developed in the United States. He was confronted, however, with a distinct lack of enthusiasm on the part of his father and some of the other big shareholders on the board of directors. The company was making money quite nicely, they felt, without risking big losses on experiments with the tastes and habits of strange people in strange lands.

In hopes of proving his doubters on the board wrong, Woodruff picked the most promising, culturally compatible target he could imagine—England—and sent a trusted lieutenant, Hamilton Horsey, to find out what it would cost and how long it would take to build a market there for Coca-Cola. Horsey sailed from New York, spent six weeks in London and gave his confidential report to Woodruff the day after returning.

Horsey tried hard to be encouraging. Recommending an immediate campaign to introduce Coca-Cola in Great Britain, he predicted confidently that the English would be receptive to the soft drink. They liked mineral water, after all, and were accustomed to caffeine from drinking tea. Horsey called them the key to unlocking Europe. The news was exactly what Woodruff wanted to hear.

But when Woodruff began reading the details of Horsey's written report, he could see that the prospects were actually extremely discouraging. The list of potential difficulties was long and daunting, beginning with the absence of soda fountains in England. Unless they planned to take the syrup home and carbonate it themselves, Horsey pointed out, the English would have to enjoy Coca-Cola in bottles—and those bottles would be warm, because refrigeration was virtually unknown and the English had a deep-seated, traditional dislike for chilled beverages. It probably would take at least three years and \$500,000 worth of advertising just to create a "limited" demand, Horsey said, and even then the company's prospects were further clouded by the likelihood of a backlash if its ads were considered too brazen. The English, he noted, disliked the "show of pomp and 'braggadocio' attitude which sometimes distinguishes the American manufacturer in foreign markets."

Given the bleak prospects of the venture, there was simply no way Woodruff could pry a half million dollars out of his father and the other conservatives on the board. It was not that Ernest and Will Bradley and the rest were opposed to doing business overseas; they willingly gave Robert the authority to begin start-up operations almost anywhere he pleased. They just wouldn't give him the kind of money he needed to do a first-class job of getting Coca-Cola off the ground. At about the same time Horsey

was returning on the boat from England, for instance, the board of directors gave Robert the green light to start selling Coca-Cola in Mexico. But they also set a strict cap of \$150,000 on expenditures and took the unusual step of making the limit part of the formal corporate minutes.

As with so many things in his life, Woodruff later painted a veneer of myth over his early activities on the international front. When his father and the board tried to block his efforts at overseas expansion, he claimed that he defied them and set up a clandestine Foreign Department that carried out his plans anyway.

The truth, as usual, was a good deal more complicated. Woodruff did set up a Foreign Department, but he acted with the knowledge and permission of his father and the board. It was hardly a secret. Early in 1926, the company rented space in New York at 111 Broadway, and Ham Horsey was placed in charge of a five-member team assigned to foreign sales. (The office's male secretary, known for his machine-gun loud typing, was Jimmy Curtis, later the head of Coca-Cola Export. Curtis had served the Woodruff family as a personal retainer, knew Ernest well, and hardly would have been picked for the job if Robert had intended to deceive his father.)

Horsey's men went about their business openly and, at times, with inventive flourish. One of their targets was the passengers on the great ocean liners that steamed in and out of New York harbor. The ship stewards considered soft drinks a "steerage-class" product and were reluctant at first to stock Coca-Cola. Even after the company developed a special export bottle with emerald-green glass and gold foil that looked like a split of champagne, the stewards balked at ordering more than a case or two at a time. Finally one of the salesmen, Chuck Swan, had a brainstorm. Attending the bon voyage parties that were held aboard the ships the nights before they sailed, he would order a dozen or more bottles of Coca-Cola, gulp down the contents and scatter the empties on tables throughout the salon. Orders picked up immediately.

Swan and his colleagues developed contacts at the U.S. Commerce Department and at the Customs House in New York's Battery who would tip them off when American trade commissioners or consuls were passing through on visits home. The diplomats often were happy to put in a good word for Coca-Cola with local distributors when they returned to their postings. Gradually a modest demand was stirred in several countries, and the Foreign Department held a small celebration when an order for a full freight-car load of cases was received from the Dutch East Indies.

The company added bottling operations in Guatemala and Honduras in 1926 and expanded the next year with franchises in Mexico, Burma, Colombia, Newfoundland, Italy, Belgium, and South Africa. Woodruff instituted a pair of helpful new practices: He cut shipping prices dramatically by removing much of the water from the syrup, distributing it instead in the much lighter form of concentrate. And he approved the use of beet sugar

(rather than cane) as the sweetener in Coca-Cola sold overseas, allowing the company to save money by taking advantage of the cheap, plentiful harvests that flourished in the beet fields of Europe after the war.

In many ways, though—especially by the standards of sophistication that characterize the Coca-Cola Company's international dealings today—the Foreign Department was a decidedly amateurish operation. Horsey's men would get lists of distributors from the import-export houses in New York and then write to them cold, trying to solicit interest in Coca-Cola bottling franchises. They wrote to one Brazilian company in Spanish, thereby confusing and offending the Portuguese-speaking businessmen who received the letter. Horsey himself spoke only English and required an interpreter when he went traveling to drum up business.

Horsey tried to do too much too quickly. He often awarded franchises to inexperienced men who didn't have enough capital to absorb losses as they built up their markets, and several of them went bankrupt. They discovered it was easier to give away calendars with pretty girls than it was to sell Coca-Cola in places where no one knew what the product was. Within a few years, operations closed down in Burma, Colombia, Newfoundland, and most cities in Mexico. Many of the company's European bottlers allowed production to dwindle to a meager trickle. One month the total sales in all of France amounted to the paltry sum of \$94.22.

Contrary to his recollections, Woodruff did little to reverse the company's faltering efforts overseas. In the spring of 1925, he undertook a major expedition to Europe, but he acted more like a man on a pleasure cruise than a serious business trip. After a sumptuous bon voyage party at the Barclay Hotel in New York, where the members of the Eight O'Clock Club presented him with a movie camera as a gift, he and Nell boarded the S.S. *Berengaria* and sailed for England. They were accompanied by a young company employee named Frank Harrold, who was instructed to draw an advance large enough to cover six weeks' worth of expenses. Harrold brought \$1,000 in cash, which he exhausted paying the bill at Claridge's Hotel in London after the first week. By the time the Woodruffs finished visiting France, Belgium, the Netherlands, Switzerland, Germany, and Monte Carlo, they had spent more than \$5,000, and the company's business office took months to unravel their expense account.

The highlight of the trip was a dramatic incident that took place at the elegant casino in Monte Carlo. Woodruff was playing roulette and hit a winning number. Instead of paying off, though, the croupier swept up Woodruff's chips, pushed them into another player's pile and started to resume play. When Woodruff objected, the croupier ignored him and spun the wheel. Woodruff stood, reached over, grabbed the roulette ball and put it in his pocket. "Sorry," he said, "but you won't spin this wheel again until you pay me."

The story contributed to Woodruff's swiftly growing reputation as a man of nerve, but it also pointed up the lack of business results from the

trip. It was the only accomplishment of note he could claim. The board gave Woodruff power of attorney to set up operations in England during his visit, but apparently he did nothing more than oversee the registration of Coca-Cola's trademark. By all accounts he passively accepted the tight restrictions placed on him by his father and the other directors.

Coca-Cola, it seemed, was destined to be a North American phenomenon, at least for the foreseeable future.

As he guided the Coca-Cola Company through the Roaring Twenties, Woodruff gave every appearance of a man content with his job and his life.

His hope of building an overseas empire was on hold, but at home his company was in the midst of a booming recovery. Sales were soaring. Coca-Cola men loved to talk about numbers, and the reason was easy to understand: The growth of their business was genuinely impressive. "The cash register rang two *billion*, four hundred *million* times in 1924 because of Coca-Cola," Harrison Jones announced in thunderous tones to the bottlers at their annual meeting early the next year. He continued:

If every drink of Coca-Cola were put in a bottle and put end to end they would extend 296,000 miles, more than eleven times around this world. If they were put in cases, 24 bottles to the case, they would cover five square miles. You would have to have a warehouse of 3,200 acres to take care of the quantity of the product. If they were piled top on top, together they would extend 12,600 miles into the air. Pikes Peak is . . . 14,000 feet, and I am talking about 12,000-odd miles!

Insiders called these calculations "gee-whizzers" because of the reaction they provoked. They came from the company's new Statistical Department, which Woodruff created to track the company's progress and find ways of speeding it up. Woodruff believed selling was as much a science as an art, and he bent to the task of modernizing the company's marketing programs to take advantage of the changes that were sweeping the country.

Few places were beyond the reach of the automobile any longer, a point that was illustrated vividly one day when John Power, one of Coca-Cola's salesmen, drove into the remote hamlet of Williamson, West Virginia, and got caught in a crossfire between the Hatfields and the McCoy's, narrowly dodging a bullet. Woodruff ordered an exhaustive study of the nation's traffic patterns, and the Statistical Department pinpointed the busiest intersections in scores of cities and towns across the map. Placing its advertising at strategic spots, the company became the heaviest user of billboards in the country.

In 1927, as the number of households with radios passed the six million mark, Coca-Cola sponsored its first program on the airwaves, a roman-

tic serial of sorts (on the fourteen stations of the fledgling NBC network) featuring a pair of characters named Vivian and Jim whose courtship was meant to epitomize the love affair between Coca-Cola and the public. The company also sponsored a prize contest, awarding \$10,000 to Miss Mabel Millspaugh, a stenographer from Anderson, Indiana, for her essay extolling the “Six Keys” to Coca-Cola’s popularity—taste, purity, refreshment, sociability, price, and thirst.

Within the company, the most memorable of Woodruff’s moves came one afternoon when he assembled all of the company’s soda fountain salesmen and had them “fired,” then rehired them as “servicemen.” It was more a gimmick than a genuine threat of job loss, but the men took the point. In addition to selling syrup, they were expected to teach their customers how to serve Coca-Cola the right way.

Woodruff settled in at Plum Street. He had a fourth floor added to the company’s headquarters and moved into a spacious new office. The solid, heavy furniture, which included the rolltop desks that had belonged to his grandfathers, Robert Winship and George Waldo, Woodruff, lent the space an air of permanence. He installed his secretary, Mattie Lott, known as “Bitsy” in tribute to her considerable girth, to serve as a friendly but diligent gatekeeper outside his door. The corridor beyond was lined with men he’d hired and promoted—men who were intensely loyal to him, and whose loyalty he returned. At a board meeting in 1925, when one of the directors stood up and proposed giving him a \$25,000 bonus for a job well done, Woodruff declined the money unless the directors added another \$75,000 to be distributed among his top officers.

“My prosperity,” one of the members of Woodruff’s inner circle, Gene Kelly, wrote to him, “has enabled me to brighten the evening of my good mother’s life with a few luxuries which she had never before enjoyed. When I gave her a car and chauffeur the other day she thanked me. I told her she need not thank me but you who had made it possible.”

With regular dividends restored, Coca-Cola common stock began a sharp, steady rise until it passed \$160 a share, more than quadruple its original offering price. It was split two-for-one early in 1927 and continued to gain in the bull market that inflamed Wall Street. The company paid off all of its outstanding loans, retired the \$10 million in preferred stock held by Asa Candler’s children, and built a surplus in the treasury.

Robert and Ernest Woodruff both profited handsomely from the company’s success. All of Coca-Cola’s shareholders did well, naturally, but the Woodruffs and some of their closest associates at Trust Company did even better, thanks to a pool Ernest operated that speculated in Coca-Cola stock. Practicing the sort of insider trading that was widespread at the time (and is illegal today), Ernest typically bought shares for himself, Robert, Tom Glenn, and a few others in advance of news that was likely to drive up the price. They made a big buy in October 1926, for instance, just before the stock split was announced, and enjoyed a run-up of \$16 a share in less than two weeks.

Ernest's syndicate also had a way of taking advantage when the company hit an occasional downturn. If he and the others anticipated a temporary dip in the value of Coca-Cola stock, they would execute a short sale—that is, they would sell a block of Coca-Cola stock but delay delivery of the shares until a point in the future, gambling that prices would fall. Later they would complete the transaction with cheaper shares and have cash left over. (A short sale could be ruinously expensive if the price of the stock went up, of course, but in the Woodruffs' case their inside knowledge of the company's affairs protected them from guessing wrong very often.)

The existence of Ernest's syndicate was fairly well known in Atlanta business circles, but gaining access to it was difficult. One of Ernest's lawyers, Dan Rountree, told the story of visiting him in his office at Trust Company one morning and asking casually if it was a good time to buy Coca-Cola. No, Ernest replied, shaking his head with evident sincerity, it was not. The very next day, glancing on the desk at his stockbroker's office (and reading upside down), Rountree spotted a large buy order for Coca-Cola signed by Ernest Woodruff himself. Hurriedly scraping together all the capital he could find, Rountree bought heavily and made a killing.

By the spring of 1927, Ernest's holdings of Coca-Cola stock had swollen in value to more than \$4 million, making him one of Atlanta's wealthiest men. At the age of thirty-seven, Robert, too, could count himself a millionaire, albeit just barely.

On March 5, 1927, Robert and Nell set off on a grand cruise around the coast of South America, and this time there was no pretense of working on company business. It was a pleasure trip, pure and simple, designed as a reward for the triumphs Robert had achieved in four short years as Coca-Cola's president. "It was the only time in my life," he liked to say later, "that I felt rich."

Only a handful of close associates saw the clues that Robert was growing dissatisfied—that he was, in fact, on the verge of quitting the Coca-Cola Company and risking almost everything he had on a dangerous business venture.

There was no question he had an appetite for gambling. He played poker and roulette and liked betting on sporting events of all kinds: prizefights, horse races, the World Series, college football games, and golf matches. He even made wagers with his vice presidents over the company's quarterly sales and production figures. The stakes were usually fairly modest—\$10 to \$100, sometimes a suit of clothes—but he liked the excitement.

And he felt lucky. Everything seemed to be turning to his advantage, including his misadventures. On his trip to South America with Nell, when their ship ran aground off Bahia, Brazil, Woodruff placed bets with several fellow passengers that he could beat them home. Rather than wait for the ship to be refloated, he and Nell hopped a tramp steamer, sailed to Europe via the Canary Islands, toured the Continent, and still made it back to New

York in time to collect their wagers. Along the way they stopped in Paris and joined in the celebration of Charles Lindbergh's historic transatlantic flight.

At work, Woodruff began dropping hints that he was becoming restless. He told Joseph Bennett, one of the aides who traveled with him, that in another ten years or so he might want to try his hand at something new. The remark left Bennett with "a sort of empty feeling," along with the suspicion that change might be coming much sooner.

Still, no one expected Woodruff to act as quickly as he did, or as rashly, or with such far-reaching consequences.

In the autumn of 1927, Walter White, Woodruff's good friend and mentor, began trying to gain a controlling interest in his family's business. White Motor Company was going through a difficult period. Sales were off because buyers no longer felt it necessary to pay a premium for top-quality trucks now that more and more roads were paved. Walter White found himself in the odd position of needing to retool his factory to make cheaper trucks, an idea that met resistance from some of his family and other members of his board. Hoping to attain the same kind of ownership control the Woodruffs enjoyed at Coca-Cola, White planned to buy back half of the 800,000 outstanding shares in White Motor, which was a publicly held corporation, and take it private. He asked Woodruff to be one of his partners in the venture.

The idea of resuming a career in the truck industry hit a responsive chord in Woodruff. He liked the notion of going back into business with Walter White. His friendship with White had deepened over the years to the point that they were planning to buy a plantation together in south Georgia. They had decided to quit the Norias Club, where the formal cocktail hours and black-tie dinners kept them cosseted indoors too much of the time. They wanted to build their own operation instead and were looking for land where they could hunt quail and dove and wild turkey to their hearts' content, from dawn to dusk if they wished, free from social distractions and game wardens alike.

Getting together again at White Motor made sense to Woodruff. He admired White, who was thirteen years his senior, and considered him a sound businessman, tough and sagacious. One of his favorite stories about White was an occasion when the two of them went riding with a guest over the grounds of Gates Mills, White's estate outside Cleveland. As they stopped by the stables, the guest asked White how many horses he owned. Considering the question impolite and not wishing to give a direct answer, White replied off-handedly that he didn't know. "You've got twenty-nine," a groomsmen piped up, "and a couple of colts are on the way." The next morning White told Woodruff he had to run an errand down at the stables. "I'm going to fire that son of a bitch," he explained. "He knows too much."

Woodruff tried to model his own conduct on White's example: discreet, commanding, hard-edged when necessary, a man's man.

As long as Woodruff remained at the Coca-Cola Company, he would be subject to the whims of his father. They were getting along reasonably well at the moment, true, but there was no guarantee that their relationship would stay smooth. Nor, for that matter, was there any guarantee that his father and the Trust Company crowd would keep the company. Above all else Ernest Woodruff was a financier, a profit-and-loss man who wouldn't hesitate to sell out his interest in Coca-Cola if he thought the time was right. The way Robert saw it, he had completed his job. He had proven himself to his father, and now the time was ripe to demonstrate once and for all that he could make it on his own in the field he loved best.

The stakes were enormous. The price tag on White's buy-out plan was more than \$10 million, and the other partners, including Walter Teagle, the Standard Oil tycoon, had substantial resources at their command. Woodruff, very much the junior man, would have to strain to come up with the money to participate.

He decided to do it. On October 11, 1927, Woodruff instructed his New York stockbroker, Hornblower & Weeks, to execute a short sale of 4,600 shares of Coca-Cola common stock, raising \$560,000 in cash. He was risking half his personal fortune on the deal, gambling that the value of the shares would drop sharply in the near future. He planned to cover the sale for a great deal less money, leaving a sizable profit he could use to pay for his purchases of White Motor stock.

Woodruff took elaborate steps to conceal his role in the transaction, operating through dummy corporations and using surrogates to sign the actual papers. What he was doing was not strictly illegal, but even by the lax standards of the era it was considered unethical for the president of a company to make short sales of his personal stock. In effect, Woodruff was betting against his own company when he was in a position to damage its performance—a direct conflict of interest.

As it happened, there is no evidence that Woodruff intended to sabotage the company. He had reasons for thinking the deal would turn out the way he hoped without any interference from him. After several years of national prosperity, his Statistical Department was warning of an impending recession, and Coca-Cola sales had fallen off during the summer, showing a "pronounced weakness" that suggested tough times might be coming.

A confidential, in-house list of "company problems" cited the proliferation of new state taxes (including a ruinous one-cent sales tax on soft drinks in South Carolina), continuing hostility from temperance organizations, resistance by parents and teachers to children drinking Coca-Cola, and rising competition in the "5-cent market" from candy, ice cream, cakes, and other beverages. The solicitation for advertising by some publications, especially in the nutrition field, was "closely akin to blackmail," the report

added, while the federal government was stirring concern again over some of Coca-Cola's ingredients. Congress, in a protectionist mood, was toying with a substantial hike in the tariff on imported sugar.

The most immediate threat to the company was a rising international movement, centered in the League of Nations, for tighter control over traffic in narcotics. Congress was contemplating legislation that would forbid the import or export of coca leaves or any of their by-products, no matter how thoroughly decocainized. The company faced the prospect of losing its supply of coca leaves for making Merchandise No. 5 and also of being barred from shipping its syrup out of the country. The situation was considered so desperate that Woodruff secretly leased a cocaine plant in Lima, Peru, and placed it on standby—an arrangement fraught with the potential for embarrassment if it came to light publicly.*

In spite of all the signs pointing to a downturn, however, Coca-Cola's sales swiftly rebounded, as did the company's stock prices. As the autumn of 1927 deepened, it began to grow more and more evident that Woodruff was losing his gamble. Demand for Coca-Cola was strong all across the country. The bottler in New Orleans, A. B. Freeman, became the first member of the company's "Quarter of a Million Gallon Club," using that much syrup in less than a year. Instead of falling back, the company was headed for record profits.

In the words of a close friend, Woodruff had made "a sad guess," and he started to feel the squeeze. He refused to take any steps to hurt the company or help himself. To meet the obligation of his short sale, he was going to have to come up with 4,600 shares of Coca-Cola stock, either by buying them on the open market or by surrendering them from his own holdings. Both options looked increasingly painful.

His father was appalled. Robert had acted without his knowledge or blessing and had blundered terribly. Ernest had traded Coca-Cola stock up and down from the day he bought the company nine years earlier, but he had never taken a risk as dangerous as Robert's. Working with blocks of a few hundred shares at a time, Ernest treated the market as a hobby while keeping the main corpus of his Coca-Cola fortune safely in the vault, along with his Liberty bonds and treasury notes and other conservative investments. His son was gambling half his fortune on a single cut of the deck, a winner-take-all proposition that was turning out the wrong way. Ernest chided Robert for his folly and admonished him to "learn to resist

* Woodruff disguised the lease by assigning it to the Rohawa Company, a subsidiary whose name was another of his riddles. The "Ro" stood for Robert, but the source of the other letters is unclear. The "ha" probably represented Harold Hirsch, and the "wa" may have come from Walter White. Rohawa's main purpose was to serve as the anonymous intermediary when the Coca-Cola Company wanted to buy out independent Coca-Cola bottlers who were doing a poor job. Eventually it owned and operated several bottling operations in the United States and a handful overseas.

the temptations and evil influences that never fail to accompany success and wealth.”

Yet Ernest was not about to abandon his son in a time of crisis. If there was a soft side to Ernest Woodruff’s personality, it was the forgiveness he occasionally displayed toward friends and family who made mistakes. He was rarely surprised to see others fall short of his example, and when they did he took a measure of satisfaction in helping them. An associate once said of Ernest, “He always comes through handsomely in every emergency. He will give you the devil to keep you from getting in a fix, but when you get in a fix he is the first one to help you out.”

Ernest now applied that principle to his son. In the final days of 1927 and the early winter of 1928, Ernest and several of the other major Coca-Cola shareholders at Trust Company took steps to put Coca-Cola stock in play, apparently with the idea of driving down the price and rescuing Robert. Ernest personally took a short position of 3,400 shares of Coca-Cola common. As always, Ernest’s manipulations were undertaken with the greatest secrecy, and the precise strategy and eventual outcome he had in mind can never be known. What is certain, though, is that for one of the few times in his career he found himself outsmarted. Instead of dropping, as he anticipated, the price of Coca-Cola stock mysteriously began to rise.

Someone was covering the short sales made by the Woodruffs and Trust Company. Someone was gambling that the Coca-Cola Company was a wise long-term investment and was paying a premium to snap up all the shares that came into the marketplace. In early March of 1928, as the price of Coca-Cola common reached \$130 a share and began heading toward \$140, Wall Street’s financial press grew curious about all of the unexplained activity.

B. C. Forbes went to see Robert Woodruff for an interview and came away complaining that his friend was even more reticent than usual. “He is a walking interrogation mark,” Forbes wrote in his business column. “Each time I asked him something, he plied me with questions—on the plea that as I had been traveling all over the country, I must know a lot more than he!”

Had Forbes been a mind reader, he would have understood the extreme awkwardness of Woodruff’s position. With his company prospering and its stock soaring, Woodruff should have been in the jauntiest of moods. Instead, Coca-Cola’s good fortunes were threatening to bankrupt him. The few seemingly bland quotes he gave Forbes were laced with irony. “So far as our company is concerned,” Woodruff told him, “I constantly expect trouble. At the opening of each year I say to myself that something is pretty sure to happen to prevent us from equalling the progress made in the previous year.” Forbes recorded that Woodruff then smiled and added, “Maybe it’s because we’re constantly on the lookout for trouble that we have been able, so far, to avoid it.”

In the first week of April 1928, Coca-Cola common closed at an all-time

high of 146¾, and Wall Street's curiosity burst into a buzz of speculation about the identity of the speculators. R. L. Barnum, a syndicated financial columnist, took notice of the unusual rise in Coca-Cola and concluded that whoever was making the short sales seemed to be suffering "terrific punishment."

But who was doing the buying and selling? Barnum didn't know. No one on Wall Street knew. On April 9, 1928, the Associated Press reported a "sensational climb" of Coca-Cola common as the stock hit another record high, soaring to more than \$160 a share. A war was under way, and the combatants were still nameless.

The next day, the buyer came forward.

Lindsey Hopkins grew up poor in Reidsville, North Carolina, in a wood frame house with rocks holding up the front porch. He started out as a printer's devil with the *Greensboro Patriot* making \$2 a week, graduated quickly to selling oil, and soon displayed a knack for making vast sums of money by investing in new ventures. He had a habit of losing his shirt almost as often.

"When in doubt, take a chance" was his motto, and he lived by it. Hopkins moved to Atlanta in 1909, made a fortune selling Overland automobiles, and then promptly squandered everything by gambling prematurely on commercial aviation. He bought a Curtiss biplane in 1911, flew the first piece of airmail into Atlanta, sponsored the first air meet at Candler Field, and went broke. He recouped by financing the movie *Death of a Nation*, the sequel to D. W. Griffith's *Birth of a Nation*, in 1916, and then began playing the market in cotton, railroads, rubber, and shipping. When Coca-Cola stock was at a low point in 1921, he started buying, and by the spring of 1928 he was a major shareholder.

Hopkins stood a shade under six feet tall. He was lean, balding, sharp-featured, gregarious, partial to dapper clothes and, so far as anyone could tell, completely without fear. In the words of a friend, Hopkins had a "divine spark of push, go-aheadness, and an acquisitive spirit that would broach no stopping." He believed the Coca-Cola Company had "barely scratched the surface of the possibilities before it," and he was pretty sure Ernest Woodruff was trying to sell it short. He meant to stop him.

On April 9, 1928, Hopkins leaked a story to the Associated Press in New York disclosing his role as the investor who had been buying Coca-Cola stock and pushing up its price. Then he walked into the main branch of Chase National Bank in New York, signed a six-month note and borrowed \$1 million in cash so he could buy more. For the next three weeks, he and the Woodruffs fought a desperate battle over the future of the company. Ernest and Robert and their allies at Trust Company launched a new round of short sales, hoping to depress the price of the stock, while Hopkins spent his million dollars buying up their positions and keeping the value high.

It is a piece of folklore in Atlanta business circles that Ernest tried to

arrange a truce at one point. He reportedly picked up the phone at Trust Company, called Hopkins and said, "Lindsey, I want to see you. Can you come down?" And Hopkins answered evenly, "Ernest, I'd be glad to see you anytime. The door to my office is always open." There was no meeting.

Hopkins next demanded a list of the names and addresses of all the company's shareholders, intending to write them and pitch his belief that their stock was worth keeping as a permanent investment. When the company refused to give him the list, Hopkins got angry and went public with a sensational accusation. The source of all the short selling, Hopkins told the *Atlanta Constitution*, was the insider crowd at Trust Company, who were scheming to "deflate" the price of Coca-Cola stock for their own benefit. He labeled Ernest Woodruff as the ringleader.

Hopkins's charge created an uproar in Atlanta and on Wall Street. The directors and major stockholders of the company were caught flat-footed in the glare. It was one thing for Ernest and his friends to run a syndicate that traded Coca-Cola stock for fun and small profits. It was another thing altogether for them to be accused of trying to wreck the company's prospects by driving down the value of its stock. Ernest was forced to attempt a strategic retreat.

Much to the surprise of Hopkins and everyone else in Atlanta, Ernest spun around completely and decided to sell the company—for good.

Up to now, Ernest and his allies at Trust Company had disposed of very little of their actual holdings of Coca-Cola stock. They had covered their short sales by digging into their pockets and buying shares in the marketplace, paying what amounted to a monetary fine for having guessed wrong as the price went up. They were all tens of thousands of dollars poorer, but they still owned and controlled a giant block of Coca-Cola stock—nearly half the outstanding shares—through the Coca-Cola International Corporation, the holding company Ernest had organized five years earlier when he seized power from his New York partners.

On April 16, 1928, one week after Hopkins turned up the heat on him, Ernest directed the president of Trust Company, Tom Glenn, to mail a letter to all of the stockholders of Coca-Cola International recommending that they pool their shares and sell out together.

The letter was front-page news in Atlanta. Signed by Ernest and the other major investors associated with the Trust Company of Georgia, including Jim and Charles Nunnally, Bulow Campbell, Charles Wickersham, and J. N. Goddard, its message was plain: Ernest Woodruff's crowd—the insiders—meant to get out of the Coca-Cola Company entirely and were assembling an attractive package that would place control of the company in the hands of anyone who cared to buy from them. If such a sale went through, Lindsey Hopkins would be left high and dry, a minority stockholder in a company being run by a new owner.

There was, however, one highly conspicuous absence from the list of names on the letter. W. C. Bradley, the chairman of the board of the Coca-

Cola Company, did not sign it. The omission was significant. It suggested strongly that Ernest was facing dissent within the inner circle over his plan to sell out. When a newspaper reporter approached Bradley for an explanation, he fueled the suspicion that he opposed the sale. "Let the other fellows do the talking," he grumbled. "I have nothing to do with it. That's all being handled by the Trust Company of Georgia."

On the morning of Monday, April 30, 1928, the Coca-Cola Company's directors assembled in Atlanta in a mood of high tension.

Their only piece of official business was a unanimous vote raising the dividend on Coca-Cola common stock from \$5 to \$6 a year. First quarter profits for 1928 were up, and the move appealed to all factions, giving those who wanted to keep their shares a higher rate of return while enhancing the value of the holdings of those who wanted to sell. It gave Ernest Woodruff and his group a chance to demonstrate that they were no longer interested in trying to knock down the price of the stock.

But the dividend was the only thing the directors could agree on. Lindsey Hopkins asked for permission to attend the meeting and address the board, and much to Woodruff's disgust a majority of his fellow directors voted to hear from the maverick investor. Hopkins spoke of his confidence in the company and its future and made a fervent appeal for harmony on the board. He called for a four-for-one split in the common stock that would cut the price per share and allow smaller investors to buy the company's stock, thereby distributing its ownership across a broad spectrum of people.

Hopkins's unspoken message—one plainly understood by every director in the room—was a sharp rebuke to Ernest Woodruff, delivered directly in his face. By urging widespread ownership of the company's stock, Hopkins was saying in effect that Woodruff's group at Trust Company had failed to act in the best interests of Coca-Cola and that the man in the street could be trusted to do a better job. Hopkins was insulting Woodruff face-to-face in the boardroom of his own company, an act few men had the temerity to try. More remarkable still, several of the other directors seized the occasion to praise Hopkins, saying his trading activities had helped the company.

Woodruff and his group sat in silence through the meeting. Later, a reporter approached Tom Glenn and asked for a comment. "I have nothing to say," he answered, tight-lipped. The Trust Company crowd still hoped to sell the company, only now it was clear they might very well have a revolt brewing on the board.

As always, Ernest kept his plans to himself. Two days after the meeting, he was spotted boarding a Pullman car on the *Crescent Limited*, Southern Railway's opulent new passenger train to New York City. The Atlanta newspapers speculated that he was off to find a buyer for Coca-Cola International's huge block of stock, as indeed he was.

When he got to Manhattan, Ernest held a series of hush-hush meetings with Gene Stetson, the Guaranty Trust banker who had helped him buy the

Coca-Cola Company from the Candler in 1919. Stetson was a large individual shareholder in the Coca-Cola Company, a member of the board, and he continued to be the point man in Coca-Cola's dealings with Wall Street. Woodruff and Stetson did not always see eye to eye on questions of how to run the company and its financial affairs, nor did they completely trust each other, but they maintained a close relationship based on mutual respect.

"I consider him," Stetson once said of Ernest, "the greatest trader I have ever known." The trade Stetson had in mind at the moment was the merger of the Coca-Cola Company and Canada Dry Ginger Ale, Incorporated, into the biggest soft drink business in the world. Stetson had joined Canada Dry's board three years earlier, partly in anticipation of just such a consolidation, and he was ready to begin confidential negotiations with Canada Dry's president, P. D. Saylor, right away. Ernest gave him the green light.

Canada Dry was a Prohibition drink that had outgrown its origins as a mixer to become a popular soft drink. In what one writer called a "fairy tale" of success, annual sales of the ginger ale spurted from 1.7 million bottles in 1922 to more than 50 million just four years later. The officers of the company saw the merger as a chance to gain access to Coca-Cola's 1,250 bottlers and half-million retail outlets, allowing them to reach a vastly wider market than ever before.

It was not so easy to see why the Coca-Cola Company would be interested in the deal, especially since Canada Dry was envisioned as the surviving corporate entity. One business publication later labeled the notion of Canada Dry swallowing up the far larger Coca-Cola Company as "fantastic." Nonetheless, Woodruff and Stetson began talks with Canada Dry's Saylor aimed at arranging a liquidation of Coca-Cola International. They agreed to make a public offering of stock in the new enterprise once the consolidation was completed.

On the afternoon of Tuesday, May 8, 1928, rumors of the negotiations began swirling around the brokerage houses of Wall Street. Heavy trading in the stock of both companies took place just before the New York Stock Exchange closed for the day. Without knowing any details of the planned merger, the investment community rendered a quick verdict that Canada Dry would be getting the better end of the deal, and its stock shot up more than \$7 a share to \$85.

After the story broke in the financial press, the *Atlanta Constitution* reported that several Coca-Cola directors were heading to New York to join in the discussions. Actually, the directors were speeding to New York to find out what Woodruff and Stetson were doing, since most of them were completely in the dark. They had heard rumors, nothing more. A company spokesman issued a statement professing ignorance of any of the dealings going on in New York.

The very next day the deal was dead. Canada Dry's president, Saylor, made the announcement in New York, saying negotiations were "definitely off" because of an impasse over the terms of the merger. No one would give

a public explanation of the real reasons for the collapse of the deal, but later reports disclosed that some of Coca-Cola's biggest shareholders, including members of Ernest Woodruff's inside circle at Trust Company, had stepped in and put a stop to it. Woodruff returned from New York, declined comment, and went home.

In a quiet signal of surrender a few weeks later, Tom Glenn wrote another letter to the shareholders of Coca-Cola International, dissolving the pool. Several offers had been received for their stock, he said, but none was attractive enough to take. They would keep their holdings.

Hopkins had the final word. The board granted him permission to include a personal letter along with the second-quarter dividend payments that were mailed out to shareholders in June of 1928. Coca-Cola, he reminded them again, was a good permanent investment. He paid off his \$1 million loan from Chase National Bank, with interest, and placed the canceled receipt in his scrapbook as a trophy.

A few days after the collapse of his father's campaign to dispose of the company, Robert Woodruff boarded the ocean liner *Ile de France* for his annual vacation in Europe with Nell.

He tried to behave as if nothing had happened. When he returned home, he resumed his duties at Plum Street and pretended to go about business as usual. His lone concession to the scent of scandal that had brushed his family was to pose for a publicity photo donating a camera to a Boy Scout from a local troop in Atlanta, a small act of charity staged for the benefit of the newspapers. He appeared wooden and ill-at-ease.

In private, Woodruff's associates could tell he was preoccupied. It was difficult to get him to make a decision. One of the company's bright young engineers, John Staton, came up with a solution to the age-old problem of getting retailers to sell Coca-Cola in cold, clean bottles. Using a wooden box and insulation made of Celotex dipped in asphalt, Staton invented a cooler that could chill three cases of Coke with just a nickel's worth of ice. It cost only \$12.50 and took a scant fifteen minutes to assemble. Staton's cooler offered a way out of "the Stone Age," as one enthusiastic bottler put it, but Woodruff kept balking at giving the go-ahead for distribution to dealers. Finally Gene Kelly had to venture up to Asheville, North Carolina, and interrupt Woodruff's summer retreat to get his reluctant blessing.

During a meeting of his sales committee in September 1928, Woodruff gave a pep talk about the need for everyone in the company to work harder, then left the room while his top men were still struggling over design changes in the six-pack for the home market. (One of them wanted to try a paper bag with handles, just big enough to hold six loose bottles, an idea the others ridiculed and quickly killed.) Hamilton Horsey tried to get Woodruff's okay for a new bottling arrangement in Germany and France, but reported that the boss was too busy to see him, tied down with "a great number of matters not related to Coca-Cola."

The truth was, Woodruff still wanted to rejoin the White Motor Company. "I have gotten poor," he wrote Walter White, yet he went ahead with their plan to buy land together for the plantation in southwest Georgia. He suggested jokingly that White might have to pay for both their halves, then mustered the bravado (and borrowed the money) to pay for his share. He joined the board of directors and executive committee of White Motor and kept buying stock along with the other partners.

Woodruff's financial position was not nearly as dire as it might have been, thanks to a postponement of the day of reckoning for his short sales of Coca-Cola stock. Having no wish to see the president of the company reduced to insolvency, especially in the public spotlight, Tom Glenn and Harold Hirsch agreed to lend him more than \$1 million worth of Coca-Cola common stock from their own portfolios to cover his position with the brokers. The loans were indefinite, which meant Woodruff could take as long as he needed to make good his sizable losses. In the meantime he was able to keep borrowing.*

"I have many troubles and afflictions," Woodruff wrote a friend, "and one of them—not the least—is bankers." Yet he turned to the bankers for a line of credit that would allow him to pursue his dream, and they gave it to him.

By February of 1929, Woodruff and Walter White and their partners were halfway to their goal of gaining control of the ownership of White Motor. Woodruff's spirits began to improve. He and White started spending time together on their land, a 30,000-acre patchwork of old farms and natural woods in Baker County that they named Ichauway (pronounced *itch-away*), after the Creek Indian phrase for "where deer sleep." With its stands of longleaf pine and ground cover of scrub oak, broom sedge, and wire grass, the plantation was a perfect gray-green habitat for quail and other fowl. Woodruff and White spent days on horseback ranging over the property with their hunting dogs, flushing coveys and testing their skills as shooters.

The two men had a genial debate about what kind of lodge to build. White wanted a grand mansion on top of a limestone bluff overlooking the dark water creek that cut through the property, but Woodruff disagreed. Reminding White that they were quitting the Norias Club precisely because it encouraged too much social life indoors, Woodruff drew up plans for a sturdy, wood-frame house with seven sparsely furnished bedrooms—a handsome but not especially comfortable dormitory for men whose interests were hunting, eating and drinking, card-playing, and little

* Woodruff's circumstances also were eased in January 1929 when the board voted an unusual one-for-one stock split in the form of a million shares of Class A stock worth \$50 apiece. Stockholders who needed cash could sell their Class A (as Woodruff eventually did) while others could choose to hold it, thereby avoiding capital gains taxes. It paid a handsome annual dividend of \$3, or 6 percent.

else. Woodruff's idea prevailed, and construction was begun on the house, along with stables, kennels, an overseer's cottage, and other outbuildings around a half-mile circle on a section of flatland away from the river.

As the summer of 1929 passed, Woodruff seemed to take more of an interest in Ichauway than he did in his business obligations. He began learning about life in a section of the country that had been utterly bypassed by prosperity, and the experience affected him. In Baker County, as in much of the rural South, people survived hand-to-mouth, sharecropping on tired land or working for pitiable wages or, in some cases, making moonshine in the deep woods. While rich men from the North hunted quail for sport on the area's grand plantations, poor men, black and white, poached on the land and hunted for food for their families. Hard currency was hard to come by. One of Woodruff's first lessons was in rudimentary economics: Hoping to attract more game birds to the plantation by culling their natural predators, he posted a reward notice offering a bounty of 25 cents for snakes and 50 cents for skunks and blue hawks, and then watched in amazement as folks from all over the county brought in a heap of corpses that ended up costing him more than \$50.

The backwardness of the region made a keen impression on Woodruff. For the rest of his life, he told the story of the day one of his tenants, an elderly black man, walked up to him on the circle at Ichauway to pay his respects, only to topple to the ground in a shuddering fit. Woodruff stepped back, alarmed. "Malaria," explained his overseer. More than 40 percent of the people in the area suffered from the disease, and Woodruff quickly ordered a supply of quinine to be distributed in pharmacies and general stores all across the county. Decades later, old-timers on Ichauway still remembered the summer the "barrel of pills" arrived, how the quinine tasted bitter and how grateful they were to have it.

The poverty and suffering he saw around him brought out a new side in Woodruff. Just a few months earlier, handing the camera to the Boy Scout in Atlanta, he'd been stiff and uncomfortable. Now his acts of charity seemed to be drawn from a deeper well. One of the young black men who lived on Ichauway, Bud Walker, had lost a leg several years earlier in a shooting accident, and Woodruff paid to send him to Atlanta to be fitted with a prosthesis. "Mr. Woodruff is very liberal and free-hearted," the *Baker County News* reported, "and the way he has help [*sic*] the poor people of the county is greatly appreciated by them and especially the Negro boy, who has been trying to work and save his money to get him a cork leg."

Woodruff did not give up his own enjoyment of the good life, of course. In Atlanta, he was in the midst of a brief spurt of interest in thoroughbred horses, and he still traveled extensively, venturing to California to play the dramatic golf course at Pebble Beach and taking his regular month-long vacation to Europe in August. The change in Woodruff was subtle, but there was no mistaking that something was happening. His old military academy roommate, Dick Gresham, the Baptist minister, was disappointed

in a church assignment and asked Woodruff to lend him a small sum of money so he could afford to refuse the posting and take a trip to Scotland. Uncharacteristically, Woodruff refused. "Get on top of your job first," he told Gresham. "Then you can go."

It was the kind of gruff advice Woodruff's father was accustomed to giving—the kind Woodruff, on the eve of his fortieth birthday, had spent his life ignoring.

Walter White was driving to work in Cleveland on the morning of Saturday, September 28, 1929, when he smashed into another car in a head-on collision, shattering both his legs and suffering severe internal injuries. In spite of four blood transfusions, he died a day later.

The accident threw the White Motor Company into turmoil. No one had been groomed to succeed White, and his death triggered a sudden scramble for power among various members of his family and the management. An emergency meeting of the board of directors was convened within the week.

Hoping to quell the feuding, and also to preserve his own options for the future, Woodruff rushed to Cleveland and arranged, to have himself elected president in White's place. White's widow, Virginia, gave Woodruff her backing, as did Walter Teagle and the other partners who had been trying to gain control of the company.

For public consumption, at least, Woodruff described his new duties as temporary and announced that he would continue to serve as president of the Coca-Cola Company. "I'll live in a Pullman car, I guess," he told the *New York Times*, adopting a deliberately unruffled tone. His dual corporate presidencies—at age thirty-nine—made headlines across the country and even merited an item in the popular new weekly magazine, *Time*.

Woodruff tried to reassure investors and truck buyers alike that operations at White Motor would go on as usual during the search for a permanent successor. He made sure he was seen at a couple of World Series games in Chicago, as if to signal that both of his companies were running smoothly without the need for day-to-day supervision. The *Cleveland Plain Dealer* endorsed his stewardship, informing its readers that Woodruff was "more thoroughly representative of the new style Southern industrial leader than any other man."

But there was no calming the skittishness of Wall Street over the future of White Motor. The company's stock price began to slip and then to tumble. The killing blow came less than a month later, on October 24, 1929, when "Black Thursday" struck the stock market and triggered the crash that led eventually to the Great Depression. Stock prices plummeted across the board. White Motor, already weakened, lost a third of its value.

At the White Building in Cleveland, a mood of desperation took hold. Woodruff arrived one morning in early November for a meeting of the company's branch managers and saw the fearful expressions in the men's eyes.

He commandeered a large room on the sixth floor, had all of the telephones removed, and posted a guard at the door with orders to turn away everyone who tried to enter, no matter how urgent their business. He had a workman tack sales charts and advertising proofs on the walls. From eight o'clock in the morning until well past six that night, pausing only long enough for lunch, Woodruff delivered the inspirational talk of his life. It was not enough. Sales went up for a day, then slumped again.

Woodruff's plan to gain control over the company's ownership collapsed under the strain of the falling market. With stock prices plunging, the banks began demanding more and more collateral from Woodruff and the other partners to secure their loans, yet fresh collateral was nowhere to be found. Deeply in debt and utterly dejected, Woodruff grudgingly gave up and dissolved the pool he and White had formed to pursue a majority interest. "I must say it was not a 'howling success,'" Woodruff wrote Walter Teagle, outlining the problem sadly but succinctly. "A careful analysis shows that all we did was to buy a lot of stock at the high and when it started downward we got cold feet."

Whatever hope Woodruff had of returning to the trucking business disappeared along with the fading fortunes of White Motor.

He never discussed Walter White's death, but after the crash Woodruff helped found a traffic safety council in Atlanta. He also had a courtesy sign painted on the back panel of every truck in the Coca-Cola Company's fleet saying, "Sound Your Horn, This Truck Will Pull Over."

He became a slow, scrupulously cautious driver. Even at night, when there were no other cars on the roads, he made a point of stopping at every traffic light, stop sign, and railroad crossing. A friend once asked if he always obeyed the rules of the road. "Of course," he replied. It was the only way to avoid a tragic accident.

Woodruff decided to get on top of his job at the Coca-Cola Company.

By any standard measure, the business was having a banner year in 1929. Revenues were up, profits were up, gallon sales of syrup were up. The price of its stock dipped during the crash but quickly recovered. When Woodruff reported the company's numbers at the end of the year, the *Chicago Daily News* gushed, "Corporation presidents in their happiest moments dream of making annual reports like the one presented today by R. W. Woodruff."

The public face of Coca-Cola reflected the breezy, modern spirit of the Jazz Age. Coca-Cola's calendar girl had long since bobbed her hair and thrown off her bustles and corset; now she wore a flapper's dress with a low neckline and looked ready to jump off the page and start dancing the Charleston.

With his uncanny knack for tapping the temperament of the American people, Archie Lee had come up with a brilliant new catch-phrase for Coca-Cola: "The Pause That Refreshes." Premiering in a series of ads in the *Saturday Evening Post*, the slogan meshed neatly with the emerging

notion that working men and women were entitled to brief, regular breaks during the business day. One illustration showed a secretary pushing her chair back from her typewriter and smiling as she rested her tired fingers and sipped a bottle of Coca-Cola. Per capita consumption in the United States jumped by half.

Behind the scenes, however, the company found itself snarled in a growing crisis, one that seemed to spring directly from a dark page in Coca-Cola's past. A group of chemists in the U.S. Food, Drug and Insecticide Administration in Washington conducted a test on a batch of Merchandise No. 5 and found traces of ecgonine, an alkaloid in the coca leaf that could be synthesized to create cocaine. The administration's director of regulatory affairs, W. G. Campbell, said he ordered the lab work because of a suspicion that "there must be something besides caffeine in Coca-Cola to cause the very noticeable Coca-Cola addiction of large numbers of persons."

Nearly two decades after Dr. Harvey Wiley quit the government, his protégés were still at work. In Wiley's day, ecgonine had been difficult to detect, but advances in chemical analysis gave his followers new tools to carry on his crusade, and they were doing so. Alerted to the results of the test—and deeply alarmed—Harold Hirsch assigned the Coca-Cola Company's own chemist, William Heath, to double-check the procedure for making No. 5.

Heath hurried to New Jersey, where the Maywood Chemical Works still prepared No. 5 under contract. To his dismay, he discovered that in spite of all the rigors of the decocainizing process, it was true that a tiny bit of ecgonine remained in the residue, even if the distillation was performed twice. Not only that, but sophisticated testing could detect a microscopic trace of cocaine itself in some of the samples. By Heath's calculation, the amount of ecgonine was infinitesimal: no more than one part in 50 million. In an entire year's supply of 25-odd million gallons of Coca-Cola syrup, Heath figured, there might be six-hundredths of an ounce of cocaine. But the findings were perilous nonetheless.

The merest whisper of the word "cocaine" was a public relations calamity in the making. After beating Dr. Wiley in Chattanooga, the company had published a booklet that proclaimed, "There is not one indivisible atom of cocaine in a whole ocean of Coca-Cola." How would it look to have to admit there was an atom of cocaine in an ocean of Coca-Cola? What would the company's enemies and competitors have to say about that? What fresh blaze of rumors and controversy would be ignited?

More ominous still, there were serious legal ramifications at hand. It seemed unlikely the government would prosecute in the U.S. courts, given the minuscule amounts of cocaine and ecgonine involved, but company officials could not be sure. And they grew especially nervous about the risks of continuing to ship Merchandise No. 5 to their overseas bottlers. Federal law was adamant in forbidding the export of narcotics to other countries. The government chemists had forwarded their findings to Colonel Levi

Nutt, the head of the enforcement division of the Federal Narcotics Control Board, and it appeared possible he might order a seizure.

Then, as if the other accumulating pressures were not enough, one of the company's men made a mistake, a serious error in judgment that threatened to create a full-scale international incident. Woodruff gave the go-ahead for production of Merchandise No. 5 at the cocaine plant the company was secretly leasing in Peru. His idea was to ship No. 5 directly to the company's overseas bottlers, thus avoiding the risk of exporting it from the United States. He did not expect the young man who was supervising the operation to sell the cocaine that was extracted as a by-product during the process, but that is exactly what happened. Claude Gortatowsky, a cost-conscious employee of the Coca-Cola Company, sold 19 kilograms of pure cocaine to a narcotics broker in Paris for \$1,152. He dutifully sent the money to the home office in Atlanta.

There was no way to undo the transaction. If word of it ever leaked out, the company would have a lot more than an atom of cocaine to explain—it would have nearly 42 pounds, to be precise. Already, agents of the Permanent Central Opium Board, the anti-narcotics bureaucracy of the League of Nations, were asking questions about Coca-Cola's Peruvian operation. If they learned of the sale, they would be sure to accuse the company of drug trafficking.

The company also confronted a dicey predicament involving imports. Federal law made it illegal to import coca leaves into the United States except for scientific and medicinal purposes. In the past, the prohibition had been no hindrance: Since Maywood Chemical Works was one of the country's largest legitimate manufacturers of cocaine, it simply imported the leaves it needed to produce cocaine and used the decocainized residue in making Merchandise No. 5. But Coca-Cola's growing success and popularity were creating a need for No. 5 that outstripped the amount Maywood could legally supply. For the past two years, Coca-Cola had been forced in effect to buy a cocaine allowance from another legitimate manufacturer, Merck & Company, to get enough coca leaves. Now even Maywood and Merck together were unable to obtain enough coca leaves to meet the demand.

By the end of 1929, Woodruff was facing a deadline. His production managers informed him that unless new arrangements could be made immediately, the Coca-Cola Company would run out of Merchandise No. 5 on February 1, 1930. The news focused Woodruff's attention in a way his associates had not seen in several years. His air of distraction was banished.

"Mr. Woodruff has been phoning us two or three times a day about what progress is being made on No. 5," Harrison Jones wrote another company officer, describing the atmosphere at Plum Street. "He feels very acutely the seriousness of the situation, in which feeling we all share. The fact that we know nothing definitely, the fact that time is so short, and the fact that

we have taken no concrete steps and February 1 is when our supply in American plants is exhausted, is enough to make us all gray-headed.”

Snapping back into action, Woodruff orchestrated a lobbying effort whose goal was nothing less than a special exemption for the Coca-Cola Company from the narcotics laws of the United States. Congress was just beginning one of its periodic revisions of the nation’s drug codes, and Woodruff set himself to the challenge of making sure they were amended in a way that protected the interests of his soft drink company.

First, Woodruff dispatched Harold Hirsch to Washington to see Colonel Nutt, who agreed to hold off any legal action pending adoption of the new legislation. Next Woodruff lined up a pair of allies from Georgia, Representative Charles Crisp and Senator Walter George, who agreed to plead the company’s case in their respective chambers. Trickiest of all, Woodruff got the leader of the reform movement, Representative Stephen G. Porter of Pennsylvania, to listen to Coca-Cola’s plight with a sympathetic ear.

Porter, the chairman of the House Foreign Affairs Committee, had an ambitious agenda. He had been crusading for almost a decade for tighter controls on worldwide production and distribution of opium, heroin, and cocaine, and he had spearheaded a movement in the United States for the humane treatment of addicts in recovery “farms” rather than prisons. The Porter Bill, which was making its way through Congress in the early weeks of 1930, sought to toughen U.S. narcotics laws and centralize enforcement in a new Bureau of Narcotics in the Treasury Department.

In a private conversation with Representative Crisp, his House colleague, Porter agreed to amend his bill to allow the unlimited importation of coca leaves into the United States as long as they were processed beforehand to remove the cocaine and ecgonine. The amendment was plainly aimed at rescuing the Coca-Cola Company, and when hearings on Porter’s legislation began in the House Ways and Means Committee on March 7, 1930, several members objected. One went so far as to raise questions about the recent test of Merchandise No. 5 and the government’s findings. But Porter proved to be an ardent defender of the company, ridiculing the idea that Coca-Cola contained cocaine or any other active alkaloid. With the nation’s leading drug fighter acting as the company’s advocate, congressional opposition dried up. The House passed the Porter bill with the amendment intact, and the Senate was prepared to concur.

In the State Department, however, the special exemption ran into a roadblock. The government had been trying for years to attack narcotics at their source by discouraging the cultivation of opium poppies and coca leaves. In international negotiations at the League of Nations and elsewhere, U.S. delegates had argued that the best way to curtail drug trafficking was to prevent the manufacture of the drugs in the first place. The United States was particularly anxious to pressure the British into a firmer stance against the smuggling of opium from India into China. Now the

Coca-Cola Company wanted the government's legal blessing for the preservation and expansion of a huge market for Peruvian coca leaves, an obvious contradiction of U.S. policy.

Congressman Crisp learned that the State Department planned to fight the amendment in the Senate. He sent a warning to Harrison Jones in Atlanta, who passed the news along to Woodruff. The choices seemed bleak. Trying to ram the amendment through the Senate in the face of State Department opposition would invite bad publicity. The company probably would lose, and even if it won the language of the amendment was less than ideal: Before importing its coca leaves, the company would have to remove all of the cocaine and ecgonine, a process it had yet to perfect.

But giving up would mean changing the secret formula, and that was unacceptable. An outsider might have found the company's anguish amusing, somewhat akin to the famous *New Yorker* cartoon that conjured up the day a bar of Ivory soap sank at Procter & Gamble. To Woodruff, though, it was no laughing matter. Coca-Cola without the coca was unthinkable, even if the coca in question was a tiny dollop that was powdered, percolated, steamed, double-distilled, pasteurized, and otherwise exhausted until not one consumer in a million would have noticed its absence. The point was Coca-Cola's mystique, the cult of the formula. If word got out that the coca was gone, people might *think* they tasted a difference, and that could be ruinous.

A subtler dynamic was at work as well. Nearly half a century after the first glass was served at Willis Venable's soda fountain, the idea persisted that Coca-Cola had special restorative powers—not cocaine, of course, but nonetheless something more than just a simple, mundane mix of sugar and caffeine. Years of advertising and promotion had produced a kind of commercial magic trick, an act of levitation in which the product kept up its allure even as it became familiar and trusted and commonplace. Taking away one of the ingredients threatened to burst the illusion.

Woodruff found a shrewd solution. He called in a big favor from one of his older friends at the Norias Club, Senator Walter Edge of New Jersey. Edge, a wealthy publisher and banker from Atlantic City and one of the most influential Republicans of his day, persuaded acting Secretary of State J. P. Cotton to accept an entirely new approach to the company's dilemma. In a complete reversal of position, the Hoover administration unexpectedly declared that it would permit the importation of an unlimited amount of untreated coca leaves into the United States, provided the Coca-Cola Company agreed to destroy any cocaine or other alkaloid in the leaves under the supervision of the newly established Bureau of Narcotics.

The new policy allowed the State Department to accommodate the Coca-Cola Company while maintaining an anti-drug posture. The company would still be underwriting a huge coca harvest in Peru, but at least the processing of the leaves would take place on U.S. soil, with federal agents guaranteeing the destruction of any resultant narcotics, so that there

would be little chance of illicit cocaine finding its way into the marketplace. Fulfilling its end of the bargain, the company quietly agreed to suspend the use of its plant in Lima.

Both houses of Congress gave quick approval to Coca-Cola's special exemption and made it part of federal law. The company's steady supply of coca leaves resumed. Syrup production returned to normal. With enforcement shifted into other hands, Dr. Wiley's disciples abandoned their investigation and decided to wait for another day to pursue the cause.

In Atlanta, Harrison Jones calculated that the cost of manufacturing Merchandise No. 5 would be a bit higher now—\$1.11 a pound—because of new taxes and additional processing expenses. But he and Woodruff agreed the price was worth paying.

Woodruff was keeping an impossible schedule, trying to run the Coca-Cola Company and White Motor at the same time.

He spent three days a week on the train, riding back and forth between Atlanta and Cleveland, six hundred miles at a stretch, lunching on sardines and saltines, napping in the afternoons, sitting up late into the night in his Pullman car working, draining the energy of the men who traveled with him.

Until he found a new man to run the White Motor Company, Woodruff was determined to shepherd his old business through the rough times it confronted. It was a source of pride to him that while he had to cut production, working hours, and take-home pay, he was able to avoid laying off any White employees.

There was no question, though, where Woodruff's allegiance belonged. He intended to stay at Coca-Cola—and to stay in charge. Others might envy Coca-Cola's annual report, but it would not remain rosy for long if he allowed things to slide, and the place to start, he believed, was with the troubled effort on the international front.

The situation in Germany was so tangled it seemed possible someone might end up in jail. Ham Horsey had gone into business there with an expatriate Atlantan named Ray Rivington Powers, giving him a standard contract to bottle Coca-Cola in Essen, the major city of the Ruhr Valley. Powers had spun a grand vision of his dream, how he planned to supply America's favorite soft drink in the canteens of the huge Krupp, Thiessen, and Stinnes industrial works, where tens of thousands of German laborers worked up a fierce thirst every day. He expected to have bottling plants up and running in no time throughout the Ruhr and along the Rhine, and then he wanted to become a parent bottler and expand into Hanover, Westphalia, Hesse-Nassau, Hohenzollern, Baden, Wurttemberg, and the Saar. He was looking at a potential market of twenty-three million people, almost as many as there were in the American South, squeezed into an area half the size of Georgia. He painted a promising, convincing picture, and Woodruff approved the deal when Horsey brought it to him.

When Powers started up his business in the spring of 1929, however, it quickly became clear that he was a better dreamer than doer. His capital was a few thousand dollars he borrowed from his wife and a German partner, and his bottling plant consisted of a hand-operated, six-spout filler and a horse-drawn cart. At one stage during the height of the summer season, his sales were a meager ten cases a week. Working by himself, he had no time to recruit other bottlers for the rest of his territory.

Powers peppered the home office with excuses. He was “struggling along blindly,” he wrote Horsey, trying to figure out how to refrigerate his Coca-Cola. The proprietors of Essen’s cafes, restaurants, and *trinkballen* were willing to take a sample case or two, but they served the drink warm. The only source of ice was the beer brewers, and they had little interest in helping sell an American soft drink. Waiters refused to handle the product unless they were bribed. It was almost impossible to get anyone to put up outdoor signs. The Germans were going to love Coca-Cola, Powers was certain, but creating the market was going to be a long, slow, expensive process, and he was going to need help.

In December 1929, Powers paid a visit to Atlanta, where he called on Woodruff and made a pitch for money from the company. As ever, he displayed a gift for weaving the tale of a can’t-miss opportunity. The Germans responded to Coca-Cola “even more favorably” than Americans, he argued. The vital element was time. It would take time to establish the market in Germany, just as it had in the United States and Canada, but success was inevitable.

Powers was a born storyteller. He liked to describe the afternoon he saw a huge workman push through the doors of a tavern, stride to the bar and bark out, “*Eine!*”—One! Powers dreamed of the day consumers in Germany would order Coca-Cola the same way they ordered beer, the way an American might say, “The usual!” Then it turned out the man *was* ordering a Coca-Cola. The barmaid put a cold bottle in front of him, and he gulped it down. He was the “principal Coca-Cola drinker” of the neighborhood, the barmaid explained. In time, Powers believed, thousands of Germans would be doing the same thing.

Woodruff sent Powers back to Germany, saying he wanted to think it over. Two months later, on February 10, 1930, he summoned Powers to a meeting at the Biltmore Hotel in New York and outlined the deal he was prepared to make. To get the Essen bottling plant operating again in time for the 1930 season, Woodruff would give Powers a loan of \$10,000. In exchange, he wanted a first mortgage on the property. Powers accepted, and they signed the papers on the spot. As deals go, the terms and the amount of money involved were entirely unremarkable. What was unusual about the contract was that Woodruff executed it in the name of the Rohawa Company, the subsidiary he used for covert operations.

The act of rebellion that Woodruff remembered occurring in his creation of the Foreign Department was actually the deal he made with Ray

Powers. He had no intention of trooping in front of his father and the board of directors to get permission for a modest \$10,000 loan to the pioneer Coca-Cola bottler in Germany, so he closed the transaction on his own and tucked it away from view.

As it happened, though, there were complications arising from the contract. In Germany, as in almost every other nation in Europe, various laws severely limited the rights of foreigners to own property, sell products, or otherwise conduct business. If Powers failed, the mortgage on his bottling plant would revert to the Rohawa Company. Rohawa was a U.S.-based corporation. It could not legally own or operate a business on German soil.

As they examined the question, Woodruff and Harold Hirsch discovered that there was more than a mere technicality involved. For the past few years, they learned, Ham Horsey had been signing up bottlers all around Europe without paying attention to the niceties of the laws involving foreign ownership. While Woodruff was preoccupied with his other affairs, the Coca-Cola Company had bought and sold property and equipment, signed contracts and employed personnel, all without the proper licenses or permission from the host governments. Every one of the company's bottlers was in some degree of jeopardy. So was the company's trademark. In Horsey's stark admission, he and the company had been "operating illegally."

Scrambling to repair the damage, Woodruff and Hirsch created a new entity, the Coca-Cola Export Corporation, owned by Rohawa with Woodruff as president, and sent Horsey off to the Continent on a mad dash to create a labyrinth of new corporations, including foreign holding companies headquartered in Luxembourg and the Netherlands, that would pass legal muster as links in the chain of ownership. Powers was brought to Atlanta, where his arrangement was restructured to conform with the new proprieties.

The flurry of activity came to Ernest Woodruff's attention, and naturally he took a dim view. Yet he made no move to intervene. He had begun to find it "very distasteful," in his phrase, to have to oppose his son on matters of company policy. When they clashed at board meetings, the other members squirmed with discomfort. It could not accurately be said that Ernest was mellowing, but he was almost sixty-seven years old and he liked spending time on his farm outside Richmond. More and more, when items came up that were likely to pit him against Robert, he decided it was easier to boycott the meetings and let Robert have his way. He did so now.

At first, Powers did little to reward Robert Woodruff's faith in him. As soon as he returned to Essen he began a drumbeat of requests for more money. It turned out he had been forced to give half the loan proceeds to his German partner, who was threatening to sue him. He ran through the other \$5,000 in less than a month and demanded \$5,000 more. "Lord knows I have plenty to do," he wrote Harrison Jones, "without cabling daily about funds and having the worry of wondering where the money is coming from." Woodruff grudgingly okayed another loan.

When Woodruff sent an accountant to look at Powers's books, the report came back that they were in "appalling" condition. Powers had filed false tax returns with the German government, the accountant said, and might be facing arrest. The municipal authorities in Essen were threatening to slap him with a steep fine for putting up excess outdoor advertising.

But there was one inescapable fact that overrode all other concerns. Sales had doubled. Powers was a wretched businessman and an infuriating partner—"I advise you to scrutinize very closely any claims that he files," Horsey warned the home office—yet it seemed his faith in the German appetite for Coca-Cola was well placed. He was a good salesman. In spite of his red ink and bad books and other shenanigans, Woodruff drew up papers creating a parent bottling company in Germany, with Powers as a part owner and general manager, and had the company invest another \$100,000 in the venture.

Then Woodruff relieved Horsey of command over Coca-Cola's European operations. Horsey's limitations, especially his careless inattention to the bottom line, made him expendable. If the company was going to risk large sums of money developing the market in Germany and the rest of Western Europe, it became imperative that a man of rigid discipline be placed in charge as a watchdog.

Gene Kelly was such a man. Tall, lean, ramrod straight, he could still do one-handed pushups in his forties. With his clipped moustache and shock of salt-white hair, he looked every inch the colonel he'd been in the Great War. Kelly ran the company's Canadian operations from Toronto and made a tidy profit every year by imposing a strict set of rules on every aspect of the system. Before the term was much in vogue, he prided himself on being an efficiency expert, and Woodruff relied on him to give basic training to the promising young men who came into the company.

In a small trunk that opened up like a portable desk, Kelly kept manuals he'd written on the best (and cheapest) ways of doing every job in the business, from soaking the scrubbers to buying advertising to filling a cooler (egg-sized chunks of ice in three inches of water). His compulsive penny-pinching was legendary. Kelly put governors on the accelerators of his delivery trucks so the drivers would use less gasoline. Once, after a trip across town on company business, he put through an expense account for the streetcar fare of a nickel.

Numbers mattered to Kelly. He kept a record of every round of golf he'd ever played and figured out his running average at the end of every year. While other Coca-Cola men guessed that it might be hotter indoors in winter than it was outdoors in summer, Kelly went roving around Canada with a thermometer and calculated that it was *exactly* 7.5 degrees hotter.

Oddly enough, Kelly's stinginess did not extend to his personal life, at least not to his wardrobe and social pursuits. He dressed impeccably, favoring custom-fitted suits from London, shirts with dickey fronts from Belgium, French ties, and Italian shoes. He drank only Veuve Cliquot cham-

pagne. A bachelor and unabashed ladies' man, he encouraged the rumor that he had once been forced to leap from a married woman's bedroom into a thorn bush below, narrowly escaping serious injury.

When it came to the company, though, Kelly was a miser and a stickler for procedure, and his mission in Germany was to inflict those qualities on Ray Powers. They met for the first time in Cologne, where the new parent bottling company was headquartered. As Powers later described the scene, he drove over from Essen to greet Kelly when his train arrived. After introducing himself, Powers reached out to take Kelly's luggage and was startled when Kelly rudely brushed him aside. "I never trust my suitcase to anybody," he said. Their relationship never got any warmer.

Kelly imposed order on the German operation. He developed a device the company's German salesmen later nicknamed the *Seufzertasche*, or "case of sighs," a leather briefcase with a tinplate lining that held six bottles of Coca-Cola in ice. Powers and his salesmen lugged the heavy case from tavern to tavern, making sure the samples they peddled were ice-cold. Their instructions were to find the proprietor, "and see him before sitting down to order a drink, as this saves the price of the drink if he happens not to be in." Kelly enumerated the standard points to be made in the sales pitch: Coca-Cola was natural, wholesome ("used in many hospitals"), thoroughly tested, sanitary, delicious, and refreshing. And he added a thought that was rarely expressed openly in the United States—that Coca-Cola was a first-rate hangover cure, especially for beer drinkers.

Powers complained bitterly to Woodruff, Harrison Jones, Hirsch, and anyone else in the home office who would listen about the rigors of life under Kelly's tutelage, but there was no disputing the results. Powers was a hard worker, and once his work was tamed and focused it led to greater sales and revenues. In March of 1932, the Essen plant sold 4,000 cases of Coca-Cola. For the year, sales in Germany topped 60,000 cases. The company was on the way to its first success beyond North America.

Some days Woodruff's job was easy. One of the men in the Chicago office wrote him a note suggesting the company market Coca-Cola golf balls. Woodruff said no.

Other problems were more challenging, and some threatened to remain insoluble until fundamental change arrived in the way Americans lived. Home sales of Coca-Cola would be meager until home refrigeration was widespread, a day that awaited the advent of cheap electricity and affordable appliances. In the meantime, Coca-Cola was sold mostly at soda fountains and retail outlets. Drivers with tongs and shoulder pads continued to deliver fifty-pound blocks of ice to Coca-Cola's dealers, much as they had since the last century, and many of those dealers continued to defeat the purpose by wrapping the ice in newspaper so it wouldn't melt.

Trying to guess what the future held could be risky. The major gas companies were discouraging their attendants from selling Coca-Cola at service

stations because, as Harrison Jones explained it, “they did not desire their employees, who were there to serve oil and gas, to fool with other articles.” But Jones did not think installing vending machines was a good alternative. Drivers, in his view, would not be willing to go to the trouble of getting out of the car, walking a few steps, putting a coin in the slot, and pulling the lever.

Jones served the company as “Mr. Outside” to Woodruff’s “Mr. Inside,” and it was easy to assume, wrongly, that Jones wielded significant power. In the phrasing of a *Fortune* magazine writer, “It is Mr. Jones who listens to the white folks’ troubles, and who gets the colored folks out of jail.” That much was true, perhaps, but it was Woodruff who called the shots. In a time of uncertainty and change, with the nation slipping deeper into the worst depression anyone had ever known, it fell to Woodruff to gauge the future and decide on the company’s course.

By the closing days of 1931, nothing loomed larger on the company’s horizon than the anticipated repeal of Prohibition and the widespread feeling that people would cut back on drinking Coca-Cola once they could buy beer and liquor again legally. On Wall Street, rumors shot through the financial community that Coca-Cola’s earnings were falling off, and like a self-fulfilling prophecy the company’s stock prices began to drop.

In a bid to publicize the argument that Coca-Cola’s prospects would be unaffected by the undoing of the Volstead Act, Woodruff had favorable articles planted in *Barron’s*, the *Wall Street Journal*, B. C. Forbes’s newsletter, and other publications. But the strategy backfired, fueling the suspicions of trouble. A new wave of selling broke out, sending the price of Coca-Cola common stock spiraling down toward \$100 a share, half its high-water mark during the trading war of 1928.

Much to his chagrin, Woodruff was forced to turn to his father one final time for help. It scarcely seemed possible that after eight straight years of robust growth in sales and profits, after a record of success that defied all attempts at reversal (even those instigated by the Woodruffs themselves), the Coca-Cola Company was back in the kind of dizzying downward spiral that nearly brought ruin a decade earlier. Yet the numbers clacking in on the afternoon ticker tape were irrefutable.

Drawn out of his semi-retirement, Ernest Woodruff returned to his big desk at Trust Company, revived his Coca-Cola stock syndicate, and began buying shares of common stock with the same headlong fury he’d exhibited trying to sell them just a few years before. Denouncing the “lower class ‘tipster sheets’” that were predicting doom for Coca-Cola (as if he had never engaged in such practices himself), Ernest and his inner circle vowed to buy every share of common stock that came on the market.

“We were all sweating blood,” Tom Glenn recalled later. One Friday afternoon, with the price of the stock still tumbling, Ernest put through a buy order for 15,000 shares. Glenn asked him where he was going to get the money. “I don’t know,” Ernest replied. Somehow he managed to cover the purchase and arrange another. He convinced banks in New York to

assume several million dollars' worth of loans so that Trust Company and other institutions in Atlanta could step up their lending and relieve some of the company's biggest shareholders. Ernest personally lent stock to Robert and others who were in debt, bolstering the shrinking value of their collateral to keep them from foreclosure.

Thanks to the syndicate, the drop in the price of Coca-Cola common was gradual. More people in Georgia had money invested in the Coca-Cola Company than any other enterprise in the South, and a sudden collapse of the stock price, in the words of one Atlanta financier, "could have resulted in nothing short of a sectional panic." As if to reflect the keen apprehension gripping everyone involved in the matter, one of the company's newspaper ads showed a worried businessman, evidently a stockbroker, clutching a telephone in one hand and a bottle of Coca-Cola in the other. "Break the tension," the ad copy advised, "with a pause."

The tension did break. By the spring of 1932, the worst of the scare was over. The bottom wasn't touched until the end of the year, when Coca-Cola common reached 68½, down fully two-thirds of its value, yet there was no panic because the shareholders knew Woodruff's syndicate would always step in to buy if necessary. "These past few days have been about the most strenuous I have ever contended with," Ernest wrote his son, "but I have in a way enjoyed it. . . ." He even managed to do a little trading along the way. He made a short sale of 5,000 shares during the summer, explaining to Robert that "there was considerable disposition on the part of some insiders to undertake to trade in and out while we are 'holding the bag.'" Some things never changed.

For Robert Woodruff, the price of relying on his father was high: a renewed stream of suggestions—vigorous suggestions—on how to run the company. In particular, Ernest began demanding sharp cuts in pay for all of the company's employees, top to bottom, a step Robert resisted with all his heart. W. C. Bradley, still serving as chairman of the board, finally stepped in on Robert's behalf. "Frankly, Ernest," he wrote his old friend, "I do not concur with some of your views on Coca-Cola management, and can not agree with your position that we should make any sort of drastic reduction in the salaries of our officers and employees, for the reason that they have given us extraordinary efforts, and our net results during 1929, 1930, and 1931 do not justify any such action."

Bradley helped Robert stand up to his father. A man of immense bashfulness himself—once, dedicating a new theater in Columbus, he was able to say only, "My friends," before turning beet red and sitting down—Bradley acted as a go-between and tried to help father and son communicate. "Confidentially," he wrote Ernest at one point, "I spent two or three hours in conference with Bob on last Tuesday and found him more nervous and depressed over the situation than I had ever seen him before, and I feel perfectly safe in making the statement that he needs your approval and cooperation more now than he ever has before. . . ."

One day at the height of the troubles, Robert had a visit in his office at Plum Street from his friend Gresham, the minister, and their old Sunday school teacher, Mrs. Richardson. As he walked them down the glass-lined corridor to the elevator, Woodruff confided, "I am trusting God more than you think, really I am." Yet it was not prayer that held Ernest in check. It was the board of directors, rallying under the guidance of Will Bradley. Ernest's demands for pay cuts and other sharp reductions in expenses were defeated, as were most of his other attempts at interference. Like Sam Dobbs a decade before, Robert believed that the worse the economy was, the more the company should spend, especially on advertising. Unlike Dobbs, Robert had the bloodlines and the backing of enough directors to make his point stick in the face of his father's disapproval.

In November 1932, in the pit of the Depression, with sales tailing off and many of the company's small dealers either closed or so strapped for cash they had to buy their supply of syrup a half day at a time, Woodruff announced that the company would put an extra \$1 million into advertising in 1933.

And he made one other crucial decision. Congress was on the verge of allowing the sale of beer with a 3.2 percent alcohol content—so-called near beer—as an interim step before the impending repeal of the Eighteenth Amendment. Many in the company feared the return of beer would cut into Coca-Cola's sales, and Harrison Jones proposed a solution: Coca-Cola Beer. With 1,250 independent bottlers and nearly a million retail outlets, the company was ideally positioned to distribute its own brand from coast to coast. Some of the bottlers might have "scruples" about going into the brewing business, Jones conceded, but others would do so whether the Coca-Cola Company wanted them to or not. "It would be my idea," he wrote, "that we manufacture a beer, both in bulk and in bottles, and that we make all the accepted forms, both light and dark, [so] that we might have a full line and meet the demands of a varying population and varying taste."

Something told Jones his suggestion might not capture Woodruff's fancy. "I have just hit the high-spots in this memorandum," he concluded, "so that you may think this matter over and shoot it full of holes." Which is just what happened. It was Woodruff's conviction that the Coca-Cola Company make and market one product, and one product only. He could not have believed more profoundly in Oliver Wendell Holmes's words, "a single thing coming from a single source, and well-known to the community," if he had written them himself. He had no intention of allowing the trademark to represent anything other than the soft drink. There would be no Coca-Cola beer.

As 1932 drew to a close, no one could know if Woodruff's decision was the right one. But three days before New Year's, Sam Dobbs wrote to a friend. "If I had a million dollars in cash to-day to invest, I would not hesitate a minute to put it all in Coca Cola. . . ."

Seven

PEPSI

During the worst of the Depression, when most businesses stopped paying for outdoor advertising, some billboard owners gave space to the Coca-Cola Company for free. Rather than expose mile after desolate mile of blank, peeling displays, they preferred showing the cheery pictures created by Archie Lee's stable of artists and illustrators. It was one more way Coca-Cola had of penetrating the mind's eye of America.

Lee understood that a special bond was forming between the soft drink and the American people. In the popular novel *Ann Vickers*, published in 1933, Sinclair Lewis described a character drinking a Coca-Cola as part of her daily routine. "I see a great significance in such things," Lee wrote Woodruff. The author was trying to create "a typical, normal American situation," Lee explained, and had included Coca-Cola "as naturally as he would a telephone."

In the early 1930s, the name Coca-Cola appeared on 20,000 walls, 160,000 billboards, and five million soda fountain glasses across the country, and the company's ads were reproduced on more than 400 million individual newspaper and magazine pages a year. Depicting people from every walk of life—young men at Princeton, tourists visiting Old Faithful, a pair of nicely dressed women shoppers, a motorcycle cop clicking bottles in a toast with a young school-crossing monitor—Coca-Cola's illustrations cloaked the product with a degree of prestige and acceptance no soft drink, no "bellywash," had ever before enjoyed. Coca-Cola ads looked like Norman Rockwell paintings, in many instances because they were.

The company distributed tens of thousands of little booklets called "When You Entertain," by the hostess Ida Bailey Allen, who advised housewives on etiquette, including the proper way of serving Coca-Cola at afternoon social gatherings. At a time when other soft drinks were still considered vaguely disreputable, one of the company's illustrators noted, "The Junior League were drinking Coke in the drawing room." Lee's "pause that refreshes" became part of the nation's vernacular.

The interest people took in Coca-Cola's advertising was simply remarkable. William Forbes, a socially prominent Boston lithographer who printed the company's posters and calendars, wrote Woodruff one summer to say that a preview of the annual bathing beauty had earned the applause of the city's Brahmin set. "Mrs. Wigglesworth, who is one of the conserva-

tive family of that name, was so delighted in it that she begged it of me to show her boys,” Forbes reported with satisfaction, and it seemed that Coca-Cola had met a high standard indeed.

On another level, one that was not so innocent, the company and its bottlers pursued a strategy aimed at the country’s children. As a matter of policy, no one under the age of about twelve appeared in Coca-Cola’s ads, but marketing was directed at youngsters as soon as they turned six and entered the first grade. In Dayton, Ohio, for instance, the bottler distributed company-made “Coca-Cola Nature Study Cards” in the 198 schools in his franchise area and worked at cultivating the goodwill of the PTA by distributing toy gliders, packages of needles, pencils, rulers, balloons, thermometers, billfolds, and other items (including a Coca-Cola scooter and an electric corn popper) for sale at school bazaars. Tours of bottling plants were encouraged.

The market for Coca-Cola was like a conveyor belt, a company official observed, with the obstetrician at one end and the undertaker at the other. The goal was to win customers when they were young and keep them for life. In Kansas City, the bottler provided a gaily colored bus for school outings and broadcast a weekday radio program called “Brother John’s Kiddie Club.”

Nothing exemplified the combination of gentle charm and mercenary purpose in the company’s advertising better than the series of Christmas illustrations that Haddon Sundblom began painting for Coca-Cola in December 1931. In an earlier ad for the company, another artist had depicted Santa Claus as a mere mortal, a man in a costume in a department store pausing to refresh himself amid the crush of children and adult shoppers. But Lee wanted to create a fantasy, a vivid portrait of the “real” Santa Claus enjoying Coca-Cola on the job. Sundblom captured the idea with perfection. His Santa was jolly and rotund, a ruddy Dutch uncle who glowed with a luminous warmth and loved to drink Coca-Cola while delivering presents from the North Pole.

The genius of Sundblom’s ads was that Santa never tried to force Coca-Cola on anyone, child or parent. Instead, Santa simply enjoyed the soft drink while he cobbled toys in his workshop or slipped down the chimney to make deliveries. One year Sundblom’s ad depicted a grateful Santa discovering a bottle of Coca-Cola on a family’s mantel alongside a stocking and a child’s roughly scribbled note: “Dear Santa, Please Pause Here—Jimmy.”

Sundblom, who was not nearly as sentimental a man as his art suggested, later explained that Lee’s instructions to him were to show Santa “on his fanny being served by kids.” Bluntly expressed, that was exactly the point. The company would never be caught (at least not red-handed) exploiting the faith and fable of Santa Claus by soliciting children as customers and pushing the product directly at them. Yet the company would do almost anything to make Coca-Cola part of the narrative mythology of American life, for Americans of every age—including the very young.

In the crisis over Repeal, as ever, the company's top men looked after their interests with hard-eyed realism. Coca-Cola's advertising director, Turner Jones (no relation to Harrison), designed a campaign specially tailored to compete with beer and the resumption of liquor sales in general. As Jones saw it, the company had to modify its pitch by putting an emphasis on what he called "the stimulating characteristics of our product." He wanted to portray Coca-Cola as a pick-me-up and to suggest, without saying so directly, that beer led to inebriation and drowsiness and was fattening as well.

The result was the "Back to Normal" series of magazine ads, an eerie, sophisticated set of illustrations in 1933 that showed people's faces as masks of dull fatigue that could be whisked off after a sip of Coca-Cola, revealing eager, animated expressions underneath. "Put your best face forward," admonished one ad that depicted a woman pushing aside her own frowning likeness. "Refresh yourself and be alert."

Recognizing that a direct appeal to adults and adult moods might jeopardize Coca-Cola's standing as a beverage suitable for children, Jones charged the D'Arcy agency with responsibility for "a frequent changing of pace to keep the innocent, wholesome, healthy child viewpoint alive." A memo from the agency's archives indicates that the challenge was taken seriously. "There is a large market for Coca-Cola among young children," an account executive named E. C. Bolton reported to Archie Lee:

This market is rather seriously hampered by an apparently widespread belief among parents that the carbonated water and caffeine [*sic*] in Coca-Cola are harmful for children. Much could be done, in my opinion, to overcome this sales obstacle by a campaign in parents' magazines . . . and in the major medical journals. The campaign would also serve another worthwhile purpose in acting as a foil against any possible fear or ill-will that might conceivably be caused by the present and proposed stimulation campaign.

Woodruff gave his blessing to a strategy that trumpeted the benefits of Coca-Cola "as a means of relieving fatigue of various kinds," a pitch typified by an ad in the *Ladies Home Journal* that showed a pair of trim, athletic women on a diving board under a headline that proclaimed, "Keeps You Feeling Fit." After years of scrupulously avoiding any hint of curative powers, the Coca-Cola Company was returning to its roots.

As the company delved into the business of trying to manipulate the national psyche, an echo of Asa Candler's distant voice could be heard repeating the blandishments of the patent medicine era. Only this time the spiel promised purity and came equipped with the glamour of Hollywood. "If it's good for the stars, it's good for you," declared an endorsement of Coca-Cola by the cast of the movie *Dinner at Eight*. Lionel Barrymore,

Wallace Beery, Jean Harlow, Marie Dressier, Billie Burke, and the other stars of MGM's popular comedy, along with director George Cukor, all lined up on the set between scenes and posed for a photograph with bottles of Coca-Cola in their hands, sipping the soft drink through straws and smiling gamely.

Expressing the point of the campaign explicitly, the text of the ad proclaimed that Coca-Cola "banishes drowsy yawns and hot, thirsty faces. It's the way to snap back to normal and be alert. . .because an ice-cold Coca-Cola is more than just a drink. It combines those pleasant, wholesome substances which foremost scientists say do the most to restore you to your normal self."

The backlash Woodruff and others feared never materialized. The lone voice raised against Coca-Cola in the early 1930s came from a doctor in Illinois who wrote the *Journal of the American Medical Association* to warn that teenagers were dissolving aspirin in Coca-Cola to create an "intoxicating" beverage with addictive properties that were as bad as "narcotic habituation." The company studiously ignored the report in hopes it would sound ridiculous and fade away, as it eventually did. The prevailing view, that Coca-Cola was a mild, benign refreshment, as familiar and harmless a part of American life as tea was to the English, took a deeper hold.

In a neat coda that signaled the success of the campaign, Harold Hirsch conducted a round of quiet negotiations with the editors of *Good Housekeeping*, the magazine that had once given Dr. Wiley a forum to attack Coca-Cola, and secured the coveted Seal of Approval.

As for the return of liquor, the company survived with effortless ease. Archie Lee had never believed beer posed a genuine threat to Coca-Cola, and he was right. "I just can't see," he once told Woodruff, "how a taste for Coca-Cola can accept beer as a substitute." His puzzlement was justified. If anything, the nation's failed experiment with Prohibition ended up helping Coca-Cola by putting thousands of saloons and corner taverns out of business and encouraging a much higher level of home consumption of beverages of all kinds.

Investors, seeing their fears were groundless, began a two-year run of heavy buying that pushed the stock price of Coca-Cola common back above \$100 a share, then above \$200, and finally, in the summer of 1935, to a record mark of \$224.75—the highest figure on the New York Stock Exchange. The recovery was complete.

But by then the company had another problem: Pepsi.

For more than a decade, the playing field had belonged to Coca-Cola almost exclusively. The U.S. Supreme Court frightened off most of the manufacturers of copycat soft drinks in 1920 with its decision against the Koke Company of America, and the collapse of sugar prices that same year drove many of the rest into bankruptcy.

In the years since, Harold Hirsch had assembled a team of lawyers in the

company's Legal Department who scoured the land protecting Coca-Cola's trademark, hunting down violators, and filing hundreds of lawsuits that produced a blizzard of orders, injunctions, decrees, and judgments against defendants big and small.

The company's vigilance became a matter of legend and eventually of criticism. No one questioned Coca-Cola's right to its good name, of course. Some of the infringement cases were flagrant, with the guilty parties' intent to deceive as plain as the names they put on their bottles. The makers of Co-Cola and Coke-Ola, for example, deliberately chose homonyms for the way many Southerners pronounced Coca-Cola, and were summarily put out of business.

But other cases were not so obvious, and in time the Coca-Cola Company's relentless opposition to the use of the word "cola" by anyone else began to seem like an unwarranted bid for a monopoly on an entire category of soft drinks. In the eyes of the federal courts (and the general public, too) the notion was growing that "cola" was a generic term—meaning a dark-colored, sugar-based, carbonated soft drink containing caffeine—and that the Coca-Cola Company did not have an exclusive right to make and market the lone brand of it. A lot of people saw how immensely profitable Coca-Cola was and resented the company's refusal to share the wealth.

Nothing did the company's reputation and legal standing more harm than the activities of its Trade Research Department, a euphemistically named group of investigators—mostly Pinkerton detectives and beefy ex-football players from Hirsch's alma mater, the University of Georgia—who threatened reprisals against soda fountain proprietors suspected of palming off cheap syrup in place of Coca-Cola. Even though the practice of substitution was illegal, the specter of a rich, powerful corporation sending a private police force into candy stores, restaurants, and mom-and-pop shops to enforce its favored position looked like unnecessary bullying.

The company men issued no-nonsense warnings: When a customer ordered Coca-Cola, the shopkeeper was obliged to serve the genuine article. If the warnings were ignored, other investigators followed up with legal action. Working in pairs, they would enter a place a few minutes apart, pretending not to know each other. While one observed and surreptitiously took notes, the other would order a glass of Coca-Cola, slip a sample of the beverage into a medicine bottle, and seal it for testing by a chemist. Or the investigator would demand a sample of syrup straight from the dispenser and take it by sheer force of intimidation. Either way, if the syrup was fake the company would file suit and the investigators would testify in support of each other. Sometimes the company ran the drill a half-dozen times or more at a single fountain, just to accumulate evidence.*

* The regional Federal Records Center outside Atlanta, a sprawling government warehouse, still stores boxes containing some of the vials of dark liquid that Hirsch's men collected and carefully closed with sealing wax—forgotten, dust-coated exhib-

Over time the investigators came to think of themselves almost as law enforcement officers. With the encouragement of Hirsch and the rest of the company's management, they developed a certain swagger and prosecutorial zeal, a cocksure certainty that whatever they did on behalf of Coca-Cola was not merely in the interest of the company but of simple justice itself. It was a situation tailor-made for overstepping the bounds, as soon happened.

Charles Guth made candy for a living, but no one who met him ever made the mistake of thinking he was a sweet man.

The son of German immigrants, Guth grew up in Philadelphia before the turn of the century and started learning the confectionery business as an apprentice when he was fourteen. He moved to Baltimore in 1900, opened a shop of his own, and after a series of ups and downs finally prospered making a chocolate drink with the unlikely name of Mavis.

His reputation as a tough customer was cemented in 1913 when he shot and killed his chauffeur, who allegedly attacked Guth with an axe and beat him with his fists in a fierce assault after Guth fired him.

In the late 1920s, Guth operated out of an office on the fourth floor of the Candler Building in Baltimore, where he was a neighbor of the executives in the Coca-Cola Company's eastern regional headquarters. The Coca-Cola men came to dislike Guth intensely because of his habit of approaching the company's bottlers and bribing their salesmen (with gifts of gold watches, in one instance) to produce and market Mavis as a sideline.

Guth worked at presenting a baronial image to the world. He owned a pair of expensive Pierce Arrow cars and wore a big ring with a diamond. His outer office was filled with ornate furniture, including gold-brocaded chairs with museum-style streamers across the arms to prevent anyone from sitting down in them. His private office was set up to give the impression of a throne room. Guth sat behind a huge desk on a raised platform and gazed down on his callers from a height. One visitor remembered him as a large man, even though he stood only five foot six and weighed 150 pounds.

"He wore spats and had a derby hat," one of the Coca-Cola Company's lawyers recalled years later. "A debonair guy, but he had the eyes of a snake."

Guth's temper was notorious, as was his lack of trustworthiness. Many of his associates learned too late that they should have been more careful doing business with him, a group that included the Loft family. The Lofts were the proprietors of a chain of candy stores that bore their name in New York City. They made a stock deal with Guth, trading shares in their company for an ownership stake in Mavis, and soon found themselves on the losing end of a proxy fight. Guth seized the presidency of Loft, Incor-

its from lawsuits that were brought against various pharmacists and shop owners around the South in the 1920s and 1930s.

porated, and assumed control of their stores. By 1931 Guth had taken over two other chains, the Happiness and Mirror candy stores, and was running 225 outlets in New York, most of which had soda fountains that served Coca-Cola.

It was Guth's firm belief that he deserved a discount on the 30,000 gallons of Coca-Cola syrup his stores in New York were buying each year. With the figure of \$15,000 in mind, he called on the company's top man in Baltimore, Neal Harris, to press his case. Harris declined, reciting the company's strict policy of selling syrup only through authorized wholesalers and never directly to the retailer. When Guth demanded that Harris treat him as a jobber to make him eligible for the reduced price, Harris flatly refused. Furious, Guth ordered all of his candy stores to stop serving Coca-Cola.

Guth started looking for a substitute cola, and as it happened he knew exactly where to turn. Pepsi-Cola had just gone bankrupt for the second time in its existence, and it was little trouble for Guth to talk the company's handful of creditors into letting him buy the trademark and formula for \$12,000. The formula was of no interest to him at all, but the trademark was virtually priceless: By an accident of history, it had never been challenged by Coca-Cola, and no court had ever ruled that it was an infringement.

Pepsi had begun life around the turn of the century in New Bern, North Carolina, the creation of a pharmacist named Caleb Bradham who first called it "Brad's Drink" and later got it registered under the trademark Pepsi-Cola. There is little question Bradham was inspired by Asa Candler's success with Coca-Cola, but Pepsi differed at least slightly in composition: It contained pepsin, a digestive enzyme, and was marketed in its early days mainly as a stomach soother. Bradham enjoyed a considerable success with Pepsi around the Carolinas and Virginia, and by 1915 he claimed to have nearly three hundred franchise bottlers in twenty-four states.* Bradham built a fine mansion in New Bern and had five live-in servants, but he was one of the many soft drink entrepreneurs ruined by sugar after World War I.

Why the Coca-Cola Company failed to include Bradham and his drink among the hundreds of suits they filed against imitators cannot be fully explained. Harold Hirsch once remarked that he wanted to make Pepsi a target in the very early days, before he and Sam Dobbs took charge of the company's legal policies, but was overruled by John Candler. Later, Hirsch underwent a curious change of heart and testified under cross-examination in an infringement case against another soft drink that he did not believe the name Pepsi-Cola infringed on Coca-Cola's trademark. The likeliest

* One sign of success was that Pepsi drew imitators of its own. J. C. Mayfield, the old partner of Doc Pemberton who created such mischief for the Coca-Cola Company peddling Koke, also put out a product he called Pepsi-Nola.

possibility is that by the time Hirsch got the opportunity to sue Pepsi, the rival drink was so well established he feared he might lose the case.

The point appeared moot, of course, when Pepsi went out of business. But the existence of an unchallenged trademark proved to be a temptation. In 1923, the makers of Taka-Kola lost an infringement suit, tried again with Takola and lost, and were on the verge of defeat in a third suit, with Vim-Kola, when they bought the rights to the name Pepsi-Cola. For a time, they used Taka-Kola syrup to bottle and sell a product they called Pepsi-Cola. They, too, gradually went bankrupt, but not before drawing the notice of Charlie Guth.

Fully aware of Pepsi's odd past and future promise, Guth believed he had the perfect weapon to inflict a costly lesson on Neal Harris and the Coca-Cola Company. He had one of Loft's chemists mix up a syrup that tasted more or less like Coca-Cola's, then christened it Pepsi-Cola, and began serving it at the fountains in his candy stores.

Taking the bait, the Coca-Cola Company retaliated. At first, the reprisals had a frisky, fraternity-boy air. Posing as legitimate customers, some of the company's investigators went into Loft, Mirror, and Happiness stores, ordered a Pepsi, took a sip and loudly spat it out, saying it tasted awful. When that failed to work, Hirsch sent other investigators around who set to work in deadly earnest trying to prove that Guth's soda fountains were illegally substituting Pepsi in place of Coke.

The problem, from the Coca-Cola Company's point of view, was that Guth knew his law. He understood perfectly well that if a customer asked specifically for Coca-Cola, another product could not be served in its place without the customer's okay. Warned by Guth to be careful, most of his soda jerks dutifully explained to customers that the cola they were getting was Pepsi-Cola, not Coke. (It was the origin of the ritual caveat—"No Coke! Pepsi!"—that eventually became the subject of a recurring skit on the television show "Saturday Night Live," with John Belushi playing a counterman in a diner who barked the phrase at his customers over and over in a thick accent.) But there were inevitable slips, and Coca-Cola's investigators kept returning again and again until they had accumulated what they claimed were several hundred instances of substitution.

Anticipating the impending lawsuit and court battle, Guth tried a publicity gimmick aimed at securing the high ground. He told the New York newspapers he was offering a \$10,000 reward for information leading to the detection of any substitution of Pepsi on calls for other soft drinks at any of his stores. Answering in kind, Hirsch had the Coca-Cola Company make a formal claim on the money, asserting that clerks were cheating in all of the Loft, Happiness, and Mirror stores.

The dispute over the reward money captured the fancy of New York's tabloid press and guaranteed heavy coverage for what happened next. The Coca-Cola Company filed suit in Wilmington, Delaware (where both companies were incorporated), charging a pattern of repeated substitution and

asking that Guth be barred from selling Pepsi in his stores. Guth responded by filing a series of countersuits in New York alleging harassment and seeking \$10 million in damages. The Coca-Cola Company, Guth claimed in one of the suits, had threatened him with “destruction.”

With a keen interest in the showdown between the two soft drink companies (and with blind prescience) the editors of the *New York Journal* reported the story under a headline calling the dispute the “BEVERAGE BATTLE OF THE CENTURY.” So it would prove to be.

The first courtroom engagement in what came to be known as the Cola Wars took place in Chancery Court in Wilmington, Delaware, in the first week of June 1933. Hirsch called wave after wave of his investigators to the stand to describe episodes in which soda jerks in Guth’s stores had served Pepsi-Cola when Coca-Cola was ordered. He also called more than a hundred former Loft employees, badgering them about their activities. As the parade of witnesses continued, the judge, Chancellor J. O. Wolcott, grew increasingly exasperated. It was plain that some substituting had occurred, perhaps even widespread substituting, but Guth’s side presented convincing evidence that the store managers had instructed their employees not to do so. The Coca-Cola investigators had zeroed in on a few repeat offenders, returning time and again to make hundreds of “trap orders” meant to compound the offenses and exploit them. It was overkill.

Chancellor Wolcott ruled in Guth’s favor. If the Coca-Cola Company had evidence that some of the fountain clerks in the Loft, Happiness, and Mirror stores were guilty of substitution, the judge said, the proper response would have been to notify Guth and complain to him in writing, thus allowing him an opportunity to intervene with his employees and correct the problem on his own. Instead the company had concentrated on accumulating evidence from stores where the offense was most common, and rather than warn Guth of the situation it had done the precise opposite.

The ruling was a great victory for Guth, but it was also a costly one. Showing he was not completely credulous, and that he understood Guth was no innocent schoolboy, Chancellor Wolcott ordered the Loft stores to pay the court costs of the case, which had reached the substantial level of about \$60,000. By inflicting pain on both sides, Wolcott ensured that the struggle between them would continue, and that it would be conducted with a new sense of rancor.

For his part, Guth decided to begin competing with Coca-Cola on a far grander scale. He moved beyond New York City in his marketing to cover most of the Northeast and Atlantic Coast, and he inaugurated bottling operations, moving the contest out of the soda fountains and into the increasingly lucrative arena of grocery stores and other retail outlets.

At first, Guth struggled. He tried putting Pepsi in 6½-ounce bottles, the same size as Coca-Cola’s, and found he could not compete. He tried doubling the size of the bottle and the price—12 ounces for a dime—and got nowhere. In the last months of 1933, facing defeat, he even extended a

feeler to Atlanta to see if the Coca-Cola Company had any interest in buying him out. It did not.

Then Guth hit upon a brilliant idea. What about doubling the size of the bottle while holding the price at a nickel? Pepsi could not begin to match the prestige of Coca-Cola, but it could sell twice as much for the same price, a concept any thirsty consumer could grasp in an instant and appreciate, especially as the grip of the Depression continued to squeeze the country. The additional costs would be negligible since most expenses—filling, capping, packaging, labor, handling, transportation, and advertising—would remain the same. Doubling the ingredient amounts would require only a relatively minor increase in outlay.

Almost overnight, sales of Pepsi—in clunky, used, 12-ounce beer bottles—began to rise. In New York and the other urban centers of the Northeast in particular, where Coke had never engendered the popularity and product loyalty it enjoyed elsewhere, Pepsi-Cola moved quickly into the kitchens (if not the drawing rooms) of families who had to watch their money and get the most they could for a nickel. In 1934, Guth sold \$450,000 worth of Pepsi-Cola and cleared revenues of about \$90,000.

In Atlanta, the emergence of a competing soft drink, even one whose sales were approximately one-hundredth the size of Coca-Cola's, provoked anger and a cold sweat. Woodruff truly believed that Guth was a common thief trying to steal Coca-Cola's good name. Just as Asa Candler once denounced the "unscrupulous pirates" who copied his soft drink, Woodruff growled darkly about "chiselers" who traded on the reputation he and others had built so arduously for Coca-Cola. Woodruff could not bring himself to speak the word "Pepsi," and for many years, well into the 1960s, the company's internal communications referred to the rival soft drink only as "the Imitator," as if it were the villain in a morality play.

Woodruff's contempt for Guth was transformed into a sharper emotion, vengefulness, in the summer of 1934, when Pepsi-Cola began doing business in Canada. It was bad enough that Guth coveted Coca-Cola's great success in Montreal and other Canadian cities and wanted to snatch a share of it, but the way he went about the campaign was designed to enrage Woodruff: Guth hired away one of the Coca-Cola Company's top men in Europe, D. S. Hawkes, to be Pepsi's Canadian general manager. Woodruff prized loyalty above all other virtues, and the defection ensured that he would pursue total victory over Guth and Pepsi at almost any cost.

Before Woodruff could pace off the steps and have his duel with Guth, there was an urgent need to bring order to the Coca-Cola Company's own house.

In most respects, surviving the Depression and the threat of Repeal made the Coca-Cola Company a vastly stronger institution. Certainly it was richer. The multiplying value of Coca-Cola stock relieved the distress

of the company's major shareholders, saving their fortunes and turning them into millionaires once again. Woodruff was able to pull himself out of debt at long last and cover the remaining losses from his short sales. His father, hastening to beat the imposition of new federal gift and inheritance taxes, divided the major portion of his estate between Ernie and his three sons and gave each of them more than \$1 million in securities, mostly Coca-Cola stock.

But the company's affairs were more tangled and complicated than ever, marked—and in some ways scarred—by Robert Woodruff's unyielding determination to take complete control of every aspect of the business. Being president was not enough. After years of painful clashes with his father and others, Woodruff set himself toward a goal of absolute authority over everyone in the company, from the board of directors down to the janitors. He wanted the final say on every decision, major and minor, and he no longer had much tolerance for people who disagreed with him.

Woodruff's bid for total power took an important turn when he lost patience with J. T. Lupton, the parent bottler from Chattanooga, who kept pestering the home office with suggestions about selling Coca-Cola. Lupton's advice often was flawed (he disapproved of the company's "Pause That Refreshes" slogan and protested vehemently against the Sundblom Santa) and he had the irritating habit of referring to his own brilliance in making a fortune selling Black Draught during the Panic of 1893, as if that provided a model for marketing Coca-Cola four decades later. He routinely refused to heed the advice of his own chief administrator, the highly respected Veazey Rainwater.

Lupton constantly belittled Woodruff's top officers as "the kindergarten" and demanded the right to devise his own advertising materials. He distrusted the company's soda fountain salesmen and repeatedly accused them of trying to undercut his bottlers. He might have been dismissed as a harmless old mossback, except that he kept threatening litigation.

In order to rid himself of Lupton, Woodruff began negotiating with J. B. Whitehead's widow and sons to buy their half of the parent company—a strategy that at first glance yielded little hint of how it might promote harmony or improve the company's relations with its bottlers or strengthen Woodruff's hand in any other way. Lettie Pate Evans, as she was known after remarriage, was a complaisant, affable woman, but her two sons were hellions, a pair of hard-drinking men with disagreeable natures and track records spotted with scandal and divorce.

The younger son, Conkey Pate Whitehead, carried a particularly bad reputation. He first married Julia Murphy, the daughter of a prominent Atlanta banker, then divorced her and took up with a pretty young actress from New York named Frances Porter. When he threw Miss Porter over, she tracked him down to his yacht in Havana harbor, clambered aboard, and went after him with a slipper and a hatpin, driving him ashore. He

demanded that the Cuban authorities deport her; she responded by filing charges of false arrest, imprisonment, and assault and battery, along with a \$250,000 breach of promise suit.

By the time the matter came to trial, Whitehead was remarried. A photograph from the period shows a smug, dapper fellow in two-tone shoes and a blazer, perched next to his bride atop a pillowed sofa, petting a lapdog. Marian Hughes, the new Mrs. Whitehead, did not last long. Whitehead was an alcoholic, given to bouts of drinking so fierce that a private detective had to follow him around trying to keep him from harming himself and others. One night, during a late-hours party at the old Atlantan Hotel, the detective discovered Whitehead passed out on the floor, turning blue, and sent for a doctor. The examination revealed that Whitehead was lying in his own vomit, turning the color of the dye in the carpet.

Jack Spalding, the founder of King & Spalding, assigned his son, Hughes, to look after Whitehead's interests—and then questioned how Hughes could tolerate the assignment Whitehead “is so thoroughly demoralized and debauched and has such a big streak of mean in him,” Spalding once wrote his son, “that I wonder sometimes how you have ever gotten along [with him] as well as you have.”

For all their considerable shortcomings, though, the Whiteheads had one quality that appealed tremendously to Woodruff: They had not the slightest interest whatsoever in working for a living. They never tried to interfere in the Coca-Cola Company's business—never gave advice, never second-guessed a decision, never so much as asked a question. They simply wanted to get and spend their royalty from syrup sales, and as long as the money came in they were, after their own fashion, happy. (Hughes Spalding once visited Conkey Whitehead and his mother when they were staying in a suite at the Hotel Pierre in New York; they were “guarded and protected from outside influence,” he observed, “as if they were royalty.”)

The Whiteheads agreed to sell their stake as parent bottlers back to the Coca-Cola Company in exchange for common stock. From their point of view, the trade was of little consequence. Instead of a royalty, they would begin receiving roughly the same amount of income in the form of regular dividends. But for Woodruff, the deal had several significant aspects. First, it gave him the leverage to force Lupton to sell out, too. As an equal partner, Woodruff now had the ability to checkmate Lupton on any matter that provoked a disagreement, and rather than spend his remaining years fighting the home office the old man quietly surrendered. He traded his rights in a stock deal similar to the Whiteheads' and retired.

Second, the deal marked a turning point in Woodruff's relationship with his father. Characteristically, Ernest Woodruff opposed the deal with the parent bottlers—or, to put it more precisely, he kept up a steady barrage of criticism of the way Robert was negotiating the deal. From his farm outside Richmond, Ernest launched a fusillade of letters, telegrams, and phone calls

to his son and other officers and directors of the company, warning that they were being out-traded and paying too much and were likely, as he said in one letter, to find themselves “in a jam.”

Refusing to bend to his father’s will or heed his prophecies of doom, Robert pushed the deal through with the support of Will Bradley and the other directors, including Ernest’s long-time deputy, Tom Glenn. As was his increasingly frequent habit, Ernest boycotted the board meeting when the deal was approved, but his sullen recalcitrance no longer seemed to carry much weight. With the company making profits again, the board had renewed confidence in Robert’s judgment, and the deal with the parent bottlers marked the beginning of the end of any further serious efforts by Ernest to challenge his son over matters affecting the company.

Finally, and most important, Robert Woodruff’s negotiations with the Whiteheads brought him back into close contact with John Sibley the lawyer at King & Spalding who had won the parent bottlers’ bitter suit against the Coca-Cola Company back in 1920. Sibley’s firm still represented the Whiteheads, whose large block of Coca-Cola common stock now gave them a voice in the company’s ownership.

Woodruff found that he liked Sibley. There was a tremendous amount of resentment and bad blood directed at Sibley by some of Coca-Cola’s officers and directors, especially by Harold Hirsch, who had been so badly humiliated by Sibley during the trial, yet it was one of Woodruff’s qualities that he was willing to befriend men who had bested him in order to take advantage of their abilities. Woodruff came to appreciate Sibley’s temperament—his utter discretion, his innate conservatism and common sense and especially his competitive, often combative nature, one that was very much like Woodruff’s own. For ten years, Woodruff had been trying to assemble a team of his own to run the company exactly as he wanted it run, and in Sibley he found the final piece in the mosaic.

In the months before and after the Whitehead deal was closed, Woodruff cultivated an intimate bond with Sibley that lasted until the two men were in their nineties. Sibley rose in a very short time to become Woodruff’s top adviser in the company, shaping decisions not only in matters of law but in the areas of personnel, politics, advertising, and general business strategy. Sibley became Woodruff’s personal lawyer. He handled Woodruff’s taxes and fought the IRS for him, spent time with him at his plantation, traveled to Europe with him, and got a car from him as a Christmas present. Before long he became Woodruff’s choice as heir apparent for the presidency of the company.

It was not a relationship of equals. Woodruff dominated Sibley just as he did every other man and woman who ever worked for him. Georgians who remember Sibley in his later years as perhaps the most distinguished man of public affairs in the state, chairman of the famous Sibley Commission that brokered the peaceful desegregation of the public schools, might have

blinked in disbelief had they seen him back in the 1930s at one of Bob and Nell Woodruff's anniversary parties, dressed in a Western costume, singing this doggerel tribute:

I'm a Woodruff fan,
 And I like his plan.
 He's a sho' nuff friend
 And a real he-man.
 As a legal guide
 I can give advice,
 But it must be right,
 'Cause he don't ask twice;
 When I'm slow to act
 Well, he don't act nice—
 Yippi-I-Oh-Ki-A,
 Oh, Yippi-I-Oh-Ki-A!

When Sibley, a widower whose first wife had died in a car accident, got remarried in a service in suburban Philadelphia, Woodruff called up the governor of Pennsylvania and insisted on arranging a conspicuous motorcade through several small towns from the bride's home to the church, led by three motorcycle policemen in full regalia. "John didn't like it a bit," his partner Hughes Spalding recalled, "but he couldn't do anything about it."

Nonetheless, Sibley came as close as anyone ever did to serving Woodruff as a right-hand man, and his influence on Woodruff's thinking changed the course of Coca-Cola's history.

Sibley's ascendancy put an indelible stamp on the company, and the reason was that for all his considerable talents in other disciplines, at the end of the day he was first and foremost a lawyer—an advocate. In the second half of the decade of the 1930s, as it faced heightened competition from Pepsi-Cola and other soft drinks, the Coca-Cola Company arrived at a fork in the road. It could compete in the marketplace, using the tools of advertising and salesmanship, building upon the reservoir of goodwill it enjoyed from the American people, or it could compete in the courtroom, using lawyers. Largely because of Sibley, the company took the second course.

Harold Hirsch's days as the Coca-Cola Company's general counsel were numbered as soon as Sibley came on the scene.

For public consumption, Hirsch's eclipse was explained as a matter of geography. Late in 1934, fearful that Georgia Governor Eugene Talmadge was about to impose heavy taxes on securities held by the wealthy, Woodruff moved the corporate headquarters of the Coca-Cola Company

to Wilmington, Delaware, where he and several other officers established legal residency.

Hirsch was reluctant to abandon Atlanta, where he was the senior partner of his law firm and president of Scripto, the big pen and pencil manufacturing company, and his refusal to move to Wilmington, it was said, led to his replacement by Sibley.

Yet that was not quite so. Woodruff's move to Wilmington was partly a charade. He rented a house there and had his office furniture shipped to a modest, two-room suite of offices in the Du Pont Building, leaving the fourth floor at Plum Street looking "a little queer and forsaken," in the words of a secretary who stayed behind. But Woodruff continued to spend a great deal of time in Atlanta—he would buy tickets and reserve train seats between Wilmington and Atlanta for days on end, just to be sure he and his men could travel back and forth at their convenience—and he offered Hirsch wide leeway in attending to his interests at home.

The deeper problem, aggravated by personal friction, was Sibley's fundamental disagreement with the way Hirsch was conducting the company's legal business, from tax planning to political lobbying, from renewing the patent on its bottle to formulating the strategy for fighting off competitors.

Hirsch wanted to finish the fight with Pepsi. "It was my desire," he said later, "to try out the question, without any secondary questions or other matters being involved, as to whether Pepsi-Cola was an infringement of Coca-Cola." Hirsch conceded that it was far too late to challenge Pepsi-Cola's trademark in the United States, where it had been used in various incarnations for several decades. Instead he came up with the idea of a flanking maneuver—an attack on Pepsi in Canada, where Guth had just begun doing business. One of the key tests of a trademark's validity was how long it had been established, and in Canada, unlike the United States, Pepsi was a newcomer little known to the buying public.

Sibley took a dim view of Hirsch's brainstorm. Even if it proved successful, he reasoned, it would be of no help in the United States. And there was no guarantee that it would be successful. Sibley scrounged around in the Coca-Cola Company's legal archives and found a transcript of the testimony Hirsch had given years earlier when he said he did not believe Pepsi-Cola was an infringement of Coca-Cola's trademark. Sibley also found a letter Hirsch once wrote to one of the Coca-Cola Company's directors giving the same opinion. If Guth's lawyers were clever enough to discover and produce either document, Sibley figured, the potential for embarrassment in the courtroom was huge.

Using the issue of residency in Wilmington as a wedge, Sibley pushed Hirsch aside as Coca-Cola's general counsel and took over the reins of the company's legal affairs. But, as if to grant Hirsch one last favor for his three decades of faithful service, Woodruff and the board gave him the green light to sue Pepsi in Canada.

On May 30, 1936, Coca-Cola's Canadian subsidiary filed suit against Pepsi in the Court of the Exchequer in Ottawa.

Trial began a few months later, and at first it appeared Hirsch had been right after all. Guth was embroiled in a separate lawsuit back in the United States with Loft, Incorporated, over the ownership of Pepsi and was either too preoccupied or too poor to mount a first-rate defense in the Canadian case.

His counsel, W. D. Herridge, became the butt of a string of caustic remarks from the bench. Endeavoring to explain why Guth had introduced Pepsi in Canada, Herridge wandered into a dense soliloquy and had trouble extricating himself. "It is true," he noted, "that within the last three or four years the soft drink business through the continent has boomed in an amazing way, really out of keeping with the general recovery in merchandising. Precisely why that is, I do not know. It may be on account of prohibition, or something. . . . Montreal is a tremendous soft drink center, in some respects the greatest soft drink center in the world. Why that should be I do not know, but it is. . . ." Interrupting him, Justice A. K. MacLean snapped, "There is a lot about it you don't know!"—an observation that proved keen as Herridge went on to assert mistakenly that coca comes from the coconut.

Completely outmatched, Herridge had all he could do to fend off the judge, let alone mount a challenging case against Coca-Cola. Though the formal ruling would not be handed down for several months, it was clear the court sided strongly with Coca-Cola. In fact, if one listened carefully enough, it almost seemed that history was repeating itself. Justice MacLean sounded a great deal like Edward Sanford, the federal judge in Chattanooga who had directed a verdict in Coca-Cola's favor a generation earlier.

As a younger man with a better ear for nuance, Hirsch had taken alarm at the ease of Coca-Cola's victory over Dr. Wiley, anticipating the difficulties that would arise on appeal. This time he failed to hear the warning signals. With Hirsch's blessing, the company's Canadian lawyer, Russel Smart, decided not to present any evidence showing that consumers were deceived by the name Pepsi-Cola. Fearful of taxing the judge's patience, perhaps, or still stinging from the accusations of overkill in their legal assault on Guth and Pepsi in the substitution case in the United States, Smart and Hirsch opted for a quick, two-day trial in which they relied on what they believed was the inescapable obviousness of Guth's desire to steal Coca-Cola's business by peddling a confusingly similar product.

But they blundered. Trademark law is a knotty subject, yet there is one important principle at the heart of it that is quite simple: It is designed to protect the public as well as the manufacturer. In layman's terms, the law says consumers have a right to get what they expect when they ask for a

product with a familiar trademark. What complicates the issue is determining just how similar a rival product can be before it crosses the line and improperly confuses the public. The question is highly subjective, of course, and the Coca-Cola Company's legal files bulge with the tortured attempts of various trademark examiners and federal judges who tried to sort out right and wrong and often succeeded only in sounding faintly ridiculous.

Many judges took the position, in effect, that they might not be able to define infringement but knew it when they saw it. An examiner in one case held that Ko-Co-Lem-A was an infringement and then (in a literal reversal) volunteered parenthetically that he thought Lema-Koco would not have been. A federal judge in one jurisdiction found Mitch-O-Kola to be an infringement while another elsewhere gave a clean bill of health to Roxa-Cola.

The one protection Coca-Cola had against the caprices of these judicial rolls of the dice was the presentation of evidence that ordinary citizens found a competing product so similar that they were confused by it. Since the interest of the public was at stake, the opinion of the man and woman in the street counted. And other evidence was admissible as well: If another product used similar packaging or colors, or the same Spencerian script, or if its salesmen openly likened it to Coca-Cola, those facts could also be used in arguing the intent to infringe.

In the Canadian case, by forfeiting the chance to lard the record with testimony from people who said they mistook Pepsi for Coca-Cola, the company left the question of infringement solely up to the judge—and thus vulnerable to the second-guessing of the appeals courts. Hirsch's final victory for Coca-Cola was a shaky one, a verdict that would be wide open to whim and, as it proved, to whimsy.

Woodruff was not a humorless man, but the members of his staff had a very hard time working a smile out of him during the months that the fate of the trademark hung in the balance.

The one who tried hardest was Ralph Hayes, an eccentric fellow who came to the fore during the period of exile in Wilmington. Hayes joined the company as secretary and treasurer in 1933 and seemed destined from the start to act as a natural foil for Sibley and the grim seriousness of the company's legal business.

Hayes prided himself on teasing Woodruff, trying to keep him from becoming completely overbearing. On one occasion when Woodruff agreed to sit for a portrait, Hayes snapped off a quick memo urging him to change his mind. "Anyone who thinks you could be induced to sit still long enough to get a portrait painted is a dim-witted crackpot," Hayes wrote. "Any artist painting what he saw during a half dozen sessions with you would have to label the result 'St Vitus, Dancing.'"

It was a better idea to pose for a photograph, Hayes added. "I want to

see the documentary chaos that surrounds you; those stacks of home work behind you that make the place look like a hoo-rah's nest in a hurricane; your old pipe reclining where you last left it; your collar a little askew; a half-empty glass of Coca-Cola; your spectacles lying in front of you—none of this pretending you don't need them. . . .”

Balding, bow-tied, pixie-faced, with a twinkle in his eye, Hayes was part humorist and part historian, a natural writer and twirler of tales—the only one of his time who understood what a good story Coca-Cola was. By training, Hayes was a banker, yet his real calling was in public relations. He was interested in having fun, and he tried to make Woodruff join him.

Even more than Archie Lee, Hayes appreciated the affection the American people felt for Coca-Cola, and he believed it was imperative to encourage that affection to grow. “We have an opportunity, if we are equal to it, to make Coca-Cola the national beverage, the great American drink,” he preached to Woodruff. The phrase “as American as Coca-Cola” was gaining currency, in venues as diverse as the *Washington Post* and the *Music News*, and Hayes clipped every such reference and added it to a file he kept pushing under Woodruff's nose.

In Hayes's view, the company's fiftieth anniversary in 1936 was the perfect occasion to burnish Coca-Cola's image as an American institution. He commissioned the D'Arcy agency's writers to prepare a booklet saluting the history of Coca-Cola, and when their effort proved weak he gave Ralph McGill, who was then writing a sports column for the *Atlanta Constitution*, a \$500 commission to try another version. Neither pleased Hayes entirely and eventually he did the job himself. The result was a delightful piece of puffery.

“Kings have abdicated, wars have raged, thrones have toppled, the map of the world has changed and rechanged,” Hayes wrote (or rather, overwrote), “since that one-horse wagon rattled down Marietta Street carrying all there was of Coca-Cola in a single load on a lonely journey to a basement home. . . .” Hayes was determined to invest Coca-Cola with the proper portent, to mark its place in history and anchor it in the grand scheme of things. He went back in time to look at the world of 1886: Grover Cleveland was married in the first White House wedding, Queen Victoria celebrated the start of her Jubilee Year, gold was discovered in the Transvaal, a French company broke ground for the Panama Canal, and brilliant minds invented the typewriter, the streetcar, laces for shoes, and Coca-Cola.

With a fine, strong cadence, Hayes ticked off the many ways Coca-Cola had announced its name to the world in the half-century since then—“blown into glass, lettered in paint, moulded in metal, embossed on fibre, fashioned in flowers, burned in wood, engraved on gold, built with brick, flung into the waves of the air and thrown in smoke against the sky.”

Hayes wanted to throw open all of the Coca-Cola Company's windows, air out the mustiness and shout his message from coast to coast. He was the one man in the organization, besides Woodruff, with a truly national

perspective, and he yearned to tug the company's center of gravity away from the "quieter and pleasanter back-waters" of Atlanta and Wilmington toward the beckoning bright lights of New York City. To flourish, he believed, Coca-Cola belonged in the nation's cultural and financial capital. Naturally, he and Sibley became adversaries.

Hayes had devoted his life to escaping the drudgery and misfortune of his childhood. He came from Crestline, Ohio, the youngest son of a railroad engineer father and a mother so unhappy she made all ten of her children swear they would never marry. None ever did. When his mother died at forty-two, his father abandoned the family and Hayes was raised by an older sister. Two of his siblings died as infants and three others died in their twenties. He was the first in his family to attend college. He learned to be happy in spite of it all.

After earning a Phi Beta Kappa key from Western Reserve College in Cleveland, Hayes became a protégé of Newton Baker, then the city's mayor, and followed him to Washington when Baker was named secretary of war in the Wilson administration. After enlisting as a private and rising to become a lieutenant in World War I, Hayes went to work at the Cleveland Trust Company, the prototype community trust bank. He and Woodruff got to know each other during that period, and Woodruff later said he knew he wanted to hire Hayes in some capacity within a half-hour of meeting him.

Before their paths crossed professionally, though, Hayes went to work for the motion picture industry, joining the office that helped police the moral content of the movies and tried to fend off government censorship. For a time, Hayes lived in a tiny, bohemian town house in Greenwich Village in New York, a three-story, 9½-foot-wide space that had once belonged to Edna St. Vincent Millay. He became a prolific letter writer, one of the last of a breed of formal correspondents who kept up a running exchange of news and ideas with public figures from almost every walk of American life. One of his many pen pals (and an occasional dinner partner) was the writer Edna Ferber.

Hayes was running the New York Community Trust when Woodruff recruited him to begin spending part of his week working for Coca-Cola in Wilmington. For the next several years, Hayes divided his time between hotel suites in New York and Delaware, commuting in and out of the company's offices, serving as a combination jack-of-all-trades and jack-in-the-box, using his charm—and contacts—on behalf of the company.

Unlike Sibley, who often took a brass-knuckles approach to Coca-Cola's affairs, Hayes preferred humor and honeyed words as his weapons, which he demonstrated when he solved an unfinished piece of business left over from the crisis involving Merchandise No. 5. Thanks to Woodruff's lobbying of Congress, the company had succeeded in rewriting federal law to allow the importation of coca leaves, but in 1934 a lawyer in the Federal Bureau of Narcotics unexpectedly raised questions about the legality of exporting No. 5 because of its coca residue. Before the company could intervene, the new

head of the bureau, the celebrated anti-drug crusader Harry J. Anslinger, issued a ruling that barred the company from shipping No. 5 out of the United States. Woodruff assigned Hayes to solve the problem.

Hayes complained loudly and frequently to Woodruff about the difficulty of the job. "This assignment of mine," he wrote at one point, "is as full of maggots as any piece of work I ever saw." Yet Hayes's technique was as smooth and sure-footed as a career diplomat's. He befriended Anslinger and began a long, intricate campaign to sweet-talk him into reversing his decision. Shameless in his flattery, Hayes bombarded Anslinger with compliments about the bureau's performance. "Not only has there been built up in this country what the rest of the world regards as a model agency," Hayes wrote Anslinger, "but domestically it has won the commendation of every element of the public, and that is a comforting and heartening thing, in spite of the long, hard labor it has entailed. More power to you!" Hayes did political favors for Anslinger, too, making sure that the Coca-Cola Company's nationwide network of employees and bottlers gave his agency support whenever it was needed.

Nor was Hayes above shading the truth if it suited his purposes. When Anslinger made inquiries about the rumors that cocaine from the company's processing plant in Peru had once been sold in the open market, Hayes responded reassuringly (and completely misleadingly) that the byproducts had been "disposed of with care."

In time, Anslinger came around to the company's view and issued a new ruling stating in effect that Merchandise No. 5 did not contain any derivative of coca—an assertion that was harmless enough, given the tiny amount of residue actually involved, but remarkable nonetheless because it ignored the truth and pronounced what Hayes called the "benediction" of the federal government on the Coca-Cola Company's use of coca leaves.

Woodruff was so pleased at the outcome he gave Hayes a brand-new Studebaker as a reward. Irreverent as always, Hayes thanked him politely but later suggested that "if you had wanted to make up for the wear and tear you had caused you would have had to give me the factory."

All through the late 1930s, as Sibley moved the company closer and closer to a showdown with Coca-Cola's competitors over the trademark, Hayes served as a counterbalance. He was an insouciant suitor, forever courting Woodruff's favor and trying to nudge him in a different direction. Where Sibley was serious to the point of fierceness, Hayes was bouncy and blasphemous, constantly looking for a way to provoke a chuckle and with it a shift in the corporate attitude. Instead of clashing with the company's enemies, he wanted to win them over.

Hayes made his point with perfection in one memorable instance when his friend William Allen White, the small-town newspaperman from Kansas whose editorials in the *Emporia Gazette* had earned him a Pulitzer Prize and made him a national celebrity, posed for a photograph in *Life* magazine on his seventieth birthday sipping a Coca-Cola. Hayes wrote a note of

thanks for the free plug, and White responded with a letter whose words of praise remain familiar today to every member of the Coca-Cola Company's extended family. Coca-Cola, White wrote, is "a sublimated essence of all that America stands for, a decent thing honestly made, universally distributed, conscientiously improved with the years."

White's description became a mantra within the company, yet it was the little known second half of his letter that illuminated the problems Coca-Cola suffered because of management's frequently heavy-handed approach to business. A few years earlier, White told Hayes, the company had pulled its advertising out of the *Gazette* after he wrote a column with a mildly derogatory reference to Coca-Cola. White was open-minded enough to excuse the incident, but others who received rude treatment were not so quick to forgive and forget.

It would be an exaggeration to say that Sibley and Hayes were locked in a fight over the company's future. They rarely engaged in direct corporate combat, and when they did Hayes usually danced away before damaging blows were exchanged. (Once, when Sibley accused him of "harshness and trickiness" during a minor dispute, Hayes answered that Woodruff had accosted him that very day for being "a sentimental softie and a gullible pushover," a discrepancy in opinion that "must have given the gods a giggle.") Yet the two men came to symbolize a conflict that was dividing the company and threatening to give it a split personality.

Woodruff was keenly aware of the friction between Sibley and Hayes. In many ways he encouraged it, as a means of testing and assessing their visions of what the company was and what it should become. Coca-Cola was enjoying a phenomenal success. The common stock was split 4-for-1 after reaching its record high in 1935 and the price kept right on climbing. The company's market value grew to more than half a billion dollars, twenty times what Ernest Woodruff had paid for it in 1919. Syrup sales doubled between 1933 and 1937. With annual revenues passing the \$50 million mark and heading steadily upward toward \$100 million by the end of the decade, Woodruff's first responsibility, like a doctor's, was to do no harm. But how to keep the Coca-Cola Company healthy was a tough question to answer.

Like most businessmen, Woodruff kept a wary eye on the Roosevelt administration and groused about the New Deal's flurry of new agencies, regulations, codes, and taxes. "We are contending," he complained to a friend early in Roosevelt's first term, "[with] almost every imaginable kind of interference, or I might say distraction, from one's real business as well as one's pleasures." Determined to protect the company's interests—and profits—Woodruff made sure his friends in Washington maintained a state of virtual military preparedness so they could respond within a matter of hours to any change in political circumstances.

At times the company's defense mechanisms worked with impressive,

clinical efficiency, as the events of late May 1936 demonstrated. Woodruff's closest ally in Washington was Senator Walter F. George—"George of Georgia," as he was known—the senior senator from Coca-Cola's home state and chairman of the Senate Finance Committee. Woodruff and George were personal friends. The senator's hometown of Vienna, Georgia, was near Ichauway, and Woodruff often stopped by the senator's modest, five-room house to visit on the way back to Atlanta from the plantation. The two would sit in a pair of white metal rocking chairs with green cushions on George's screened-in porch, discussing business and politics and what they could do for each other.

The senator was a man of immense courtliness, an old-fashioned Southerner with a manner so formal his wife, Miss Lucy, called him "Mr. George" and never by his first name, not even when they were alone. Once when Woodruff arrived for Sunday dinner George greeted him warmly and said, "Bob, come back in my room a minute. There's something I want to show you." George reached into a bureau drawer, pulled out a bottle of bourbon, and poured them each a drink. "I apologize for doing it this way," he explained, "but you know, Papa wouldn't approve." The senator's father, a teetotaler, lived with him, and he believed in showing his father respect.

George was about as far removed from the image of a back-scratching, hand-in-the-pocket politician as a man could get, yet the fact was that he became deeply obligated to Woodruff, and he did so in the time-honored way. According to a file of confidential documents in Woodruff's private papers, the Coca-Cola Company gave the senator a series of off-the-books loans totaling \$8,000 during the Depression, apparently to help him save his farm. And the senator responded by looking after the company.

On the morning of Saturday, May 23, 1936, George learned that officials in one of Roosevelt's New Deal agencies, the Agricultural Adjustment Administration, were planning to push for a ½-cent per pound processing tax on sugar. Knowing the tax would affect the Coca-Cola Company, with its huge inventory of sugar, George obtained a copy of the proposal, slipped it in the mail to Woodruff, and urged him to wire his response. The letter arrived in Wilmington on Monday morning, May 25, and Hayes quickly calculated that the tax threatened to cost the company \$2 million. Hayes phoned Atlanta, alerted Woodruff and Sibley to the situation, and then hopped the train to Washington, arriving in time to see George as the Senate was adjourning for the day. Hayes made it clear the company required his help.

Hayes spent the evening with George's aides, feeding them facts and arguments for the senator to use with his colleagues in trying to defeat the proposal in the Finance Committee. George had a subcommittee meeting the next morning at 9:30, which seemed to be the perfect time to nip the idea in the bud. Woodruff and Sibley arrived in Washington by overnight train from Atlanta with minutes to spare. Reading Hayes's briefing papers in a car as they sped to the Capitol, they arrived in time to give George

final instructions and a pep talk before he went into the meeting. When he came out, the sugar tax was dead. Its life span had been seventy-two hours.

No hint of the company's role in the lobbying effort came out publicly, but insiders could guess what had happened. In St. Louis, Bill D'Arcy dropped Woodruff a note with a backhanded compliment: "I can see your fine Italian hand," he said, "as I read the conclusions as to what is [happening] in tax matters."

The company's influence on the media was often just as Machiavellian. In the days before the opening of the 1933 Chicago World's Fair, the fair president, Major Lenox Lohr, committed the dreadful blunder of refusing to give free tickets to the newspapermen who arrived to cover the event, thereby provoking a wave of bad publicity. The Hearst newspapers were especially critical, and there was even a brief worry that the fair wouldn't be able to open. With a major exhibit planned and hopes of selling a small ocean of Coca-Cola, the company responded quickly. Harrison Jones called Hearst's headquarters in New York, reminded the top editors that the company had just signed an advertising contract worth nearly a million dollars, and the coverage turned positive overnight.

Within the company, meanwhile, Woodruff's power was becoming almost absolute. After the annual stockholders' meeting one year, in a gesture of homage, Howard Candler walked up to him, shook his hand, and thanked him for "the splendid status of our business, due chiefly to your ability and efforts." The other directors felt the same way. Woodruff arranged what amounted to a series of retirement ceremonies for his father, signaling a changing of the guard. He had Sibley organize a black-tie dinner in honor of Ernest and Jack Spalding at the Capital City Club in Atlanta, and the two old antagonists buried the hatchet amid long-winded speeches and toasts from the city's business elite that went on past midnight.

Less publicly, Woodruff made it clear to his father that speculating in Coca-Cola stock was no longer an acceptable activity. Stung by the consequences of his own missteps as a trader (and having narrowly survived a criminal investigation by the IRS as a result), Woodruff grew adamant that he and his family and the company's other major owners ought to hang on tight to their holdings as permanent investments. He never again sold a single share.*

Among the company's employees, Woodruff's stature grew to outsized proportions. His refusal to cut the payroll during the Depression earned him tremendous loyalty. Elizabeth Patterson, who went to work in Coca-Cola's traffic department in 1934, recalled vividly the way she and her

* Decades later, when Woodruff started giving away his fortune, becoming the greatest philanthropist the city of Atlanta has ever known, his stockbroker marveled at the antiquity of the stock certificates that emerged from the vault "dirty old pieces of paper, really filthy and dog-eared." They hadn't been disturbed in almost half a century.

coworkers felt about him: “That he was God.” Others stopped well short of deifying him, but even Harrison Jones, who was not accustomed to sharing credit for the company’s good fortune, gave Woodruff high marks for his “very skillful navigating” through an intensely difficult period.

When the directors voted everyone on the staff an extra month’s wages as a bonus at the end of 1936, one of Woodruff’s secretaries in Atlanta reported, “This office was about the happiest place. . . you have ever seen. After the first shouting died down everybody was going around with a broad smile. And I think you could have counted every tooth of every porter.” Woodruff was remote from most of the men and women who worked for him, traveling constantly, coming and going by private elevator when he visited his Plum Street office, typically striding the corridors with his head down, rarely making eye contact. Yet it didn’t matter. He was held in awe.

The pinnacle of the post-Depression euphoria that swept through the company came with the celebration of Harrison Jones’s fiftieth birthday, a nightlong exercise in excess that took place at the Brookhaven Country Club in Atlanta on May 25, 1937. The guests, Coca-Cola’s top fifty executives, had boutonnieres pinned on their lapels by pretty flower girls as they arrived. Mint juleps were served from an ice display on the terrace. The dinner table was a giant oval with a lily pool in the center. Perry Bechtel’s band played and a female chorale sang popular songs of the day, including “Rhythm Is Our Business.” There was a flaming dessert, followed by the presentation of a birthday cake filled with live birds. Next a group of actors played out vignettes of the honoree’s life while the guests sang a spoof called “Old Man Jones.”

In the grand finale, a line of black waiters paraded in through a door carrying gifts high above their heads as if they were porters on safari. They circled the ballroom twice to the sound of a trumpet fanfare, and then deposited their largesse, including cured hams, cases of wine, a sculpture made of petrified wood, and a complete set of Lenox china, in a pile at Jones’s feet.

With his affinity for axioms, Woodruff liked to tell his men, “It’s easy to see down into the valley and up the slope, but it’s tough as hell to see over the next hill.” Trying to foresee the company’s future became a near obsession with him. He grew more restless than ever—moody, dissatisfied, demanding, full of conflict. The company’s prosperity brought him anxiety, not satisfaction.

In a rare moment of introspection, Woodruff described his inability to achieve peace of mind: “I belong to the discontented,” he said. “Maybe I was born that way. I’m never satisfied with the status quo.” No one around him had any doubt of it. Giving orders in what one of his secretaries called his “*big* voice,” Woodruff loaded all of the top officers in the company, including himself, with extra work.

The first man to crack under the strain was Arthur Acklin, the company’s top administrator. A tall, long-faced accountant and former IRS agent,

Acklin served as a one-man clearinghouse for all of the company's major business dealings and also handled many of Woodruff's personal affairs. He was Woodruff's go-between in the turf wars and his sounding board whenever a tough decision had to be made—the human “crossroads” of the whole company, as Hayes put it. Acklin relieved the pressure by drinking, which got out of hand from time to time, and eventually he suffered a mild nervous breakdown.

Hayes warned Woodruff that he was developing “a pretty tough reputation for wearing out the hired hands,” but Woodruff seemed incapable of letting up on himself or anyone else. He told Acklin to take it easy, then began heaping him with duties again in a matter of days. “Thank goodness Bob Woodruff is out of town!” Hughes Spalding once exclaimed. “I like him very much, but he can talk to you two or three hours, and give you two or three months' work.”

Woodruff's own health suffered from the battering. He, too, was a heavy drinker and found he had to force himself to go on the wagon or on beer-only regimens occasionally. He acquired a habit of literally worrying himself sick, starting with an episode during the Depression when a head cold deteriorated into an illness so severe he had to recuperate at White Sulphur Springs, the spa in West Virginia. His teeth bothered him terribly and he underwent a series of painful extractions. His eyesight worsened. A trick knee would slip in and out of place, especially when he was tired, leaving him hobbled. An acquaintance, A. D. Whiteside, the president of Dun & Bradstreet, ran into Woodruff on the sidewalk in New York one day and reported that he was “twitching” with fatigue and “looked like the devil.”

Friends began noticing a deep change in Woodruff in the mid-1930s, what his old friend Gresham the minister described as an “urgent, wistful need” for some kind of faith or philosophy to give him comfort and a sense of purpose. His family urged him to spend more time going to church and reading the Bible, but Woodruff was unable to find solace in the conventions of religious worship. If prayer was so helpful, he liked to ask, then why did so many people engage in it only once a week?

Woodruff endured a succession of personal losses that left him yearning for answers. His wife, Nell, was unable to have children, and a favored young cousin they had virtually adopted was killed in a car accident at the University of Georgia when he was just twenty years old, full of promise. And the worst blow of all: Woodruff's mother, Ernie, began to suffer terribly from a condition that was misdiagnosed for quite a while as neuritis or neuralgia but turned out to be cancer.

A nurse who attended Ernie Woodruff during her drawn-out fight with the disease remembered how her son would come to visit her in the hospital and sit at her bedside, “just like a little boy, you know, with his arms folded on the bed, and her patting him on the head.” Woodruff had long talks about life and its purposes with Ralph McGill, who was fast becoming an intimate friend and confidant, as they sat in the swing on the porch of

Woodruff's house in Atlanta or rode horses together in the predawn stillness at Ichauway.

One of Woodruff's nieces, Martha Ellis, recalled her uncle standing in front of the fireplace at her house one evening, with his hand on the mantel, saying with feeling, "If I don't develop a philosophy I'm going crazy." Friends worried that he would, or at least that he might be on the brink of some sort of breakdown.

Nor was Ernest Woodruff much help. Inevitably, perhaps, Ernest found it impossible to disappear gracefully from public life. Just a few months after the fine testimonial dinner that marked his retirement, he was held up at gunpoint in his office at Trust Company by a man who claimed—convincingly—that Ernest had cheated him in a business deal.

The episode seemed to crystallize all of the elements, from physical courage to reckless parsimony to unpopular politics, that had gone into creating Ernest's reputation over the years. William Moyers was the director of the Georgia chapter of the Liberty League, a highly conservative political organization dedicated to fighting Roosevelt and the New Deal. He swore that Ernest Woodruff had arranged to give him the job and to pay him a commission on any contributions he raised. When the money failed to materialize, Moyers barged into Ernest's office, waved a loaded pistol at him, demanded \$30,000 in cash, and tried to take him hostage.

Ernest, then seventy-three, flatly refused to budge. He had only a few good years left, he announced evenly, and was willing to die on the spot. He unbuttoned his vest and invited Moyers to shoot. Instead, Moyers got the money from Tom Glenn, fled the bank and escaped on foot into a crowd that had gathered to watch a four-alarm fire blazing through a nearby building.

For four days, Robert managed to keep the story out of the local newspapers. Then the FBI captured Moyers. Defying his son's good advice one final time, Ernest insisted on pursuing criminal charges, which guaranteed that Moyers's account would gain wide coverage. Moyers was convicted of robbery, but only after a highly publicized trial in which he described Ernest's duplicity in thorough, humiliating, and completely believable detail. The affair was a "one hundred percent mess," according to Hughes Spalding, one that left Robert feeling more unsettled than ever.

The pace of work at the company quickened. Woodruff talked about delegating some of his responsibilities but never did so. Sibley and Hayes and the other top men learned that when Woodruff urged them to show initiative and make decisions on their own he didn't really mean it. "Some day," Woodruff once told Hayes with exasperation, "somebody is going to make an admirable suggestion and put it in effect without telling me . . . and I'm going to be shocked and surprised, but greatly pleased." And Hayes shot back, "The cemetery is full of the headstones of people who went barging ahead with what they were pleased to regard as admirable ideas

without consulting you.” The only safe way to proceed, Hayes added, was by obtaining “an affirmative or negative grunt” from Woodruff.

And it was true. For all his protests to the contrary, Woodruff insisted on calling the shots, from items as minor as buying a new truck for the New Orleans office to the critical issue of what to do about the competition.

At a board meeting not long after the Pepsi trial in Canada, Harold Hirsch withdrew once and for all from the company’s legal affairs and turned the job over to Sibley.

Just as Hirsch had once proven to be far more aggressive than John Candler in pursuing the company’s interests in court, Sibley now drew up a battle plan with the air of Armageddon about it, charting an all-out assault on Coca-Cola’s competitors. He had nothing less in mind than wiping Pepsi-Cola and its cousins off the market.

Rather than shrink from the tough tactics the company had been using in accumulating evidence against other manufacturers, Sibley redoubled the efforts of the Trade Research Department and turned the company’s inspectors into a team of hard-nosed detectives willing to push the limits to make a case. In one notable instance, he sent a dozen of them to Chicago to run a sting operation against the vendors of Royal Crown Cola.

As the company geared up for a final resolution of the trademark issue, however, not everyone saw the wisdom of fighting. Hayes found he had allies in his crusade to stay out of court. Gene Kelly, for one, thought Coca-Cola’s competitors were making inroads not so much because they cheated or did anything illegal but simply because “they give more goods for the money.” Pepsi and Royal Crown and some of the other new colas were “quite palatable,” Kelly warned Woodruff, especially to “the lower classes who are not very discriminating.” The name was not the issue, he added, as one could see by looking at the steady progress of Dr Pepper.

Harrison Jones thought competition was inescapable. Coca-Cola created a demand, he explained in his usual colorful way, “and the bed-bugs just crawl in.” Rather than waste time in court, he believed the company would be smarter to prepare for a war of commerce, using its skills to compete in the marketplace.

At the D’Arcy agency, Archie Lee and his writers found themselves hamstrung by an impossibly rigid set of rules compiled by Sibley and Coca-Cola’s other lawyers to provide maximum protection for the trademark. The first rule (in a memo that ran two and a half pages) was never to split the name Coca-Cola on two lines of text. The second rule was, “Any change in the style, color, or use of the trademark must have legal approval.” On and on it went, including Rule 24, which in hindsight had a fine irony: “Never refer to Coca-Cola as ‘it.’”

The dicta that were handed down by Sibley and his Legal Department could be as impenetrable as a medieval theological treatise. One of Lee’s

copywriters once submitted a piece of text that referred to the birth of Coca-Cola, saying, “A new kind of beverage was born. It tasted so good that more and more people grew to like it.” For reasons best known to himself, Sibley sent back an amended version that read, “A soft drink with a distinctive taste was born. It was so good that more and more people grew to like it.”

Sibley was determined to fight anyone who misused the trademark, inside the company or out. He understood how difficult it might be to win, but he didn’t care. He detested the imitators who were “filching” Coca-Cola’s name and “pirating its reputation.” In all the trademark-related business that crossed his desk, the lone instance in which he recommended not suing for infringement involved a group of students at Bucknell University who put a sign on the door of their basement playroom that said “Coca-Cola Night Club.” Sibley let them off the hook. In every other case, he urged litigation. He averaged filing a lawsuit a week.

With the company dividing into rival factions, a decision had to be made, and in due course Woodruff made it. He sided with Sibley.

Those who were surprised by Woodruff’s choice, who wondered why he was preoccupied with the law when he might have been better off building on the company’s fifty-year record of successful and often brilliant advertising and marketing, failed to take into account his complicated attitude toward the product Woodruff had a genuine reverence for Coca-Cola, a belief that it transcended the ordinary push and shove of American commerce and occupied a special place that deserved constant, diligent protection.

Of all the company’s legal rules, the strictest was an absolute prohibition on any use of the word “Coke,” and it came straight from Woodruff. Based on his interpretation of Justice Holmes’s decision in the *Koke* case, Woodruff believed—wrongly, as it turned out—that the Supreme Court’s protection extended only to the full trademark, Coca-Cola, and not to the familiar nickname millions of Americans used in ordering the soft drink. There was no legal basis for Woodruff’s position, just a rigid adherence to past practice that bordered on superstition.

One episode in particular illustrated the way Woodruff’s mind worked. It was an open secret within the company that Coca-Cola syrup went stale if it sat in a fountain proprietor’s back room too long. The natural inclination of the company’s salesmen and jobbers over the years had been to get shopkeepers to buy the big fifty-gallon barrels of syrup, but the practice created a problem with small retailers who took months or even years to use up their supply.

Woodruff was fully aware of the problem—he kept a file in his private papers marked “Fresh Syrup and More of It”—but he was also acutely sensitive to the potential for damage if any word of the issue was breathed in public. He quietly agreed to a new pricing policy designed to promote faster turnover by providing equal discounts for smaller units of syrup, yet

it was not a subject he cared to discuss, as a group of officers in the Fountain Sales Department discovered one morning when he blew his top during a meeting in his office in Wilmington. Woodruff “very definitely expressed himself,” one of the participants recorded,

that during the past year there had been far too much discussion about tests, analyses, ingredients, et cetera, all having to do with the quality of Coca-Cola. Mr. Woodruff took the position that the quality of Coca-Cola today is, as always, above reproach and offered as evidence the fact that the company is a healthy one and has shown a rather good experience throughout the years, and *that it could not have done so if the quality of the product, broadly speaking, had not been good.*

Woodruff operated on the thesis that Coca-Cola represented an ideal, a view he was able to hold with complete conviction at the very same time he took steps that were necessary to make it better. Far from being simple-minded, his philosophy demanded an almost metaphysical approach to running the business. Facing competition, most executives thought about making changes, yet for Woodruff that avenue was closed. In his view, there could never be such a thing as a “new and improved” Coca-Cola, for the plain and inescapable reason that Coca-Cola was already considered perfect.

The sanctity he accorded the product knew few bounds. When Haddon Sundblom did his illustrations for the company’s ads, for instance, he was under strict orders to deliver the canvases unfinished so that a draftsman with a fine eye for detail could paint in the image of the soft drink itself. Sundblom’s broad, creamy brush strokes and evocations of inner warmth were fine for creating impressions and moods, but the bottle of Coca-Cola in the picture had to be an exact, flawless reproduction, right down to the tiny lettering of the trademark and patent registrations. Sundblom was free to reshape the popular concept of Santa Claus, that is, but not to tamper with Coca-Cola.

In a way, Woodruff found himself trapped by history. By creating an idea of the product that went far beyond its actual, utilitarian function—that of quenching thirst and providing a mild lift from sugar and caffeine—the company had elevated Coca-Cola to an ethereal plane that had little to do with how it tasted or the size of the bottle it came in. The point wasn’t to compete with other soft drinks or to insist that Coca-Cola was “better,” but to hold tight to the precious illusion that Coca-Cola was something completely different, above and apart.

And, of course, to sue anyone who disagreed.

On July 17, 1938, more than a year after the trial, Justice MacLean finally handed down his decision in the Canadian case. As expected, he ruled in favor of the Coca-Cola Company.

Sibley was pleased with the verdict, not so much because it was a victory but because it played into his strategy for escalating the fight. As badly as he wanted to do battle with Pepsi in the United States, he had been unable to find an opening that would let him go on the attack. Now, he believed, Pepsi would do his work for him. Guth and his lawyers were bound to respond to the Canadian verdict somehow, and Sibley was certain they would slip up and give him a chance to counterattack. With serene confidence, he assured Woodruff that “usually an unprincipled concern, if given an opportunity, would make a fundamental mistake.”

As if to prove him right, Pepsi’s lawyers rushed headlong into court in Queens, New York, and filed suit accusing the Coca-Cola Company of trying to create a monopoly through “intimidations and threats” and various other types of improper harassment. For good measure, they even petitioned the U.S. Patent Office to cancel the registration of Coca-Cola’s trademark.

Unfortunately for Sibley, though, his adversary in the looming showdown would not be Guth. A few days after the Canadian case was decided, in a twist of luck, a judge in Delaware ruled that Guth had acquired Pepsi improperly, and ownership was restored to Loft, Incorporated. Instead of fighting Guth, who could be portrayed as an almost cartoonish villain, the Coca-Cola Company suddenly found itself up against a smooth, sophisticated investor named Walter Mack, who had been buying up shares in Loft for several years. Pepsi had become a valuable prize by 1938, with sales of almost \$10 million a year, and Mack had captured it

Sibley’s investigators were in the process of compiling a remarkable dossier on Guth, a 308-page looseleaf notebook that set out in vivid detail every dark secret of his life, including unsubstantiated rumors that he arranged to have his enemies beaten up by thugs. The shooting of his chauffeur was reexamined in depth (in a separate chapter entitled “Guth Kills His Negro Chauffeur”) even though all evidence pointed to his innocence. Private eyes interviewed Guth’s neighbors and collected gossip, including a story that Guth once gave his son-in-law a \$3,000 wedding check that bounced. Sibley was preparing to destroy Guth in court, but all of it went for naught. Guth was now out of the picture.

Walter Mack was a respected businessman, a prominent member of New York’s Jewish community, and active in Republican politics. His circle of friends extended from Mayor Fiorello La Guardia to the Ochs family, publishers of the *New York Times*. He was a graduate of Harvard. The worst that could be said of Mack was that he was a bit of a self-promoter, and that he associated himself with “hardheaded” businessmen who specialized in finding weak corporations, turning them around and taking a profit. It hardly seemed surprising when one of Mack’s partners turned out to be an old friend of Ernest Woodruff’s: They were in the same line of work.

Slashing away at Mack held little promise, and Sibley was forced to shift his attention and revise his tactics. As Sibley saw it, the company’s fortunes

depended on severely restricting the right of other manufacturers to use the word “Cola” in their trademarks or advertising. Leaving the Pepsi case on a back burner, he began assembling a monumental pile of evidence for a pair of suits he hoped would prove his point. One target was Dixi-Cola Laboratories, a Baltimore company that sold a line of drinks including Dixi-Cola, Kola Special, Lola Kola, Apola-Cola, and MarBert Cola. The other was Nehi, Incorporated, the manufacturer of Royal Crown Cola. If Sibley could get the courts to agree that those two businesses were guilty of infringement, he would be well on his way toward building a powerful wall of protection around Coca-Cola’s trademark.

Sibley spared no expense preparing the suits. He wrote brilliant, book-length briefs setting out the company’s position in fine, elegant detail. He had Harry Nims, a New York lawyer who specialized in trademark law, conduct a survey of hundreds of consumers to find out if they thought of Coca-Cola when they heard the word “cola.” They said they did. Scores of soda jerks, waitresses, and bartenders were interviewed and asked the same question. Edward Rogers, the country’s premier trademark lawyer, was retained to argue the cases in court.

The work was exhausting, and it exacted a price. On a Saturday morning in early November 1938, Sibley keeled over in a dead faint in his office and lay unconscious for about five minutes. Badly upset by the episode, he feared he’d suffered a heart attack and asked Woodruff if he could take some time off. Woodruff told him to rest up for a day or two and then get back to work, but Sibley insisted on taking a leave of absence of sixty to ninety days.

The incident shook Woodruff’s confidence in the wisdom of Sibley’s strategy. Here was a risky, terribly expensive, highly aggressive plan of attack, and its commanding general, didn’t seem to have the stomach to carry it out. Even after Sibley recovered, Woodruff was left to wonder if he should settle with Pepsi out of court. Walter Mack, who knew Woodruff slightly, had initiated contact, sounding Woodruff out about a possible resolution of Coca-Cola’s legal differences with Pepsi now that “we have our friend Guth out of the way.” Woodruff put off answering but jotted down his inner thoughts on a sheet of paper: “We should go forward with a minimum of acrimony.”

Meanwhile the other cases proceeded. By his own admission, Sibley’s argument was a long shot. He conceded that the fight over the use of “cola” as a generic term was all but lost. Other manufacturers could make a soft drink that resembled Coca-Cola in appearance and taste, and they could call their product a cola. But, he contended, they could not sell that product by trading on the familiarity and popularity of the word “cola,” because the Coca-Cola Company had single-handedly created all of the meaning and commercial value the word conveyed.

The problem was that Sibley’s theory had a hard time meeting the test of common sense. True, the word “cola” might make people think of Coca-

Cola, just as the word “beer” might make one person think of Budweiser or another think of Pabst Blue Ribbon. Legally speaking, though, that did not matter. The Coca-Cola Company had to prove that hearing the word “cola” made people think *only* of Coca-Cola and of no other product or company. And that was no longer the case. People did not go into soda fountains and say, “Give me a ‘Cola’” if they were ordering Coca-Cola. They asked for a Coke or a Coca-Cola, precisely because they had learned that if they didn’t they might get something else. (And many of them *wanted* something else, Pepsi or Royal Crown or Dixi-Cola, because they knew they would get more cola for their money.)

The feebleness of the Coca-Cola Company’s legal position was exposed during the Royal Crown trial when a surprise witness testified that he had overheard one of Coca-Cola’s investigators coaching a bartender to swear on the witness stand that he had never tasted or even heard of such a thing as a “cola” soft drink. It was an absurd position, one that was hard to maintain with a straight face.

A slow collapse of dominoes was coming, and it began when the Canadian Supreme Court reversed Justice MacLean’s decision in the Pepsi case. With no other evidence or testimony to guide their deliberations, the Canadian jurists relied solely on the subjective test of comparing the names Coca-Cola and Pepsi-Cola. “The general impression on the mind of the ordinary person,” the court held, “. . . would be one of contrast, rather than similarity.” Pepsi did not infringe.

With the Coca-Cola Company’s trademark fight stuck in legal limbo, Walter Mack took advantage of the opportunity to show off his talents as a master salesman.

Pouring money into Pepsi’s promotional budget, he gave out college scholarships, opened “Junior Club” recreation centers, assigned a team of skywriters to cross the country filling the air with his soft drink’s name, and published a comic strip whose characters, “Pepsi” and “Pete,” appeared in 205 newspapers and soon ranked third behind the Old Dutch Cleanser girl and the Planters Peanut man in public recognition. His most effective idea by far was a simple, 15-second jingle for radio:

Pepsi-Cola hits the spot
Twelve full ounces, that’s a lot
Twice as much for a nickel, too
Pepsi-Cola is the drink for you.

Sung to the catchy tune of an old English pub song, “John Peel,” the ditty proved so popular that listeners began calling stations and asking them to play it free. Mack calculated that by the end of 1940, it had been aired some 300,000 times on hundreds of stations from coast to coast. Sales

rose accordingly. From a standing start seven years earlier, Pepsi seized a tenth of the soft drink market in the United States.

Capturing the mood of chagrin at Plum Street, *The New Yorker* ran a cartoon showing three men in Coca-Cola uniforms manning a machine gun, trying to shoot down one of Pepsi's skywriters. What galled the elders of the Coca-Cola Company most was the success of Pepsi's radio campaign. For reasons they could not fully understand, Coke's advertising on radio had been mediocre at best, and more often just dismal, ever since the medium caught the public fancy toward the end of the Depression. By 1939, there were twenty-eight million families listening to radio, yet Coca-Cola was unable to make much of an impression on them. The company's ads were "as sound as parsnips," in Ralph Hayes's assessment, "but are hey any more inspiring?"

Little had changed since the start of the decade, when Woodruff pronounced himself "not wholly sold" on radio. He ruled out placing the company's ads on news shows or drama programs, believing their serious tone was incompatible with Coke's upbeat mood. Archie Lee vetoed comedies, arguing that the comedian always "steals the show." That left music and variety, and the company's track record in choosing popular performers was unenviable, as typified by its sponsorship of Singin' Sam, the self-styled "homey Hoosier" who crooned for housewives during the day, and Andre Kostelanetz, whose orchestra played bland classical music during the "Coca-Cola Concert" on Sunday afternoons.

The underlying difficulty was that Coca-Cola, whose glory lay in the allure created by its visual art, had no message that could be easily communicated in words or lyrics alone. It had no answer to Pepsi's offer of twice as much for the same price, except to emphasize the idea of quality. And that idea was in jeopardy. In the summer of 1940, the editors of the magazine *Consumers Union Reports* ran a blind taste test pitting Coca-Cola against its rivals and found that no one could tell the difference between Coke and Royal Crown, Lime-Cola, or Double Cola. (A few of the tasters detected a slight difference between Coke and Pepsi: With a third more sugar, Pepsi tasted a little sweeter.)

"For the interesting fact that Coca-Cola can continue to charge twice as much as other brands and stay in business," the magazine said, "there seems to be a two-fold explanation. For one thing, there is the deceptiveness of Coca-Cola's well-known bottle. By using a 'wasp-waist' and fancy paneling, the Coca-Cola Company contrives to make six ounces look like much more than that. More important is the power of Coca-Cola's prodigious advertising, which has led people by the millions to form the habit of asking for Coca-Cola without even thinking of any competing beverage."

With that habit under attack, Coca-Cola began relying more heavily than ever on its social cachet, so much so that its ads risked crossing the line into snob appeal. For the first time since the turn of the century, when St. Elmo Massengale handled the chores, Coca-Cola's advertising took on an

air of superiority. An ad in the *Ladies Home Journal* showed a patrician bride holding a bouquet of calla lilies in one hand and a bottle of Coca-Cola in the other, along with the suggestion, “There’s always a moment for the pause that refreshes,” as if a society wedding were likely to grind to a halt while the bridal party had a Coke.

In a story typical of the kind of publicity the company was generating, the *New York Sun* took note when the celebrated debutante Brenda Frazier introduced a new concoction, milk and Coca-Cola, to the 1,500 guests she’d invited to a grand ball at the Ritz-Carlton Hotel.

Hayes, for one, was alarmed. “I hope we shan’t ever forget so much as an hour,” he warned Woodruff, “that our great market is ‘across the tracks.’ While Coca-Cola is fortunately capturing the Union League and the Junior League, I hope the glamour of those conquests will never blind us to the fact that it is the man in the overalls who has enabled us to come as far as we have—and who could turn us back if we lost his favor.” In fact, in the places where quantity counted, in factories and at construction sites, and in home sales in cartons, Pepsi was already outselling Coca-Cola. Disturbed at the trend, Harrison Jones thought it might be necessary for the company to begin marketing a cheap, 12-ounce drink of its own that would undercut Pepsi—admittedly a “far-reaching and drastic” step.

In the midst of this soul-searching, a second legal domino came clattering down. Against all odds, Sibley and his litigators had won the Dixi-Cola case at the trial court level. The verdict, like others that came before it, was a testimonial to the skills the Coca-Cola Company’s lawyers brought to the courtroom. But like the others it failed on appeal. In January 1941, the Fourth Circuit Court of Appeals overturned the trial judge’s decision and ruled that Coca-Cola had no inherent right to bar a competitor from using the suffix “-Cola” in a trademark, so long as the prefix did not unduly resemble “Coca-.”

For many years, the judges noted, top officials of the Coca-Cola Company, starting with Asa Candler, had sworn under oath that kola was an essential ingredient in the soft drink, one of the important flavoring agents that gave the syrup its unique taste. They were the ones responsible for turning “cola” into the only word available to describe the kind of soft drink Coca-Cola was. Now, in a 180-degree reversal, the company was trying to insist that the amount of kola was minuscule, so tiny it could not be detected by modern science, and thus not really descriptive at all. But the judges said it was too late. The beverage had come to be called cola “in much the same fashion as other soft drinks are named for a small quantity of flavoring ingredients rather than the large quantities of sugar and water that mainly compose them.”

Cola was as generic as ginger ale.

When he learned of the decision in the Dixi-Cola case, Sibley sent a telegram to Woodruff. “quite disappointing,” it said. “means much more hard WORK.”

It also meant more risk and more expense, without any certainty of success. At the rate Sibley was going, Ralph Hayes joked sharply, it wouldn't be long before the company's officers ended up in prison. "Do you suppose," he asked pointedly, "they have turkey on Christmas at [Sing Sing]?"

Sibley wanted to press ahead and go to trial against Pepsi-Cola in New York, but before he could do so Woodruff decided to apply the brakes. Mack had telephoned him a number of times, had even paid him a visit in person, asking about a settlement. So far, Woodruff had insisted on Pepsi-Cola dropping the "-Cola" from its trademark, which Mack refused to do. Now, with Coca-Cola's position badly weakened, Woodruff was no longer quite so adamant. When Mack made a new offer—to play down the word "Cola" in his advertising and put the focus on "Pepsi"—Woodruff asked for a written, off-the-record proposal: Mack sent one to Atlanta with his secretary.

Sibley hit the roof. If the overture from Mack were accepted, he said, it would permanently cripple the company's right to protect its trademark. The company had to keep fighting, "militantly" if necessary, or face disaster. But Woodruff rejected his plea. He gave Sibley a direct order to proceed with negotiations for a settlement, and Sibley did the only thing he believed he could: He went to his office, sat down at a typewriter, and carefully drafted his resignation as general counsel. The company was adopting a policy of "appeasement," he wrote, using one of the most loaded words of the era, and he would not be a party to "the infection of compromise." Then he put on his hat, got on the Marietta Street trolley, and headed back to his law office downtown, thinking he was leaving the Plum Street building behind for good.

Woodruff personally concluded the settlement with Mack, as the two men agreed to drop all legal proceedings against each other in the United States and abroad. In the future, they agreed, their rivalry would be confined to the marketplace. Signaling the start of the new era, Woodruff gave the go-ahead for use of the well-known nickname "Coke" as a second trademark for his soft drink.

Sibley's farewell gesture might have made the perfect ending to the Coca-Cola Company's long legal drama, only the fates conspired to add a final indignity. Sibley had appealed the Canadian Supreme Court's decision to the Judicial Committee of the Privy Council, the body in Great Britain's House of Lords that reviewed cases from the lower courts throughout the Commonwealth. Believing he had a good chance to win a reversal, Sibley ventured to London himself, surmounting the considerable difficulties of wartime travel, to help with the oral arguments. It was his last chance to prove that his legal reasoning was sound.

On the appointed day, Sibley found himself in a committee room in Parliament before a panel of five law lords. Much to his amazement he learned that the principal legal test they planned to apply to the case consisted of looking up "cola" in the dictionary.

On behalf of his peers, Lord Russell of Killowen explained that “while questions may sometimes arise as to the extent to which a Court may inform itself by reference to dictionaries there can, their Lordships think, be no doubt that dictionaries may properly be referred to in order to ascertain not only the meaning of a word, but also the use to which the thing—if it be a thing—denoted by the word is commonly put. . . .” He wheezed on at some length, but his meaning was plain. If “cola” was in the dictionary, the Coca-Cola Company could have no proprietary right to the use of it. And so their lordships ruled.

They applied a second test to determine if Pepsi-Cola’s trademark unduly resembled Coca-Cola’s. They took copies of the two trademarks and turned them upside down—as if they were Chinese characters, in the analogy of one of the lords—to see if the general impression they made was similar. Despite “the tendency of words written in script with flourishes to bear a general resemblance to each other,” the lords concluded, it would be “difficult, indeed impossible” for the word “Pepsi” to be mistaken for the word “Coca.” They found in favor of Pepsi on all counts.

Thus the Coca-Cola Company’s decade-long attempt to put Pepsi-Cola out of business came to a close in utter failure, with five mystified men in powdered wigs holding two soft drink labels upside down, wondering how in the world such a silly affair had ever begun.

Eight

WAR

In Brussels, on the afternoon of Monday, May 13, 1940, Carl West called together the employees of the Belgian Coca-Cola Company and asked them an urgent question. Would they be willing to join him in trying to escape the German invasion and flee to France?

It would be dangerous, West explained. They would have only a day to gather their families, pack a few personal belongings, and form a convoy of trucks for the eighty-mile trip to the border. The Blitzkrieg was three days old. German armies were racing into Belgium, France, and the Netherlands. No one knew what was happening, only that the lines of defense were crumbling with dismaying speed as the Germans swept over the countryside. West, the Norwegian-born manager of Coca-Cola's operations in Belgium, wanted to evacuate as much as he could of the company's equipment and inventory before Brussels was overrun. His workers said they would go with him.

Working feverishly all that day and the next at Coca-Cola's bottling plant and warehouse, West and his men loaded syrup and raw materials, including two tons of sugar, onto a hastily assembled caravan made up of five flatbed trucks, three paneled vans, and a passenger car. Most of the bottling equipment and the company's main supply of sugar had to be left behind. West closed out the company's bank account, advanced everyone a month's salary, and then hid the rest of the cash, 106,000 francs, the equivalent of several thousand dollars, under his clothes, "next to my skin."

The preparations took longer than expected and it was not until one o'clock Wednesday morning that the group finally got rolling. There were sixty-four people in all, about a third of them children. The oldest member of the party was over seventy, the youngest just eleven months. They made it safely to the French border and continued on toward Paris. There the news from the front persuaded them to keep going. The Netherlands had surrendered, Belgium was all but lost, and France was expected to fall, perhaps in a matter of days. Like tens of thousands of others, West and his group headed for the French coast, desperate to stay ahead of the Panzer divisions and the Luftwaffe, hoping somehow to escape across the English Channel.

They didn't make it. They got as far as Boulogne, a small harbor city on the channel just south of Calais and Dunkirk, when the German front line overtook them. After two nights stuck in the middle of what West called a "full-dress bombardment," his convoy was left in tatters. Caught in the street-fighting, strafed by

machine-gun fire during air attacks, four of his trucks were knocked out and most of their cargo was lost. The miracle was that none of his people were killed.

With no means at hand of crossing to England, West reluctantly concluded that the best chance of survival lay in returning to Brussels. As he turned his group around to begin the long trip back, the trucks that were still running towed the others, and the little expedition looked very much like what it was—a band of hobbled refugees, limping home to submit to an army of occupation.

The onset of the Second World War confronted the Coca-Cola Company with an acute irony. For all their dogged efforts at building an overseas empire during the past decade and a half, Woodruff and his team could point to only one country that was a complete, unqualified success: Nazi Germany.

Ray Powers, the colorful American pioneer, set new sales records every year in Germany during the 1930s—100,000 cases in 1933, more than a million in 1936—and every year he watched with mounting alarm as the belligerence and ugliness of the Nazi movement quickened. At first he'd displayed an almost jaunty irreverence toward Hitler and his followers. It was not unusual, Powers reported to the home office, to see the tables in German taverns covered with bottles of Coca-Cola, "and back of each bottle a Nazi in his brown uniform." Hitler was agitating against the Jews, Powers noted, but it seemed to be mostly talk. That was 1933.

By 1937, Powers was worried. Coca-Cola's popularity had spawned competition in Germany, just as it did in the United States, and the tactics employed by some of Coca-Cola's rivals were tied directly to the anti-Semitism that was seeping through the country like acid. The most aggressive of the competitors, Blumhoffer & Company, the makers of a look-alike soft drink called Afri-Cola, began spreading a rumor that the Coca-Cola Company was run by Jews. Visiting a Coca-Cola bottling plant on a trip to New York, one of Afri-Cola's executives spotted a billing form with Hebrew lettering, slipped it in his pocket, and later made thousands of copies that he sent to restaurant and tavern owners—and Nazi Party members—all across Germany.

Coca-Cola's German salesmen began encountering open hostility. After several of them were pushed into fistfights in taverns and beer gardens, Ralph Hayes went to the Whitehall Building in Manhattan and saw Dr. Hans Borchers, the German consul general, to complain and ask for his help in squelching the rumor campaign. Nothing was done. "Hitler's brownshirts were getting to feel their oats pretty good," one of the company's American executives remembered, "and they were unpleasant to foreigners. They'd literally elbow you off the sidewalks into the streets."

In the spring of 1938, Ralph McGill and his wife took an extended trip through Europe to survey the political situation and sample a last taste of life on the Continent before it changed forever. At Woodruff's urging, McGill looked up Powers when he got to Essen, and the two men quickly

formed a friendship. By surface appearances, at least, things were going well. Sales were still high despite the rumor campaign, and Powers had organized the first major convention in Germany for the company's bottlers and salesmen. He put on a memorable show: A stage was decorated to resemble the North Pole, with the bow of the "Good Ship Coca-Cola" serving as a platform for the various speakers and singers and comedians. But the most striking thing in the theater, McGill reported, was a giant picture of Hitler that covered the entire back wall—a picture that inspired frequent stiff-armed salutes and shouts of "*Heil, Hitler!*"

Doing business in Germany was becoming increasingly difficult and dangerous. Currency regulations made it impossible for the company to remove any of its earnings from German soil, and Powers relied on deceptive bookkeeping to conceal the extent of Coca-Cola's profits. The German government also placed severe restrictions on imports, making it hard for Powers to get an adequate supply of the secret ingredients needed to make the syrup. The company briefly considered setting up an illicit pipeline to smuggle Merchandises 5 and 7X into Germany through a trader in Constanta, a Rumanian port city on the Black Sea, before deciding the risk was too great.

As their visit drew to a close, Powers took McGill aside and confided in him. Coca-Cola's success in Germany had made him a rich man, Powers said, thanks to the royalty he got as the parent bottler for the country. But his wealth was in Reichsmarks. His money was stuck, by law, in Germany. Powers could see that the time was coming when he would have to leave Germany, and he'd already made plans to move to Paris with his family and continue his trailblazing work for the company there. He did not want to leave his fortune behind. "In Berlin, I'm a millionaire," he told McGill, "but in Paris I'm a pauper." He asked McGill to help him smuggle some of his money to France.

Many years later, McGill recalled the ensuing train trip vividly. He was riding in a compartment with his wife and a carefully concealed package stuffed with thousands of marks. Two large, uniformed guards came in and poked around, made a cursory search, and left, seemingly satisfied. Ten minutes later one of them returned unexpectedly and told McGill he had some questions he wanted answered. McGill felt his pulse pounding so hard he thought he might be having a heart attack. As it happened, the guard merely wanted to know what Norfolk, Virginia, was like because he had a cousin working there. "But in the meantime," McGill admitted, "I nearly died."

Powers was unable to escape Germany. He died in Berlin in the autumn of 1938, the victim not of Nazi menace or anti-American feeling, but of complications from the injuries he received in a mundane traffic accident when his car was hit by a fifteen-ton truck. His death left the affairs of the Coca-Cola Company entirely in the hands of Max Keith (pronounced "Kite"), a thirty-five-year-old German who had risen quickly to become

Powers's deputy. After joining Coca-Cola in 1933, Keith had impressed the executives in the home office with his hard work, his flair for recruiting other men, and the way he helped impose order on Powers's chaotic business practices.

In the winter of 1939, Woodruff and Arthur Acklin invited Keith to Atlanta to discuss the logistics of import and export trade and to get a "little better understanding" of his plans for the future. They let him know they were trusting him to look after their interests in the uncertain days and years ahead. They had no other choice.

On the same day the German armies swept into Western Europe, a bureaucrat in the Federal Trade Commission in Washington sent a form letter to the Coca-Cola Company asking for a wide variety of information about the product, from its advertising to its contents.

It was the kind of communication the men at Plum Street had learned to greet with intense uneasiness: a vague, impersonal demand, unknown in origin, quite possibly innocent but potentially the opening fanfare of a crusade that would play itself out in the courts and newspapers and inflict, great damage on the company.

As it happened, the complaint arose from a recent broadcast of the radio program "Larry and Sue" in Chicago. An announcer had advised listeners, "Give your children Coca-Cola often—the drink that doctors recommend." There might be a problem, the FTC warned, unless the Coca-Cola Company was prepared to prove that the soft drink was good for children and that doctors recommended it.

One of the Coca-Cola Company's recurring headaches was back, and it brought up an interesting question. What if the company *could* prove that Coca-Cola was good for people? Through its bottlers, the company had assembled a list of more than a thousand hospitals and medical centers where Coca-Cola was served. What if that list could be expanded to include doctors who recommended Coca-Cola for their patients? Nutritionists who advocated Coca-Cola as a source of quick energy? Everyone liked Coca-Cola. Few people thought it was harmful. Why not drop the defensive posture and fight?

The issue provoked a heavy debate at the top levels of the company. The Legal Department in particular warned that it was dangerous to make therapeutic claims on behalf of the product. But one of the younger lawyers seized on a different point. Ben Oehlert had joined the company in 1938, recruited from the legal staff of the State Department to handle lobbying chores in Washington and help guide the company through the diplomatic intricacies of getting established in foreign lands. Oehlert had demonstrated an irreverent, contrarian streak from the very start: When Woodruff gave him a bonus at the end of his first year, he expressed his thanks and in the same letter argued that such payments were inherently unfair and ought to be discontinued immediately.

As he contemplated the FTC inquiry, Oehlert found himself looking ahead and seeing a larger picture. Europe was now engulfed in war, and the United States was sure to be drawn into the hostilities. If the company had learned anything from World War I, if a prediction could be made with utter certainty, it was that war would bring shortages and curtail business. Nonessential products would face cutbacks and quotas, and Coca-Cola would suffer, perhaps drastically. But not if the government could be persuaded that Coca-Cola was vital to the war effort.

The FTC eventually dropped its complaint, but for Oehlert the episode was just a beginning. He was completely serious about building a case that Coca-Cola was an essential product in wartime. Hoping to find allies, he sent a memo to Harrison Jones asking for material in support of the company's age-old contention that factory workers and office workers alike benefited from "one or two brief rest periods or pauses" during the workday. Jones replied that the whole idea was sheer lunacy, likely to backfire.

Next Oehlert tried Ralph Hayes. "There is not the slightest doubt in my mind, and I am sure there is none in yours," he wrote Hayes, "that our product makes a very real contribution, not only to the normal economy of the nation but also to its emergency and wartime economy, as well as to the morale of both the civilian population and the armed forces." The company, Oehlert said, should begin pushing the government for official designation as an essential industry.

Hayes promptly dubbed the project "Oehlert's Folly." Yet he had to admit the young lawyer made an intriguing argument. Hayes was aware that many military leaders viewed Coca-Cola as a desirable alternative to beer and other alcoholic beverages for their troops. It was a difficult point to exploit, Hayes thought, but certainly one worth keeping in mind. He quietly instructed the D'Arcy agency to begin compiling endorsements of Coca-Cola by commanding officers at army training camps around the country.

Oehlert's gambit began to pick up momentum. In the spring of 1941, an American reporter in London named Eddie Gilmore sent a cable to Coca-Cola's New York office: "WE, MEMBERS OF THE ASSOCIATED PRESS, CAN NOT GET COCA-COLA ANYMORE. TERRIBLE SITUATION FOR AMERICANS COVERING BATTLE OF BRITAIN, KNOW YOU CAN HELP, REGARDS." The request captured Woodruff's imagination. After checking to make sure the wire was genuine, he ordered the Export Corporation to send a relief supply. Woodruff decided that Oehlert was right. Coca-Cola was a sort of "morale food" necessary for the war effort.

A major breakthrough came when the U.S. War Department asked the company to supply Coca-Cola to the American troops who were being sent to Iceland to set up a staging operation in the North Atlantic. Woodruff had believed for years that it was in the company's best interest to make Coca-Cola available to the armed forces, both to boost the company's association with patriotic themes and to spur product loyalty among the

servicemen. Even if the company lost money, he thought it was a smart policy to guarantee that all those in uniform could buy a Coca-Cola for the stateside price of a nickel no matter where they were posted.

Woodruff gave a green light for the shipment of 17,000 cases of Coca-Cola to Reykjavik. He also approved a War Department request for the soft drink to be made available at American bases in the Pacific. That was how four Coca-Cola coolers came to be part of the rubble at Hickam Field after the Japanese attack on Pearl Harbor.

The United States went to war, and just as Oehlert anticipated, the government acted to impose strict restraints on business. Only it was worse than he'd imagined. Six days after Pearl Harbor, the federal Office of Production Management issued an order that threatened to cut Coca-Cola's volume in half.

The target was sugar. Hoping to prevent hoarding, the OPM placed a limit on sugar users of 80 percent of their 1940 levels. It seemed a reasonable standard, but as 1941 ended the Coca-Cola Company was closing the books on the most successful year in its history. Demand was up sharply. By Oehlert's calculations, as he looked ahead to 1942, the quota meant the company stood to lose one sale for every one it made. Not only that, the OPM outlawed large inventories of sugar. The company had diligently stockpiled enough sugar to last for years, and now it was being asked to sell a million hundred-pound bags of sugar back to the government at cost.

Woodruff led a contingent from Atlanta to Washington to protest. Starting with A. E. "Red" Bowman, chief of the OPM's Sugar Section, Woodruff appealed the order straight up the line, all the way to the office of Vice President Henry Wallace. There was no budging the government. The sugar order took effect on January 1, 1942, and its impact was felt almost immediately. The company began rationing syrup. Within days, the public was complaining about the shortage of Coca-Cola.

The sugar order chafed at Woodruff like a piece of sandpaper. He grudgingly agreed to obey it (and ordered his bottlers not to cheat), but he thought it was unfair. Archie Lee prepared a series of print and radio ads explaining the scarcity of Coke, including a folksy speech by Singin' Sam, who told housewives, "As all you ladies know, the war has made it necessary for the government to ration the use of sugar for everybody. I said, 'Everybody' And that, naturally, includes Coca-Cola." When he heard it, Woodruff angrily ordered the ad off the air. Somehow it made drinking Coca-Cola sound unpatriotic.

Oehlert and Hayes collaborated on a marvelous piece of propaganda, an oversize booklet with stars and stripes and an American eagle on the cover, entitled "Importance of the Rest-Pause in Maximum War Effort." Its bellicose text argued that "the grim and ruthless laboratory of War brings new and cogent evidence reaffirming the importance and significance of [the]

relationship between fatigue, rest-pauses, refreshment and work output.” It even quoted Ovid: “Alternate rest and labor long endure.”

In the company’s view, the government had a legitimate claim on the sugar needed to make high-nutrition molasses for the armed forces and industrial alcohol for munitions. And a priority was justified for the sugar used in processing dairy products and preserving fruits, vegetables, meat, and other vital foods. But the Coca-Cola Company deserved its fair share, too. Soft drinks, Oehlert argued, occupied a “paramount place” in American life. Hayes called Coca-Cola nothing less than “a part and symbol of a way of life for which a war is being waged.”

None of these breathless imprecations had much effect on the government’s administrators. In most other respects, the company’s political clout was as strong as ever: With Senator George leading the charge, Congress killed a proposed national sales tax on soft drinks and also amended the Roosevelt administration’s wartime excess-profits tax to save Coca-Cola some \$8 million a year. The company even managed to slip one of its executives, Ed Forio, into a job with the War Production Board. But nothing could shake the quota on sugar.

There was, however, one very large loophole in the sugar order—an exemption for any sales of Coca-Cola to the military. Sugar used in syrup for military sales could be replaced without limitation. Oehlert bombarded the OPM with broad and inventive definitions of what constituted a “military” sale, arguing for the inclusion of post exchanges, National Guard units, USO clubs, the Red Cross, arsenals, ordnance plants, navy shipyards, Veterans Administration hospitals, troop trains, and ultimately any and every plant and office building in the country designated as part of the defense industry.

Coca-Cola’s main interest was in serving the huge training camps that began dotting the map, many of them in the South, as the nation’s general mobilization got under way. A small town like Fayetteville, North Carolina, with a population of 5,000, suddenly became a market of 60,000 or 100,000 thanks to the soldiers stationed at Fort Bragg. Oehlert managed to talk the government into dropping the sugar quota in the 250 fastest-growing counties in the country, and bottlers in those areas rushed to meet the demand. The commanding officer of the sprawling army base at Chester, South Carolina, sent the local bottler a map of maneuvers and a break schedule every morning so the truck drivers could meet his men in the field and serve them ice-cold Cokes.

Thanks to the military, Coca-Cola’s volume in early 1942 was off only 16 percent from the year before, a far cry from the drastic drop originally feared. Revenues declined only slightly, and Harrison Jones worried that the company might be embarrassed if the public learned how little it was suffering financially after all its objections. When it came to lobbying in Washington, he warned, “we are too much in sight and too much in mind.”

Still, the company fell way behind the burgeoning civilian demand, and complaints about shortages at soda fountains and retail outlets continued to frustrate Woodruff and his men. Making matters worse, the Pepsi-Cola Company was largely unaffected by the sugar order. Pepsi sold concentrate to its bottlers, who added the sugar in their plants. Most of Pepsi's bottlers were able to find supplemental supplies of sugar, in many instances by curtailing their production of other soft drink lines to meet the demand for cola. Pepsi's sales rose by a third, largely at Coca-Cola's expense.

Trying to think of a way around the sugar shortfall, one of Woodruff's outside advisers, Robert Mizell, the business manager of Emory University, recommended marketing Coca-Cola without sugar. He argued that even though it would taste bad, consumers were desperate enough to give it a try.

Woodruff declined that unappetizing piece of advice, but he did give his reluctant okay for the use of a small amount of sugar substitute in the syrup. "Of course you know I am very leery about these things," he told Arthur Acklin, "and much prefer not to do anything of the kind, except as a matter of life and death."

Other shortages vexed the company as well. Caffeine was down to less than a month's supply and the price shot up from \$1.50 a pound to more than \$7.50. Hayes, who was placed in charge of procurement, suggested making synthetic caffeine from uric acid and bat guano, another idea Woodruff vetoed. But Woodruff quietly approved a temporary cutback in the amount of caffeine in the formula. And he authorized a new process for Merchandise No. 5 that sharply reduced the need for coca leaves, after telling the chemists at Maywood "to be *very* careful not to change the flavor."

The company's harried attempts to secure a wartime supply of oil of cassia, the most exotic of the secret ingredients, took on the earmarks of a spy mission. The source of the oil was the bark of the rare *Cinnamomum cassia* tree, which grew only in the interior of the southern provinces of China. In 1937, as Japan pursued its relentless military campaign against the Chinese, Jimmy Curtis slipped across the border from Hong Kong and traveled by sampan and on foot to a remote village where the peasants harvested the rare tree and processed the oil. Curtis, who had risen from his job as secretary in the Coca-Cola Export office to become a field agent, spent the night under armed guard to allay the fears of the villagers, then managed to swipe a small supply of seeds and cuttings, which he smuggled to the Philippines. There Curtis hired a botanist to cultivate a crop, only to see the daring venture go for naught when the Philippines fell to the Japanese.*

Everything seemed to be in short supply: gas, glass, cardboard for car-

* With its crop in enemy hands, the company apparently had to rely on a temporary substitute for oil of cassia. According to Ralph Hayes's private papers, oil of cassia was dropped as part of the formula's ultra-secret Merchandise No. 7X, then was assigned a new, separate number, Merchandise No. 12, when supplies resumed after the war.

tons, tinplate for bottle caps. Eventually the company even ran out of rubber bands and other office supplies. “We are really having a hell of a time,” Woodruff wrote a friend.

The company’s fledgling European operations ground to a halt. In England, the Food Ministry echoed the cruel indifference of the Privy Council and ordered Coca-Cola and Pepsi to save costs by combining operations and making a joint product for the civilian market to be called simply “American Cola.” Rather than “mingle our ingredients,” as one of Coca-Cola’s lawyers fastidiously put it, the company suspended business in Britain.

Meanwhile, the German government placed Max Keith in charge of Coca-Cola’s properties in the occupied countries, and he sent word through the Coca-Cola bottler in neutral Switzerland that he would try to keep the enterprises alive. But with no means of getting ingredients, Keith stopped making Coca-Cola and began marketing an entirely new soft drink he called “Fanta,” a light-colored beverage that resembled ginger ale. The executives in Atlanta doubted his loyalty. “I don’t suppose,” one of them said, “we even own the business anymore.”

Keith was a man given to imperious gestures. His chauffeur made a practice of opening elevator doors for him, then racing upstairs on foot to hold the door when he got off. In cold weather he wore a greatcoat tossed over his shoulders like a cape, and it was not hard to imagine him as a Wehrmacht field marshal. For all anyone at Plum Street could tell, Keith and the company’s German lawyer, Dr. Walter Oppenhoff, had joined the Nazi Party and confiscated the company’s assets.

With business suffering at home and abroad, it became clear that sales to the U.S. military were the only means of expanding the company’s market. But how to pursue that objective was a tricky proposition. According to the company’s mythology, Woodruff simply put down his cigar one morning and barked at his underlings, “See that every man in a uniform gets a bottle of Coca-Cola for five cents, wherever he is and whatever it costs.” The reality was a bit more complicated.

For one thing, the company had a hard time finding shipping space. Carrying out Woodruff’s policy had been fairly easy before the United States was drawn into the war. But now a wide variety of munitions and foodstuffs took precedence over Coca-Cola in the cargo holds of the nation’s Merchant Marine. And when a shipment did get through, critics sometimes complained about misplaced priorities. After a six-week supply of Coca-Cola arrived in Australia in May 1942, for instance, Martin Agronsky observed pointedly in a commentary on NBC Radio that there was a far greater need for “guns and planes.”

There was doubt within the company, too, about the wisdom of writing a blank check. Supplying Coca-Cola to domestic bases was cheap. Sending it to the front lines when American forces went on the attack would be very

expensive. As late as the summer of 1942, the issue was being reexamined. Oehlert wrote a long, thoughtful report to Woodruff urging him to proceed. Coca-Cola, he argued, “must be an inseparable part” of the war effort. If it were, he said, an affection for the soft drink “will carry through the lives of the young men now in the Army and through them will be reflected in generations to come.” The company should “strain every resource to get and keep all of this Army business which it possibly can,” he added, “regardless of the cost”

Woodruff agreed. “Anywhere for a nickel” remained the company’s official policy. But even then, logistical headaches threatened to make it a hollow promise. The product was simply too bulky to send in bottles. A single month’s supply of bottled Coca-Cola took up thousands of cubic feet of precious cargo space, and the empties had to be returned to the United States to be refilled.

To reach American GIs overseas in significant numbers, the company would have to build bottling plants where the fighting was going on, in the combat theaters. And it would have to be summoned there by the commanders in the field.

The first invitation came from Dwight Eisenhower. On June 29, 1943, he sent a classified cable from Allied Headquarters in North Africa asking for ten bottling plants and enough syrup to provide his men with six million bottles of Coca-Cola a month.

“I had them make a survey to see just what the men wanted,” Eisenhower explained later, “and more of them voted for Coca-Cola than beer.” That suited the general perfectly. He thought beer was bad for them, and Coca-Cola had been his favorite soft drink since boyhood. “I wish I could be home and go down to the cafe this morning and have a Coke with the gang,” Eisenhower wrote a friend. “I can’t do that here.”

The cable triggered a frenzy of activity at the Export Corporation’s headquarters in New York. Jimmy Curtis scoured the countryside badgering the company’s bottlers for heavy equipment and assembled supplies of syrup and CO₂ gas and other materials, including a start-up stock of three million bottles. Then he went to the War Production Board in Washington and got a prized AA-3 priority for shipment.

Not surprisingly, the Pepsi-Cola Company cried foul. In a complaint filed with the Office of the Quartermaster General, Pepsi contended that allowing the military to order soft drinks by brand name would give Coca-Cola a monopoly. But General George C. Marshall, the army chief of staff, backed up Eisenhower. In the interest of morale, Marshall gave theater and area commanders full discretion to set up soft drink bottling operations and to specify the brand they wanted.

Marshall also gave commanders the right to ask for personnel to operate the bottling plants, and the Coca-Cola Company responded by sending technical observers (TOs) off to war. Curtis recruited an engineer

named Albert Thomforde from the company-owned plant in Hartford and assigned him to the task of shepherding the bottling machinery to North Africa. As Thomforde recalled it later, he didn't get much of a briefing. "Al," Curtis told him, "I'd like to tell you what it's all about, but you'll just have to play it by ear. We don't know what's going to happen." The equipment and supplies would be sent over, Curtis said. "And you just pick it up from there."

It was early September 1943 when Thomforde received the necessary clearances and boarded a military cargo plane for a hop-and-refuel flight from New York to Maine, Newfoundland, and finally into Prestwick, Scotland. Flying at night through a hailstorm with almost no heat, Thomforde thought he might freeze to death, and when he landed he asked for a stiff drink instead of a Coca-Cola. Then he was loaded onto a blacked-out army DC-3, cheek-by-jowl with a Russian military observer sporting a large sidearm, for another long flight over the Atlantic to Marrakesh, Morocco. From there, in a plane so jammed the aisles were piled chest-high with luggage and crates, Thomforde was ferried into Algiers, the headquarters of the North African theater.

His reception did not go smoothly. In an office overlooking the Mediterranean, the commander of the army's Exchange Service, Colonel H. S. Robertson, offered him an "African" Coca-Cola—a warm dollop of bootleg syrup in a glass with a splash of tap water—and Thomforde spurned it, saying that on his watch Coca-Cola would be served properly or not at all. The colonel replied stiffly that if Thomforde thought he could do better, he was free to try.

Thomforde learned that most of the stateside bottling equipment was either still en route or was scattered, often in unmarked boxes, in army storage dumps all across the region. For the next few weeks, he darted around North Africa on a sort of scavenger hunt looking for the Coca-Cola Company's equipment and supplies. The army depot guards were helpful and occasionally let him have spare machinery, including some vitally needed chlorinating equipment for the water. Eventually, using Italian prisoners of war for labor, he got bottling plants up and running in a handful of cities in Algeria and Morocco.

The value of Coca-Cola to the war effort was not an article of faith with everyone. Quite a few commanders questioned the judgment of giving up valuable shipping space for a soft drink, especially in combat zones. One quartermaster said his transportation facilities were meant for "bullets, guns, tanks, and food"—period. Even Thomforde had his doubts, as he recalled after the war:

I went over there realizing that there was a war on and there was a lot of privation, lots of trouble, lots of need of efficiency, and I was not sure in my own mind that taking Coca-Cola to the boys was a very worthwhile cause, except that

I had been told that they wanted it, that the army felt that there were a lot of men who did not care about hard liquor but they wanted that touch of home that Coca-Cola brought to them.

No one expected the gush of raw emotion that Coca-Cola aroused in the American armies. The familiar bottle and trademark and taste turned out to be a poignant reminder of home for hundreds of thousands and eventually millions of young soldiers who found themselves in strange places facing terrible danger. For all the hype the company concocted in Washington in lobbying for favorable treatment, it turned out that the GI on the front lines had an affection for Coca-Cola that was deep and long-lasting and absolutely genuine. Soldiers wanted four things from home: mail, cigarettes, chewing gum, and Coke.

One of the first American casualties in the war had been a young pilot from Kansas City who crashed his Spitfire during training with the American Expeditionary Force over Scotland. He'd ended up in a hospital with a fractured skull, a broken leg, and a face full of hemstitching, and his first request had been for a Coca-Cola. His wing commander had flown to London to get him one. That story, or a close version of it, was repeated over and over again as the American involvement in the war escalated. When Thomforde got the bottling plant in Casablanca running in time to serve wounded Americans Coca-Cola for Christmas 1943, the good news was reported in the army newspaper, *Stars and Stripes*.

In the early days of 1944, Thomforde arrived in Naples and set up a bottling plant to begin supplying Coca-Cola for the first time to frontline troops engaged in active combat. The American forces that were dug in for the bloody siege and bombardment of Monte Cassino, the German redoubt that blocked the way to Rome, got Coca-Cola to drink in their fox-holes. Photographers with the War Picture Pool captured classic scenes of unshaven U.S. soldiers holding up bottles of Coke, beaming, and for weeks American newspapers were filled with pictures of hometown boys posing with their favorite soft drink.

Capturing the phenomenon with gentle wit, cartoonist Bill Mauldin drew a combat photographer telling a dogface, "Congratulations. You're the 100th soldier who has posed with that bottle of Coca-Cola. You can drink it."

At first, soldiers were limited to a ration of two Coca-Colas a week, and they quickly established a black market in which the price of a bottle soared far above a nickel. Ernie Pyle, the war correspondent, sent home a dispatch describing a lottery in which a field-artillery sergeant in Italy raised more than \$1,000 for charity selling a single bottle of Coke. Soldiers began writing to the company, often in extremely moving language, about the feelings Coca-Cola inspired. A sergeant from Kansas wrote his parents, "It's the little things, not the big things that the individual soldier fights for

or wants so badly when away. It's the girl friend back home in a drug store over a Coke, or the juke box and the summer weather. The average soldier wants to come home, get back in those old clothes, and do the things he always did."

The enemy did its part, too, singling out Coca-Cola as an American symbol. Otto Dietrich, the German press chief, was quoted as saying, "America never contributed anything to world civilization but chewing gum and Coca-Cola," which he called a menace. Japanese radio warned, "With Coca-Cola we imported the germs of a disease from American society." And Tokyo Rose taunted the American troops in the Pacific: "Wouldn't it be nice to have an ice-cold Coca-Cola! Can't you just hear the ice tinkling in the glass?"

When he crept back into Brussels with his small party of employees and their families, Carl West found the Coca-Cola plant intact, with some forty tons of sugar still on hand, undiscovered by the Germans.

He tried to resume selling Coca-Cola but quickly realized it would be impossible to operate under the rules of the German occupation. He was rarely able to obtain gas coupons or a driving permit, and in any case the Germans soon confiscated his trucks for military use. He ran low on ingredients. He fashioned a small fleet of jury-rigged tricycles that held a dozen or so cases of Coca-Cola at a time for his salesmen to push around their routes. Two of the men quit, and as sales dropped to nearly nothing West had to lay off the others. He was nearly broke.

Then something odd happened. The Germans reimbursed him for his trucks in cash. So did the industrial giant, Siemens, which took half his warehouse space for a plant that built electric parts for submarines. With the money he got from the Germans, West was able to begin manufacturing a simple, orange-flavored soft drink he called "Cappy," which immediately proved popular. He rehired most of his workers. And he discovered that for some reason he could operate freely on the black market, getting all of the extracts, crowns, cork, and citric acid he needed.

It seemed he had a protector in high places.

One day Max Keith turned up in Brussels to pay West a visit. He explained that he'd been placed in charge of the Coca-Cola Company's European properties. As much as he could, Keith said, he would help West stay in business. He began administering West's books, sheltering his assets and earnings. He arranged for West to buy Dulcine, an artificial sweetener, at the government's official price of 300 francs per kilogram when its cost on the black market was more than ten times higher. Under Keith's patronage, West secretly installed a new semiautomatic bottling machine and set up an illicit wood-burning generator nicknamed "the Spit-fire" to run it. He got hold of coal, oil, tires and inner tubes, wagons and trucks. He made a modest profit.

When West came within an eyelash of arrest, Keith pulled strings to save him. Fearing the German military detectives would find his cache of sugar, West and a handful of employees set out to disguise it, mixing it with food coloring and caramel until they had more than twenty tons of black, sticky paste, which they funneled

into bags and stacked eight feet high in a remote warehouse, covered with cases of empty bottles. Someone informed on West, but before the inspectors could complete their search and seize the small mountain of contraband Keith intervened with the authorities and squelched the affair.

Keith did similar favors in other quarters of Western Europe. He kept the organization intact and made sure the men had jobs and could feed their families. In many ways he was a savior. The only question was whether he was doing it for the Coca-Cola Company or for himself. No one could answer that until the war was over.

The Coca-Cola Company wanted to be part of the Normandy invasion.

Getting permission to cross the English Channel with the Allied forces was an extremely difficult proposition, and it was made no easier when Ralph Hayes hatched a publicity stunt that nearly undid all of the hard work that had gone into establishing Coca-Cola's legitimacy as a part of the war effort.

In the fall of 1943, anticipating the next stage of the conflict, the Export Corporation assigned Paul Bacon to go to London as chief TO and make preparations for participating in the liberation of Europe. Bacon, a native Atlantan who had spent his whole career with the company, starting in the mailroom before rising to become a bottling supervisor on the West Coast, was anxious to leave immediately. But red tape held him up and Hayes summoned him to Atlanta.

Showing Bacon into Woodruff's office, Hayes outlined a special assignment. A few weeks earlier, Winston Churchill's daughter Mary had visited Fort Oglethorpe, Georgia, on a goodwill tour. "I'd like to take Papa a Coca-Cola when I go back," she'd told the newspapers good-naturedly. "I am drinking all I possibly can while I'm here and can get them." Hayes meant to take Mary Churchill at her word and exploit the opening. Already he'd attempted to ship a case of Coca-Cola to the British prime minister, only to be frustrated by wartime regulations. Now Hayes instructed Bacon to pay a personal call at 10 Downing Street when he got to London and take Churchill a case of Coca-Cola as a gift.

Bacon got clearance to fly to England early in 1944. He set up operations in a two-room suite at the Savoy Hotel and began lobbying British and U.S. Army officials, trying to persuade them to loosen their restrictions and allow wider distribution of Coca-Cola among the American and Canadian servicemen stationed there. He made some progress when the authorities agreed to bend the rules and install Coca-Cola fountain operations at hospitals and convalescent centers, military airfields, supply depots, and Red Cross centers.

Then, on April 27, 1944, Bacon took a case of Coca-Cola and a box of La Corona cigars and dropped by unannounced to see the prime minister. For good measure, he rounded up several copies of Churchill's portrait in

hopes of getting them signed for Woodruff, Farley, Hayes, Curtis, and others among the company's top brass. But Churchill and his daughter were out, and the next day a messenger icily informed Bacon that in wartime the prime minister did not give autographs or accept commercial gifts. Undeterred, Bacon returned the next week, trying again for a personal meeting, only to be told that Churchill was in an emergency meeting with Eisenhower, Charles de Gaulle, and General Bernard Montgomery, and would be unable to interrupt the session to receive the Coca-Cola Company's emissary.

In the end, the best Bacon could do was arrange for Mary Churchill to christen an American bomber with a bottle of Coke, a small ceremony that seemed to highlight the frivolousness of the whole undertaking. Bacon established courteous relations with the Army Exchange Service, whose officers knew how much the GIs liked Coca-Cola, but the Quartermaster Department, which was responsible for transporting munitions and supplies, adamantly opposed giving up any shipping space for a soft drink. For the invasion of Europe, Bacon asked for a requisition of 400,000 cases of Coca-Cola in wooden crates, 50,000 pounds of CO₂ gas in 50-pound cylinders, one and a half million bottle caps, 1,800 ice coolers, five bottling plants, and a million gallons of syrup, all to be packed for amphibious landing. The quartermaster for the European Theater said no.

When D-Day arrived, Bacon was stuck in London. Try as he might, he was unable to shake the quartermaster's rigid quarantine of the company's equipment and supplies. A month after the beaches of Normandy were stormed, Bacon was in Brighton, on the southern coast of England, where he'd been reduced to trying to round up a spare LST and make it across the channel to Cherbourg on his own.

Then Eisenhower intervened. Slashing through the red tape, the supreme Allied commander ordered Coca-Cola's payload to be ferried across the channel. Bacon and his team of TOs were dispatched to France to begin operations. Within days they were riding around Normandy serving Coca-Cola right off the back of two-ton trucks, using so-called "jungle units"—portable dispensers that were developed for use in the Pacific—to fill the canteens of GIs who were still involved in the fighting.

As the Allies secured various cities, Bacon and his TOs rode in behind the American forces and began looking for the remains of the company's prewar operations. Sometimes the old plants were intact. In Rennes, France, for instance, they found Coca-Cola's bottler still in business, putting out an ersatz mineral water. He was happy to resume making Coca-Cola for the American troops. Other places had not fared so well. Bacon cajoled an army colonel into putting him on a "red-ball" Jeep express into Paris the day after the liberation, where Bacon found "the damndest bottling operation I ever saw in my life." The company's plant on Rue Felix Faure had been stripped down to a hand-powered rinser, a foot-powered crowner, and a